



Vision

Attract and retain customers for life

Mission

Always there to serve you better

The image features two hands, one from the top left and one from the bottom right, reaching towards each other. Between the hands is a glowing, purple, ethereal energy field or aura. This field has a complex, branching, and crackling appearance, resembling a stylized lightning bolt or a network of energy. The background is a soft, light grey gradient.

A WINNING TEAM

At a time of incredible hardship, we harnessed our collective skills and knowledge to overcome the combined impacts of a multitude of obstacles. We worked as one, towards one goal - the success of our Company.

Under unfavourable market conditions, facing escalating costs and new threats, the commitment of a winning team has brought success against all the odds. Concluding one of the most difficult years of our existence on a positive note, we face the future with a positive outlook and a positive attitude.

ABANS ELECTRICALS PLC

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FINANCIAL HIGHLIGHTS

		2022/2023	2021/2022	Change %
Operating Results				
Revenue	LKR '000	5,246,866	4,329,171	21.20
Gross Profit	LKR '000	876,335	548,665	59.72
Operating Profit	LKR '000	422,375	195,828	115.69
Profit before Taxation	LKR '000	184,857	134,488	37.45
Profit after Taxation	LKR '000	133,520	104,215	28.12
Gross Dividend Paid	LKR '000	25,553	15,332	66.67
Interest Coverage	No. of Times	1.62	2.65	-38.76
Gross Profit Margin	%	16.70	12.67	31.79
Operating Profit Margin	%	8.05	4.52	77.96
Net Profit Margin	%	2.54	2.41	5.71
Financial Position				
Total Assets	LKR '000	4,897,238	5,337,700	-8.25
Total Debt	LKR '000	1,713,174	1,224,789	39.87
Current Assets	LKR '000	3,348,990	3,801,972	-11.91
Current Liabilities	LKR '000	2,648,679	3,232,819	-18.07
Shareholders' Fund	LKR '000	1,857,416	1,758,602	5.62
Gearing (D/D+E)	%	47.98	41.05	16.87
Current Ratio	No. of Times	1.26	1.18	7.51
Return on Assets (ROA)	%	2.73	1.95	39.64
Return on Capital Employed (ROCE)	%	12.06	6.23	93.69
Shareholder Information				
Return on Equity (ROE)	%	7.19	5.93	21.30
Earnings per Share	LKR	26.13	20.39	28.12
Dividend per Share	LKR	5.00	3.00	66.67
Market Capitalization	LKR '000	807,468	826,633	-2.32
Market Price as at 31 st March	LKR	158.00	161.75	-2.32
Price Earnings Ratio	No. of Times	6.05	7.93	-23.76
No. of Shares	Nos.	5,110,560	5,110,560	0.00
Net Assets per Share	LKR	363.45	344.11	5.62

Revenue

LKR **5.25**^{Bn} 
2021/22 LKR **4.33**^{Bn} 21.20%

PBT

LKR **184.86**^{Mn} 
2021/22 LKR **134.49**^{Mn} 37.45%

Net Profit Margin

2.54% 
2021/22 **2.41**% 5.71%

Shareholders' Fund

LKR **1,857.42**^{Mn} 
2021/22 LKR **1,758.60**^{Mn} 5.62%

ROCE

12.06% 
2021/22 **6.23**% 93.69%

Dividend Per Share

LKR **5.00** 
2021/22 LKR **3.00** 66.67%

FINANCIAL CALENDAR

1 st Quarter 2022/2023	-	15 th Aug 2022
2 nd Quarter 2022/2023	-	11 th Nov 2022
3 rd Quarter 2022/2023	-	13 th Feb 2023
4 th Quarter 2022/2023	-	30 th May 2023
Annual Report 2022/2023	-	31 st Aug 2023
40 th AGM	-	28 th Sep 2022
41 st AGM	-	22 nd Sep 2023

CHAIRPERSON'S STATEMENT

Dear Shareholders,

On behalf of the Board of Directors, I extend a warm greeting to all our shareholders at the 41st Annual General Meeting of Abans Electricals PLC. It is once more that time of the year to present to you the Annual Report and Financial Statements of your Company, and I am pleased to announce an encouraging financial performance by your Company for the financial year ended 31st March 2023, despite the exceptionally turbulent socio-economic conditions that prevailed for much of the year.



OUR OPERATING ENVIRONMENT

Whilst there were no pandemic related disruptions during the year, the Sri Lankan economy faced a multitude of unprecedented challenges, particularly during the first two quarters of the year under review. The financial year 2022/2023 commenced with significant pressure on the Sri Lankan Rupee on the back of the free float of the currency in March 2022 due to the previously pegged exchange rate not being reflective of market rates and significant tightening of the foreign exchange markets, which had resulted in shortages of many essential commodities. Due to the precarious foreign currency reserves position and lack of liquidity in the foreign exchange markets, the Government of Sri Lanka declared a pre-emptive measure of suspending the servicing of almost all of its external debt obligations, including international sovereign bonds, bi-lateral loans and facilities guaranteed by the Government. The volatile environment and severe shortage of essential items were subsequently exacerbated by social unrest and political uncertainty, culminating in the resignation of both the Prime Minister and the President by July 2022. Tourist arrivals to the country, which was witnessing an encouraging post-pandemic recovery, recorded a sharp slowdown due to multiple travel advisories issued, and negative perceptions as a result of the socio-economic turmoil. Significant increases in both direct and indirect tax rates were announced with the intention of increasing Government tax revenue to approximately 15% of gross domestic product by 2025 from the current 8.5%. Market reflective pricing mechanisms were established for fuel and cooking gas whilst multiple upward revisions to electricity tariffs were undertaken to reduce the cost of subsidies provided by the Government. A fuel rationing scheme was successfully implemented to ensure equitable and consistent distribution across the country which addressed the fuel shortage.

Within the macro environment that prevailed for much of the year, your Company's sustained financial performance was primarily due to farsighted planning

Within the macro environment that prevailed for much of the year, your Company's sustained financial performance was primarily due to farsighted planning. Anticipating the difficulties that would materialise, we moved quickly to ensure availability of sufficient goods, towards the latter part of 2022 and early 2023. Our foresight proved to be opportune, as the country went on to experience an acute



shortage of foreign exchange. The income tax revision and high rupee depreciation increased prices of imported essentials, medicine, fuel and electricity, which eroded disposable incomes of the public, causing consumer demand to decline. Consequently, the stocks we had acquired were sufficient to meet demand, and coupled with the price increases, sales revenues in 2022/2023, actually increased against the previous financial year.

Overall, solar income increased with the first two quarters recording a growth and the last two quarters hitting a downturn due to reduction in disposable incomes and interest rate increases. While households and businesses understand the financial benefits of switching to solar power, the prevalent high prices of solar panels and installation, discourages widespread adoption of solar power. The sudden loss of solar revenues from the CEB due power cuts, was another reason for both the household and commercial sector, to cool-off on solar power investments.

In general, the overall costs increased due to rupee depreciation, high inflation, high interest rates, fuel cost increases and electricity tariff increases.



CREATING VALUE FOR ALL STAKEHOLDERS

Cognisant of the difficult economic situation faced by people, our priority during the year was to ensure that we continued to create value for all our stakeholders through flexible operational strategies. We optimised our factory operations by streamlining our production and delivery schedules to contain cost increases, while also increasing production efficiencies.

As an employer, we have also been trying to help employees cope with the difficult environment to motivate and retain them. However, spiralling costs and future uncertainties with regards to the country, are pushing trained and experienced technical staff to seek employment abroad.

CHAIRPERSON'S STATEMENT

In order to mitigate import and foreign exchange risks, we continued to expand our local backward integration strategy for components and parts. During the year, the Company's injection moulding plant contributed towards generating additional revenue by supplying plastic components for both internal and external customers.

Total revenue increased by 21.2% to LKR 5.25 Bn and a net profit of LKR 133.52 Mn was achieved for the year, which boosted the shareholders equity by 5.6% to LKR 1.86 Bn

Consequently, despite the unprecedented rise in operating costs, the total revenue increased by 21.2% to LKR 5.25 Bn and a net profit of LKR 133.52 Mn was achieved for the year, which boosted the shareholders equity by 5.6% to LKR 1.86 Bn.

We continued to uphold our promise to our shareholders with a final dividend payment of LKR 5.00 per share, for the year. Please refer the Management Discussion and Analysis chapter for further details on our financial performance.



LEADERSHIP AND GOVERNANCE

Strong governance standards were the mainstay during the year to facilitate stability and strategic planning during market volatility and economic unpredictability.

Abans Electricals PLC did not face any fines, or penalties, for non compliance with any applicable laws and regulations during the year. All statutory obligations and payments have been made on time and sound governance systems, including continuous risk monitoring, internal controls and external audits, were upheld throughout the year.

Sound leadership and good governance were key to ensure sustainable growth during this highly unpredictable time. The Board and Board Sub-Committees, and Management teams worked as one to navigate the unexpected challenges and changes to the risk profile during the year, and to safeguard the best interests of shareholders and other stakeholders.

Two new appointments were made to the Board during the year. These are Mr. Rajaratnam Selvaskandan as an Independent Non-Executive Director, appointed 28th February 2023 and Mr. Jagath Jayasundara as an Executive Director on 08th March 2023.

In June 2023, we also lost a valued member of the Board – the Executive Director, Mr. Behman (Tito) Pestonjee. Mr. Pestonjee's passing is a tragic loss for the Company and the Abans Group. He was a great leader and an asset to the Company and will be remembered for his many contributions.



WAY FORWARD

We are encouraged by the progress made within a short period, towards stabilising the economy and realigning the economy towards a recovery trajectory. The appointment of

a new President and the subsequent appointment of a Prime Minister and Cabinet resulted in political stability while many of the shortages of essential commodity items were largely resolved in a relatively short period of time, enabling a faster than anticipated resumption of normal activities.

The stabilisation of the rupee and the strengthening reserve position in particular, is a highly positive development. With the announcement by the International Monetary Fund in March 2023, for an extended arrangement under the Extended Fund Facility (EFF), the country's sovereign rating can be expected to improve, which will also help to improve the national image internationally and among investors. Import restrictions are expected to be gradually lifted from 2023, which will give a major boost to domestic industries. Therefore, the country now seems to have entered a recovery trajectory.

The improving trade balance in the country and substantial increases in tourism receipts and foreign currency remittances resulted in strong net inflows into the country from the fourth quarter of 2022/2023 onwards. Interest rates are also on a gradual decline, a result of easing inflation, reduction in the high-risk premia attached to debt restructuring concerns and effectiveness of the tightening monetary policy adopted by the Central Bank of Sri Lanka.

However, given the global scenario of high inflation and slower economic recovery, we cannot realistically expect a dramatically quick economic recovery in Sri Lanka. We anticipate that within the prevailing high-cost-of-living environment, consumer disposable incomes will remain at a low level for a while. Therefore, we cannot expect an overnight reversal in our industry. Abans Electricals PLC is responding to the prevailing market conditions by looking into options for a wider range of cost-efficient white goods models to give consumers wider choices, and more affordable and efficient products. We will also leverage Group synergies to support business growth. With the Company's proven track record during difficult market conditions, we are confident Abans Electricals PLC will achieve a better performance.



APPRECIATIONS

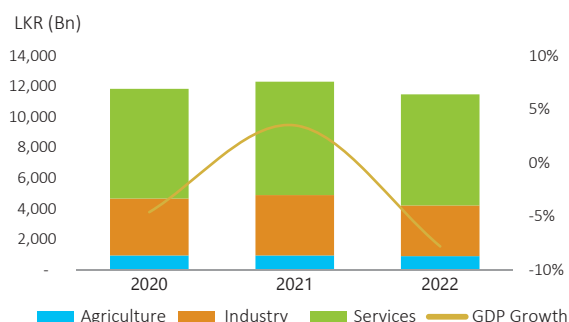
Facing a new financial year with many opportunities as well as challenges, I would like to place on record my appreciations for team Abans Electricals PLC. The current year's success is a direct outcome of the dedication and commitment from everyone, from the Board of Directors, to the management, to the lowest ranking employee. Our future success is also dependent on our team and I am confident we can continue to perform our magic. Our customers and business partners have been with us throughout this journey, and I thank them for their loyalty. I also thank our shareholders and all other stakeholders for their continued support and assure them of our unwavering determination to create value for everyone in the new financial year.

Sincerely,

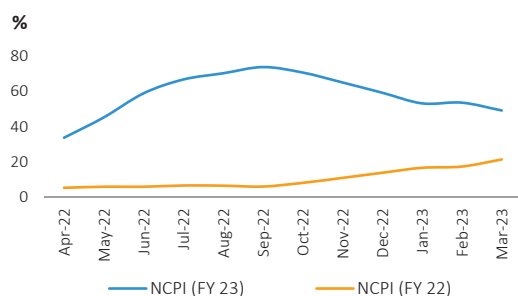
Aban Pestonjee
Chairperson

MANAGEMENT DISCUSSION & ANALYSIS

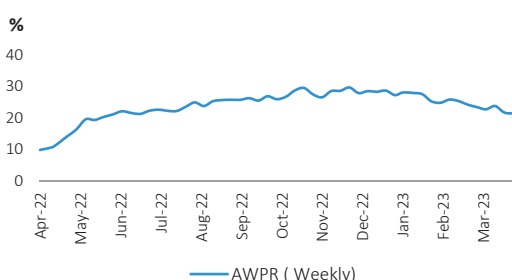
GDP Growth



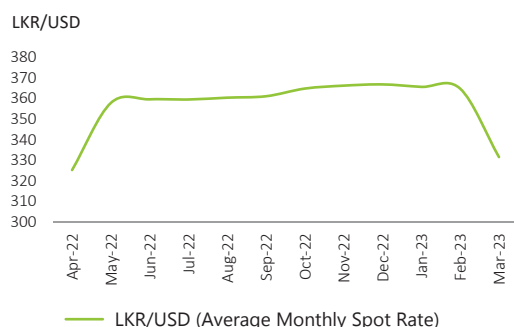
Inflation



Interest Rate



Exchange Rate



OPERATING ENVIRONMENT

SRI LANKAN ECONOMY

The Central Bank's Annual Report 2022 stated that the Sri Lankan economy contracted by 7.8% in 2022 on a year-on-year basis, recording its highest contraction in the backdrop of the worst ever economic crisis experienced by the post-independence economy with all three major economic activities, namely, Industry, Services and Agriculture, declining.

Agriculture activities contracted by 4.6%, compared to the growth of 0.9% recorded in 2021, mainly due to the severe shortage of agricultural inputs resulting from the import ban of chemical fertiliser and other agrochemicals, the rising cost of raw materials and supply chain disruptions. Industry activities fell by 16.0% compared to the 5.7% growth recorded in 2021 against the weakened performance of the construction and manufacturing sub-sectors as a consequence of many public sector construction projects coming to a halt, severe raw material shortages and rising input costs. Impacts were also exacerbated by tighter monetary policy conditions and the energy crisis. Services activities, declined by 2.0 %, compared to the growth of 3.5% in 2021 as a result of reduced trade, financial services, and real estate activities during the year.

Wholesale and retail trade activities were dampened by import restrictions and subdued demand conditions resulting in a marginal contraction of 0.2% in 2022 from the 1.5% growth recorded in 2021. Import volumes contracted, including consumer goods imports, and disruptions to fuel supply adversely affected trade activities during most periods of the year. Consumption expenditure, the largest expenditure component of the economy, grew by a higher rate of 34.3% at current prices in 2022, compared to the 8.4% growth recorded in 2021, mainly due to the surge in consumer prices. Overall market demand was dampened during the year, amidst the surge in inflation and the decreasing real value of disposable income.

INFLATION

Annual average inflation, based on the CCPI (2013=100), soared to 46.4% in 2022, from 6.0% in 2021. Year-on-year headline inflation, based on the National Consumer Price Index (NCPI, 2013=100), peaked at 73.7% in September 2022, compared to 14.0% at end 2021, before moderating to 59.2% by end 2022. Annual average inflation, based on the NCPI (2013=100), was recorded at 50.4% in 2022, compared to 7.0 % in 2021.

The rate of inflation was fuelled by reduced agricultural production on the back of the lagged effect of the ban on imported fertiliser which impacted supply of crops, price hikes in food, energy, and transport sectors stemming from supply disruptions, rapid adjustments to administered prices, the marked depreciation of the Rupee in March 2022, and aggregate demand pressures owing to the lagged impact of monetary accommodation undertaken over the past few years coupled with a myriad of vulnerabilities that emanated from global factors. However, inflation slowdown gradually in the second half considering a significant portion of inflation was driven by the currency adjustment which was largely one-off during the early part of the financial year.

OPERATING ENVIRONMENT

Meanwhile, the unprecedented acceleration of headline inflation was mainly due to the notable rise in food prices and other supply side disruptions, the sharp depreciation of the Sri Lankan rupee against the US dollar and the subsequent adjustments in administered prices, such as energy and transport prices and their spill overs, and unabating aggregate demand pressures owing to the lagged impact of monetary accommodation during the past few years.

INTEREST RATES

During the year under review, the CBSL adopted a contractionary monetary policy stance with the aim of addressing rising inflationary pressures, external sector vulnerabilities, preventing hyperinflation and prolonged loss in economic activity. The upward trend in interest rates was more pronounced in the first half of the financial year, particularly with the uncertainty of a domestic debt restructuring being factored into secondary market yields on Government securities and the shortage of liquidity.

The year commenced with the CBSL increasing the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) by 700 basis points to 13.5% and 14.5%, respectively in April 2022. In July, the SDFR and SLFR were further increased by 100 basis points each and in March 2023, the rates were further increased to 15.5% and 16.5%, respectively, to align the policy rates with the pre-requisites of the EFF arrangement with the IMF. The Statutory Reserve Ratio was maintained at 4% during the year under review.

Market interest rates continued to increase with the Average Weighted Lending Rate (AWLR) increasing by around 9% to 18.70% by end 2022, while the Average Weighted New Lending Rate (AWNLR) recorded the historically highest value of 26.20% in December 2022. The unprecedented increase in the Central Bank's policy interest rates, the substantial liquidity deficit in the domestic money market that drove up deposit interest rates, the pricing in of elevated credit risk amidst the contraction of economic activity, and the elevated yields on government securities, mainly caused the rise in market lending interest rates in 2022.

On a positive note, country's liquidity position improved, following the decrease in interest rates during the last three months of the financial year on account of the reduced Government debt financing requirements.

EXCHANGE RATE

The country experienced a high level of exchange rate volatility during the year. The Rupee recorded a steep depreciation immediately preceding the start of the financial year, with the average monthly exchange rate increasing from Rs.201.46 in January 2022 to Rs.255.81 in March 2022 with a closing rate of Rs.299.00 at March end and the rate peaking at Rs.360.00. The foreign exchange market was largely inactive and illiquid during the first half of the financial year amidst significant foreign exchange shortages and macroeconomic uncertainty. However, the Rupee noted a gradual strengthening towards the fourth quarter of the year under review, driven by an improvement in the trade surplus given the sharp contraction of imports due to the

contractionary fiscal and monetary policy measures adopted in the country and the continuation of import restrictions at the time. Steady foreign currency inflows to the services sector, workers' remittances, and financial flows to portfolio investments, as well as the return of market confidence with the finalisation of the IMF-EFF arrangement, aided this recovery in early March 2023.

The Central Bank's intervention in the domestic foreign exchange market and the continued use of moral suasion helped maintain the Sri Lanka rupee in the range of Rs.200-203 per US dollar during early 2022. However, significant shortage in liquidity in the domestic foreign exchange market, the widening spread between the official exchange rate and 'grey market rate,' and worsening global conditions continued to exert pressures on the exchange rate, necessitating a measured adjustment in the exchange rate that was allowed in early March 2022.

To reduce this significant volatility driven by excessive speculation and its adverse spill over effects on the economy, the Central Bank introduced a variation band, announced on a daily basis, as a temporary measure to manage the intraday volatility in the exchange rate.

According to this new exchange rate determination arrangement, which was introduced from 13th May 2022, a middle exchange rate was announced by the Central Bank based on the weighted average spot market exchange rate of the USD/LKR interbank transactions, with a variation margin on either side of the middle spot exchange rate. Consequently, from 13th May 2022 to end December 2022, the Sri Lanka rupee recorded only a marginal depreciation against the US dollar. The inactive spot market, due to market uncertainties about the country's economic conditions, largely explained the broadly stable exchange rate during this period. Accordingly, the annual depreciation of the rupee was limited to 44.8% against the US dollar during 2022.

EXTERNAL ENVIRONMENT

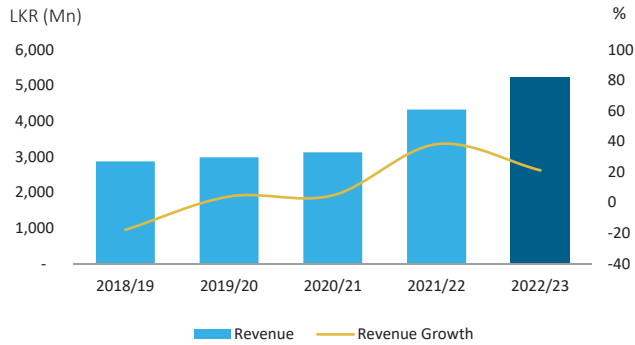
Global economic activity is estimated to have decelerated sharply in 2022 due to elevated inflation, stemming from the Russia-Ukraine war and a resurgence of COVID-19 in China. According to the World Economic Outlook (WEO) of the IMF released in January 2023, global economic growth is forecast at 3.4% in 2022.

Tightening financial conditions amidst the global fight against inflation and the continuation of the Russia-Ukraine war are expected to impact global economic activity in 2023, while reopening of China is expected to partially offset this impact. As per the WEO update of January 2023, global growth is projected to fall to 2.9% in 2023 and thereafter record an upturn of 3.1% in 2024. Subdued economic activity in advanced economies could have an impact on Sri Lanka's exports, but the expected pick-up in economic activity in China and India could be beneficial to Sri Lanka.

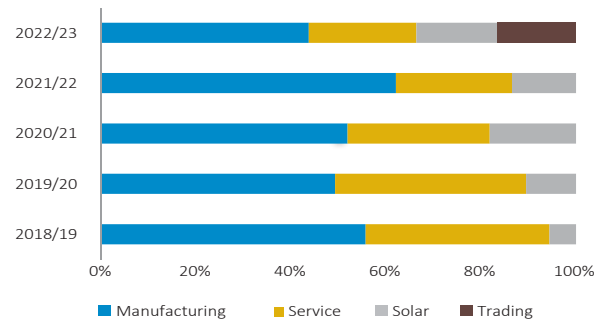


FINANCIAL CAPITAL

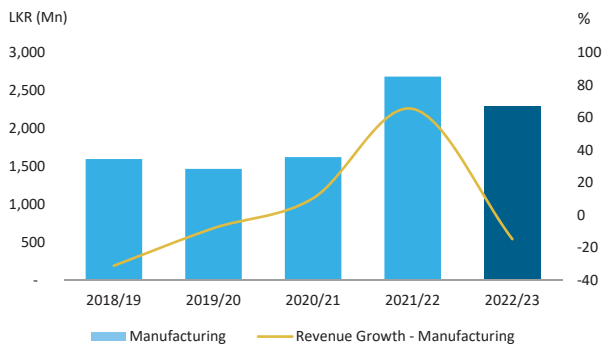
Total Revenue



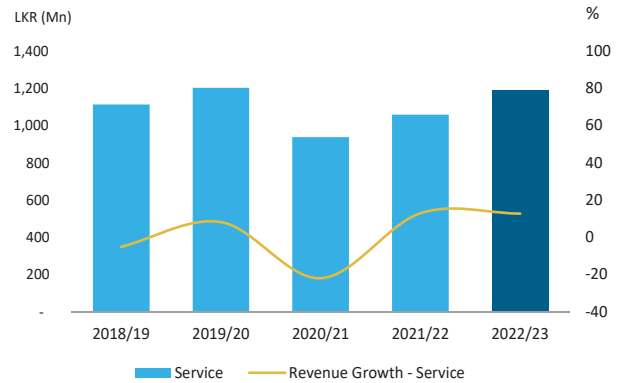
Total Revenue Composition



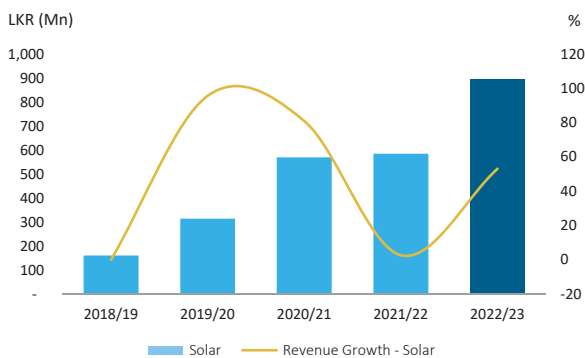
Manufacturing Revenue



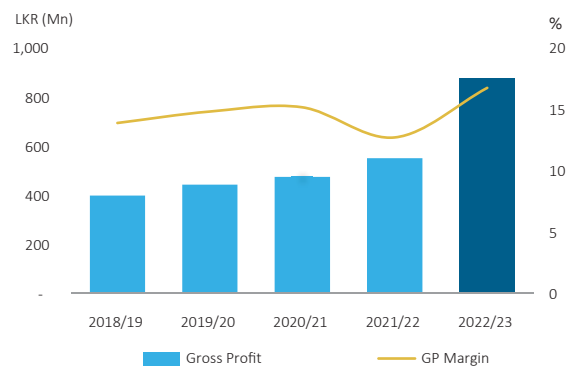
Service Revenue



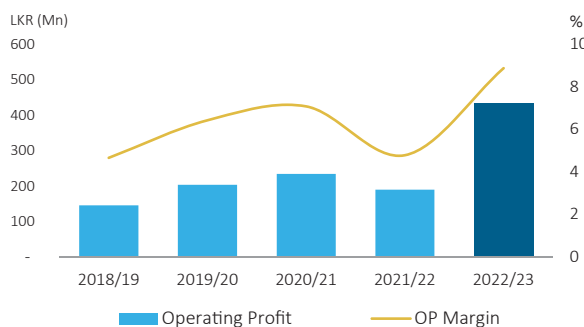
Solar Revenue



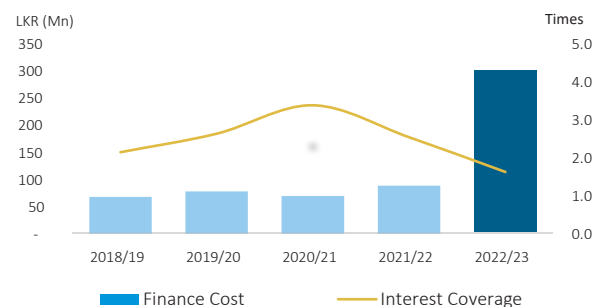
Gross Profit



Operating Profit



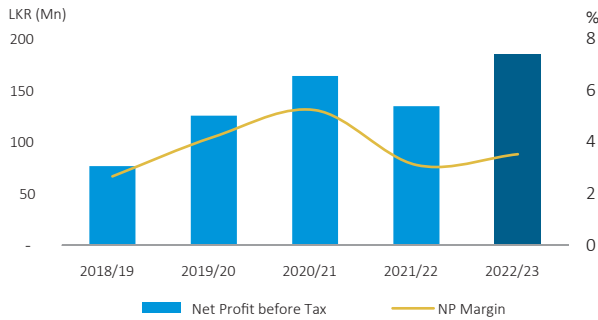
Finance Cost



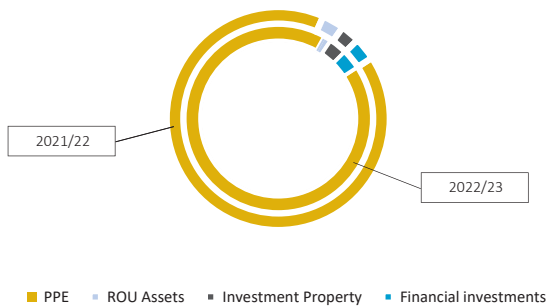


FINANCIAL CAPITAL

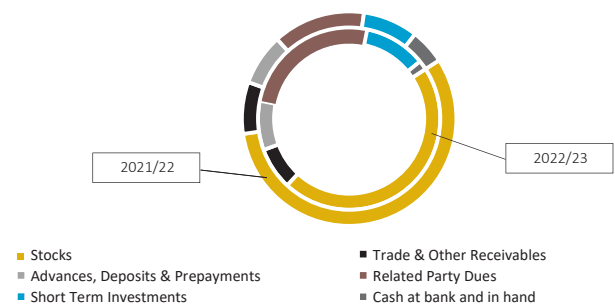
Net Profit



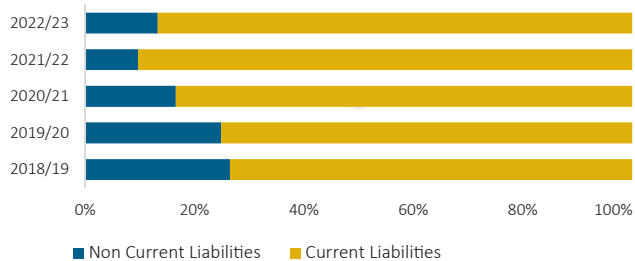
Non Current Assets



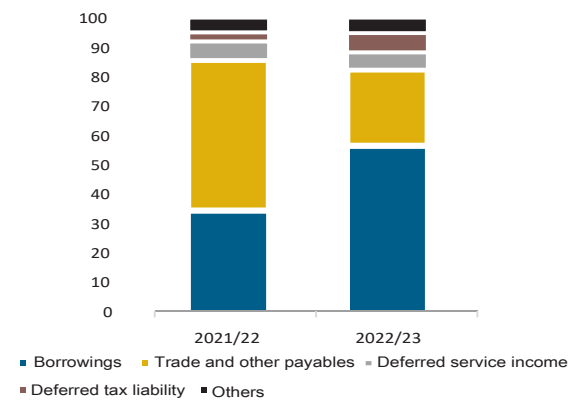
Current Assets



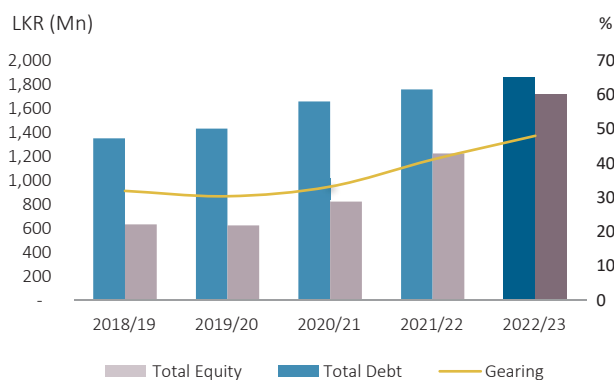
Total Liabilities Composition



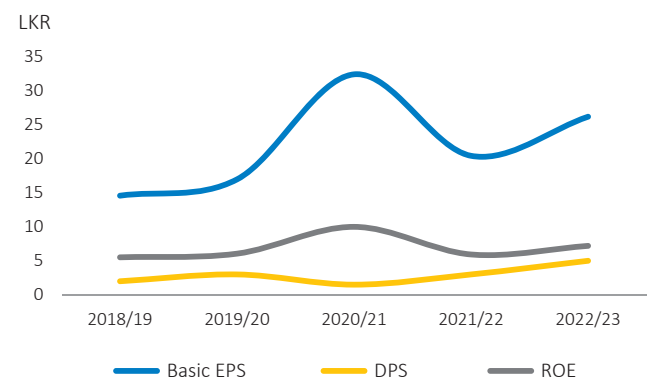
Total Liabilities



Capital Structure



EPS/DPS & ROE





FINANCIAL CAPITAL

This chapter on the Company's financial capital is expected to provide additional information regarding the financial performance of Abans Electrical PLC during the financial year 2022/2023 and should be read concurrently with the Audited Financial Statements of the Company for the year ended 31st March 2023.

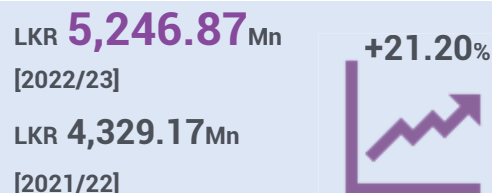
OVERVIEW OF FINANCIAL PERFORMANCE

The period April to December 2022 presented an exceptionally challenging external environment for the Company due to the high degree of uncertainty that discouraged investments and unbalanced the planning process and smooth business operations. Due to the foreign exchange crisis experienced by the country during the year, adequate foreign currency was not available to import required raw materials and parts. In addition, the Government imposed import restrictions on a wide range of imported items including raw materials vital for our production processes, in order to preserve foreign currency liquidity in the market. However, the significant depletion of official foreign exchange reserves and net foreign assets in the banking system, was one of the most defining challenges faced by the Company during the year. Shortages of essential items accompanied by power blackouts across the country led to an unprecedented political crisis through the first half of 2022. Widespread anti-government protests led to a change in political leadership and the revival in supply of essential items, restoring political stability in the second half of the year.

As a manufacturing Company, repeated and prolonged energy shortages in particular, had an unavoidable impact on all our normal operations. Extended power cuts and shortages in diesel and petrol disrupted factory operations, goods and personnel transport and administrative functions. The financial year 2022/2023 commenced with the free float of the Sri Lankan Rupee and the significant tightening of the foreign exchange market which resulted in significant increases in the prices of imported raw materials and parts. This also resulted in losses in settling foreign supplier commitments. The introduction of new taxes and upward revision of existing indirect taxes, the sharp increase in electricity tariffs and the increase in short-term working capital interest rates, further contributed towards cost increases during the year. The consistently high inflation levels exerted significant pressure on households creating a reduction in the demand for the Company's products. The most defining factor was the deterioration of the purchasing power of our customers which created a decline in our turnover volumes. The revision of personal tax rates contributed to the declining demand due to the reduction in disposable income.

In spite of these extensive challenges, prudent and timely management decisions, and quick responses, operational flexibility and teamwork ensured that the Company achieved a strong financial performance for the year.

REVENUE



We recorded an overall growth in revenue of 21.20% against the previous financial year, for a total revenue of LKR 5,246.87Mn for the year, compared to the total revenue of LKR 4,329.17Mn recorded in 2021/2022.

The increase in value is attributable to the cost escalation reflected in the top line even though the entire industry experienced a decline in volumes during the year.

Our proactive measures to ensure availability of sufficient stocks of products and spare parts, in spite of import restrictions, made it possible to manufacture adequate volumes to meet market demand.

Manufacturing Segment

Revenue from our manufacturing operations, which is the main source of revenue for the Company, decreased by 14.72 % to LKR 2,291.71Mn from LKR 2,687.13Mn recorded during the previous year. The Company experienced a significant drop in demand for white goods during the year, reflecting the erosion in disposable incomes and escalating cost of living. However, the Company benefited from a new revenue stream generated in the 2022/2023 financial year, by starting to manufacture plastic components for refrigerators.

Service Segment

Revenue from services increased by 12.64% to LKR 1,191.04Mn, from LKR 1,057.38Mn in the previous financial year. Due to import restrictions on a wide range of consumer durables, price increases, and shortages in goods, consumer demand for repairs increased. With the fuel shortages easing during the second half of the year, field operations normalised.

Solar Segment

Incomes from the solar power sector grew by 53.12% to reach LKR 895.23Mn, from LKR 584.65Mn last year. Demand for our solar panels, inverters and installation services increased during the year, in response to the multiple electricity tariff increases. However, growth of this segment was also constrained by the price increase of products.

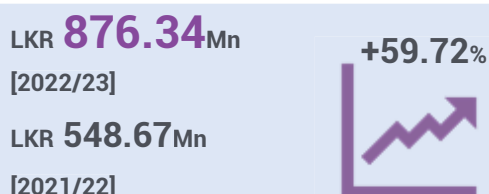


FINANCIAL CAPITAL

Trading Segment

Trading activities generated an additional income of LKR 868.89Mn during the year as banks restricted new bank facilities to newly established entities, and Abans Electricals PLC was in a position to supply raw materials and parts to a newly incorporated affiliate of the Abans Group by using excess banking facilities.

GROSS PROFIT



In spite of all input costs rising exponentially, we managed to achieve a gross profit increase of 59.72% from LKR 548.67Mn to LKR 876.34Mn. Despite operating environment challenges, the gross profit margin increased from 12.67% to 16.70%.

Despite the overall cost escalations, the Company implemented timely price revisions within its product portfolio, which supported the gross profit. Additional margins were maintained to accommodate increases to interest costs and the overall increase in revenue streams coupled with cost efficiencies in production and value chain management, facilitated the growth in gross profit.

OPERATING PROFIT



Our efforts at enhancing operational efficiencies did pay off by achieving a growth in operating profit. We achieved an operating profit of LKR 422.38Mn from LKR 195.83Mn in the previous year, which is a growth of 115.69%. The operating profit margin increased to 8.05% from 4.52% in this year. A major factor in the increase in operating profits is the positive contribution from the gross profit and other income.

Finance and other incomes increased by 71.35% from LKR 59.25Mn to LKR 101.53Mn. The major contribution was from interest income that increased from LKR 20.23Mn to LKR 59.64Mn as market interest rates drastically increased, and interest income from financial instruments reflected this increase.

Overall marketing and distribution costs increased by 68.44%, mainly due to newly introduced social security levy which had an impact of LKR 52.94Mn. Further, the fuel price hike caused transportation costs for after sale services to increase. Provisioning for doubtful debtors decreased by 260.76% from LKR 13.23Mn to LKR -21.28Mn. The enhanced effectiveness of the Company's

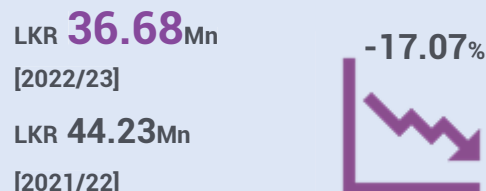
long outstanding debt collection mechanism made it possible to reverse some provisioning for doubtful debtors. However, Administrative expenses increased by 16.64% from LKR 326.43Mn to LKR 380.79Mn due to the increase in IT related expenses and impact of the inflationary pressure on cost components.

FINANCE COST



Finance expenses shot up by 264.29% year-on-year and came to LKR 297.15Mn from LKR 81.57Mn in 2022/2023. The net finance cost for the year also increased by 287.22% to LKR 237.5Mn from LKR 61.3Mn in the previous year. This was due to rapidly rising market interest rates driving upward revisions in borrowing rates of banking facilities, and an increase in short term borrowings due to longer inventory holding periods and higher inventory value amidst the drop in demand.

TAX EXPENSE



Income tax expense decreased to LKR 36.68Mn for the financial year 2022/2023, from LKR 44.23Mn in the previous financial year, due to the decrease in the taxable income during the year under review due to taxable loss from service operations increasing.

The deferred tax provision component for this year increased to LKR 31.99Mn from deferred tax reversal of LKR 13.67Mn last year due to the increase in the income tax rate applicable.

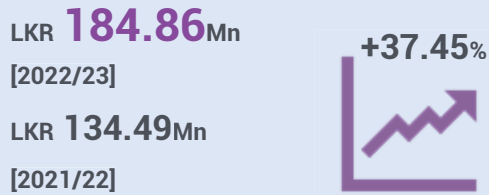
Abans Electricals PLC calculates income tax at the rate of 18% for manufacturing segment and at 24% for services and solar installation segments up to 30th September 2022 and income tax rate applicable was revised to 30% w.e.f. 1st October 2022, as a part of the Government's new tax regime to enhance its fiscal revenue.

For further details on the tax impact on the Company, please refer Note 09 of the Financial Statements, on page no. 64.



FINANCIAL CAPITAL

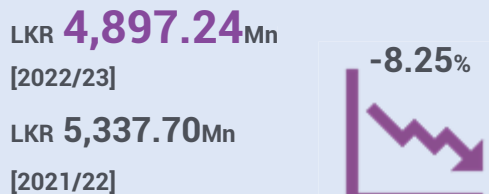
PROFITABILITY



We recorded a profit before tax (PBT) growth of 37.45% reaching LKR 184.86Mn from the LKR 134.49Mn reported in the previous financial year.

The net profit for the financial year 2022/2023 came to LKR133.52Mn compared to the profit of LKR 104.22Mn reported in 2021/2022. The net profit margin for the year increased to 2.54% from 2.41% in 2022/2023.

TOTAL ASSETS

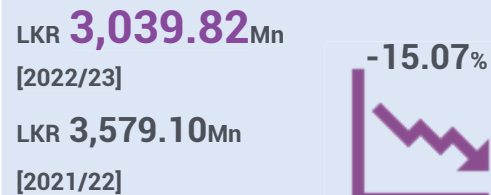


Total assets of the Company decreased by 8.25% to LKR 4,897.24Mn as at end of this financial year from LKR 5,337.70Mn as at the end of the previous financial year.

Total non-current assets increased by LKR 12.52Mn to LKR 1,548.25Mn from LKR 1,535.73Mn. This was mainly due to an LKR 31.71Mn investment in plant & machinery, for enhancing backward integration and gains on revaluation of land and building of LKR 71.0Mn.

Total current assets of the Company decreased by LKR 452.98Mn during the year, to LKR 3,348.99Mn from LKR 3,801.97Mn. This was due to the conversion of raw materials and parts in manufacturing operations. A couple of ongoing large-scale solar projects commenced in the previous financial year were completed and commissioned during the current financial year, which resulted in a decrease in Work-in Progress. Intercompany receivables, increased due to large sales to a sister Company of the Group. Investment in short term deposits increased, and the cash in hand and at bank decreased due to the set off cash margin reserved against LC payments.

TOTAL LIABILITIES



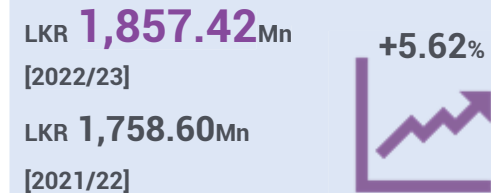
Total liabilities decreased by 15.07% during the year, to LKR 3,039.82Mn from LKR 3,579.10Mn last year.

However, non-current liabilities increased by LKR 44.86Mn to LKR 391.14Mn, from LKR 346.28Mn due to an increase in deferred tax liability as a result of the increase in the applicable income tax rate, and the retirement benefit obligation also increased due to the adjustment of the current inflation rate for the expected salary increment rate in computation of the liability. However, long term borrowings declined due to capital repayments.

Current liabilities decreased by LKR 584.14Mn to LKR 2,648.68Mn, from LKR 3,232.82Mn as payable to foreign suppliers decreased by LKR 808.15Mn, to LKR 299.53Mn, from LKR 1,107.68Mn as the Company settled these payments. In addition, the advances obtained for solar projects were set off at the project completion. However, short term borrowings increased by LKR 548.88Mn during the year, to LKR 1,666.36Mn, from LKR 1,117.48Mn as foreign supplier payments were converted into short term loans, utilising import loan and OD facilities.

Due to the growth in debts, the gearing ratio increased from 41.05% to 47.98% during the year and the current ratio increased to 1.26 times from 1.18 times last year.

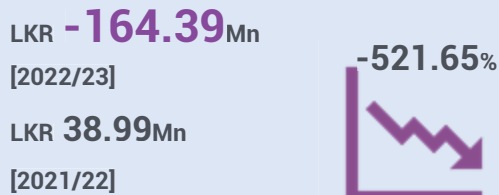
EQUITY



As we have continued to maintain profitability, the shareholders' funds have increased by LKR 98.81Mn, which is a 5.62% growth, to LKR 1,857.42Mn from LKR 1,758.60Mn one year ago



CASH FLOW



Managing cashflows to maintain liquidity was a financial priority during the year, given the extreme macro uncertainty and spiralling cost increases. By negotiating with our business partners, both in the country and abroad, we have managed our costs and allocated funds to meet all requirements, including all liabilities, without delays.

Cash generated from Company operations before working capital changes was LKR 343.57Mn against LKR 230.19 Mn in 2021/2022. The net cash flow used in operating activities was LKR 550.58Mn, primarily attributable to the noticeable decrease in foreign supplier commitments, set off customer advances received, increased related party receivables and interest paid despite inventories being converted into sales.

Net cash used in investment activities decreased against the previous financial year to LKR 47.63Mn from LKR 179.62Mn in 2022/2023, due to limited capital expenditure during the year. However, interest income increased which reinvested resulted in increasing investment in fixed deposits.

Net cash from financing activities was LKR 394.81Mn as at the end of the year whereas LKR 199.07Mn in 2021/2022. This is primarily due to new short-term loans that were obtained to finance working capital requirements. However, repayments of long-term borrowings and dividend payments also increased during the year. We concluded the year on a negative cash position of LKR 164.39Mn.



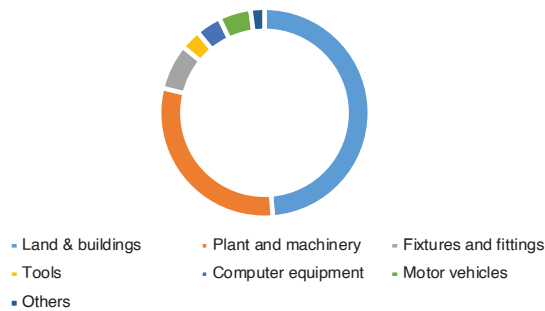
MANUFACTURED CAPITAL

As the manufacturing arm of the blue-chip conglomerate, Abans PLC, the primary function of Abans Electricals PLC is the domestic production of a range of popular white goods. During the current financial year, the product range comprised selected top loading and semi-automatic washing machines, cookers and hobs under the Abans brand and other international brands. Abans Electricals PLC is also active in the renewable energy sector, by installing roof-top solar PV systems. In addition, during the current financial year, the Company also commenced the manufacture and supply of plastic components for refrigerators, to a sister Company.

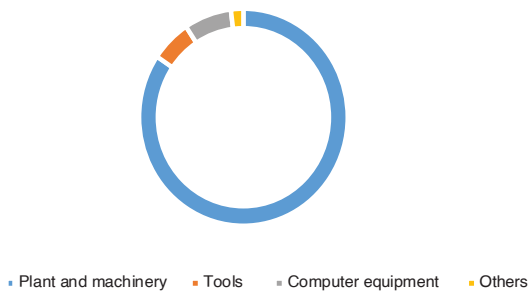
The Company's manufactured capital base comprises buildings, plant and machinery, tools, equipment, and vehicles to facilitate its core business of local manufacturing and provision of after sales service which plays a vital role in our value creation process. The Company dedicates a significant amount of its monetized capital towards improving our manufacturing capabilities in order to stay ahead of the market competition.

Abans Electricals PLC's manufacturing base is supported by an islandwide service centre network to provide a better after sales service to our customers.

PPE Composition



PPE Additions



IMPROVEMENTS TO OUR MANUFACTURING CAPITAL

In spite of the extreme cost increases and uncertainty that prevailed during the current financial year, the Company has continued to strengthen its manufactured capital base investing into maintenance, replacement and upgrades of components and machinery.

As a risk mitigation response in the environment of import restrictions and anticipated foreign currency shortage, the Company placed import orders for input materials during the previous financial year. This farsighted action prevented production losses during the current financial year, due to unavailability of raw materials and components, and allowed the Company to meet consumer demand. The availability of stocks of spare parts, also made it possible to continue servicing customers who required such services during the year.

Through the Company's backward integration strategy, Abans Electricals PLC is now successfully producing key components in-house, that were previously imported. This has contributed towards significant savings of foreign exchange. Expansion of in-house manufacturing, including expansion of the Company's injection moulding plant, also safeguarded the Company from the risks of import restrictions and rising import costs due to shortages in foreign exchange and rupee depreciation.

In order to enhance production efficiencies, during the year, the Company redesigned its production process and sub assembly processes to maximize the daily production output. The production process has been improved to handle multiple products and different type of processes. Hence, the Company was able to maximize the production capacity utilization while the industry experiencing drop in a demand.

In order to cater to the growing demand for solar power by both consumers and businesses, we maintained adequate stocks of solar panels and other components. However, although revenue from the solar power sector increased against the previous year, the market presented a mixed picture. While demand for solar systems increased due to the electricity tariff increase, affordability became a challenge due to the cost increase of both solar systems and loan interest rates.



HUMAN CAPITAL

Our trained and experienced staff are vital for our daily operations and for our future business sustainability. We are cognizant of the value of our human capital and we are actively involved in acquiring new talent and upgrading existing skills and competencies. Our human capital development policy of training and growth opportunities was continued in the current financial year, in spite of the exponential cost increases and operational difficulties.

Abans Electricals PLC is an equal opportunity employer and has put in place a formal human resource management framework in line with the HR policies and procedures of the Abans Group and industry best practices. The Company does not discriminate on gender, race or religion and adopts a strictly merit based approach to all recruitments, promotions, increments, rewards and other employee engagements.

COMPLIANCE WITH LABOUR LAWS

Applicable Labour Laws

- Wages Board Ordinance
- Employees' Provident Fund Act
- Employees' Trust Fund Act
- Employment of Women, Young Persons and Children
- Maternity Benefits Ordinance
- Shop and Office Employees (Regulation of Employment and Remuneration) Act
- Workmen's Compensation Ordinance

The Company is fully compliant with all applicable labour laws and regulations and has made all statutory employee related payments on time, including EPF, ETF and gratuity payments. In addition, the Company strives to create a safe and pleasant work environment for all employees and provides a range of welfare benefits for employees. All relevant health and safety regulations have been complied with to create a safe and hygienic work environment for all our staff. The Company does not employ child labour. During the recruitment process of an employee, the company strictly monitors the age of each candidate, in compliance with the Sri Lankan labour law framework.

HEALTH AND SAFETY

As a manufacturing and service Company, Abans Electricals PLC is committed to providing employees with a safe working environment focused on eliminating and managing health and safety concerns such as the risk of hazards and injuries. For all machineries and equipment, we follow manufacture recommended safety practices. In the production process, we adopt industry and internationally accepted safety practices. All safety equipment is of high quality. Management and supervisors regularly supervise activities to ensure employees follow safety guidelines. As a manufacturing Company we ensure all health and safety equipment are in place and check replacement, or refilling, or update requirements at regular intervals. Due to the stringent enforcement of our Health and Safety policy across the Company, there were low injuries and hazards of critical nature reported during the year under review.

EMPLOYEE BENEFITS

The Company invested LKR 476.01 Mn in employee benefits in the current year. Abans Electricals PLC provides a range of benefits for its employees that goes above and beyond regulatory requirements and contribute towards motivating employees and creating a satisfying work environment. These benefits include bonus, employee medical scheme, health insurance benefits, employee sales scheme for Abans products, cost of living adjustments, distress loans, sports club benefits, employee life insurance benefits, uniforms etc.

EMPLOYEE WELFARE ACTIVITIES

We remained sensitive to the economic pressures faced by our employees during the current financial year, due to the escalating cost of living and other difficulties, such as extended electricity cuts and fuel shortages that made commuting to work extremely difficult, particularly for those who lived some distance from our official premises. In order to help alleviate the pressure on our employees we continued remote working arrangements to ensure business continuity while also accommodating employee concerns. In addition, in order to ease their living costs, the Company arranged welfare packs for employees and also subsidized the increased transport cost for those who travelled to work.

We also supported our employees through a range of welfare measures, including regular communications and engagement activities, some of which were conducted virtually, to enable employees to interact and connect with each other. We also focused on improving performance management systems to ingrain a performance-driven culture, despite the unavoidable external challenges.

Some of the employee welfare activities during the year include:

- **Shapes of tomorrow 2022 - Grade 5 Scholarship Examination and - G.C.E (O/L) & (A/L) Examination**

The Company recognizes academic achievements of employees' children through the above events. The welfare fund of the Company provides a certificate and a financial gift for children of employees who pass the Grade 5 scholarship exam, and older children who get good results for the O/Ls and A/Ls. In addition to these one-off donations, the Company provides a monthly allowance throughout the university period for the children who are selected for national universities.

- **Welfare packs distribution 2022 & 2023**

Cognizant of the difficulties faced by employees due to the prevailing economic hardships, the Company provided welfare packs for each employee. The packs supported employees to access adequate food, as food inflation increased, and prices of essential food items increased rapidly.



HUMAN CAPITAL

Reward on childbirth - Blooming Buds

The Company appreciated new mothers and their babies with support packages during these times of economic difficulty.

Educational aids distribution 2023

Every year, on January 1st, the welfare fund of the Company provides an education pack for children of all employees, which includes a school bag, exercise books, stationary, lunch box, water bottle and other requisites.

Death donation

The Company's death donation fund provides financial assistance for employees in the event of the death of a close family member. The funds are made available for the death of an in-law, or a close relative, thereby providing financial relief for employees during this difficult period.

A GREAT PLACE TO WORK

We continued to uphold our commitments to create a "Great place to work" reflecting the Abans Group's aspirations for all its employees. While encouraging our employees to strive to achieve their official and personal targets, we provided them with secure employment and flexible work arrangements that allowed them to perform even against stressful situations.

Facilitating a mutually cooperative work place, we maintained an 'Open Door' approach towards employee problems and grievance handling and ensured that all employees had direct access to the Head of HR and respective Divisional Heads and also the Chief Executive Officer, to address any concerns.

Despite the instability that prevailed, we continued to deploy our training and development calendar that gave our staff the opportunity for career growth and skills development.

TRAINING NEEDS IDENTIFICATION

Training and development of our human capital is carried out based on the strategic aspirations of the organization. Training needs are identified based on the observations of annual evaluations and the observations of heads of departments.

Training Activities

During the year, we conducted many training sessions including individual trainings, inhouse training, external training and virtual training. These include advanced certificates in supply and material management (06 months), virtual training workshop on good servicing practices in refrigeration, microsoft excel training, training on service attitudes and customer care skills, Gas /ARC welding and professional diploma in shipping freight forwarding and clearing (09 weeks).

Hours of Training

The Company provided a total of 905 hours of training for employees during the year.

Male	Female	Total
815	90	905

PERFORMANCE MANAGEMENT AND REWARDS

Our annual increments, incentives and bonus payments depend on employee performance and also career progress is dependent on individual performance. The Company always provides opportunities to employees to further their career within the Company. The company has set KPIs for all the employees including management staff, back office and production level staff. These KPIs are reviewed on a quarterly and annual basis. Monthly incentive entitlements are paid based on the quarterly KPI achievement grading and annual bonus and career progress is based on annual performance appraisal and cumulative result of quarterly performances. Apart from these, the following entitlements are also available for employees.

- Employee medical scheme & health Insurance benefits
- Employee sales scheme for Abans products
- Cost of living adjustments
- Distress loans

GRIEVANCE MANAGEMENT SYSTEM

The Company believes in fairness, diversity and equality. Open and honest communication is encouraged at all levels of management. We maintained an 'Open Door' approach towards employee problems and grievance handling and ensure that all employees have direct access to the Head of HR and respective Divisional Heads and also the Chief Executive Officer, to address any concerns.

In addition, we have facilitated a suggestion box to put any employee grievances anonymously, where anyone can reach easily.

EMPLOYEE ENGAGEMENT ACTIVITIES

Our employees were provided multiple opportunities to network and socialize through many employee engagement activities.

New Year Ceremony 2023

Our employees across the rank and file got together to celebrate the new year on 02nd January 2023, with joyful wishes for each other and the Company, followed by a pirith chanting and blessings of the triple gem.

Service Appreciation 2022

The Company conducts a service recognition ceremony on 02nd January 2023 in appreciation of longstanding employees. The ceremony recognises all employees with the service periods of over 5 years, with awards and gifts presented to those marking service periods of 5,10,15,20,25 years and more.

Secret Santa 2022

This event is conducted by the Company for Christmas and provides an opportunity for employees to mingle and socialize with many entertainments.

Abans Battle of The Purples Cricket Fiesta 2022

This event is organized to enhance unity and friendship among the colleagues of Abans Electricals PLC and Abans Engineering Pvt Ltd.

Women's Day Celebration 2023

To celebrate Women's Day, we conducted a make-over session for all the female staff and they were appreciated with lovely red roses and gifts.



HUMAN CAPITAL

OUR EMPLOYEE PROFILE

• New Recruitments

Male	Female	Total
18	4	22

• Composition of Employee Carder

The significant reduction in cadre is due to the transfer of a group of 65 technicians to a sister company.

Age Wise	2022/23	2021/22
18-30	269	397
31-50	340	401
50+	46	39
Total	655	837

Gender Wise	2022/23	2021/22
Male	576	744
Female	79	93
Total	655	837

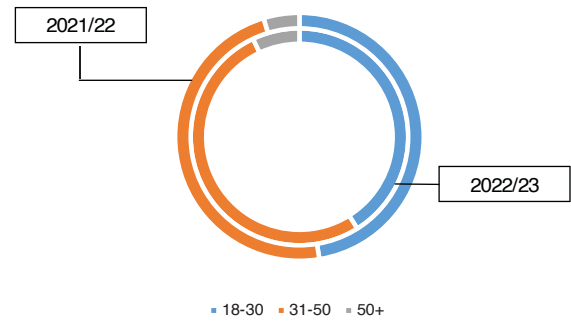
Category Wise	2022/23	2021/22
Senior Mgt.	11	15
Middle Mgt.	60	58
Executive	94	128
Non-Executive	490	636
Total	655	837

Work Experience Wise	2022/23	2021/22
Below 5 Years	336	442
5- 9 Years	163	219
10-14 Years	65	80
15-19 Years	48	54
20 Years Above	43	42
Total	655	837

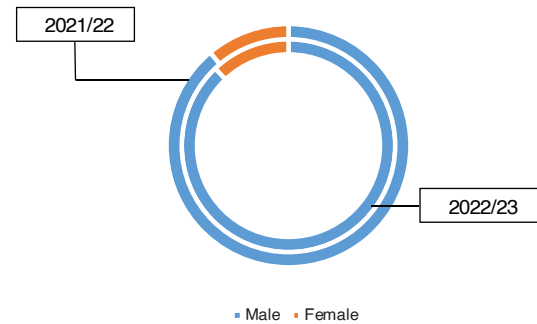
• Employee Retention and Turnover

Year	2022/23	2021/22
Employee Retention	65%	67%
Turnover	39%	32%

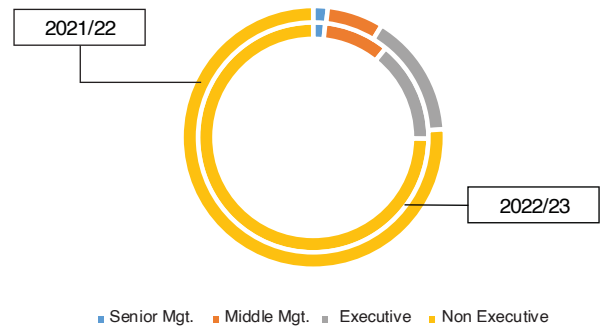
Age Range Wise



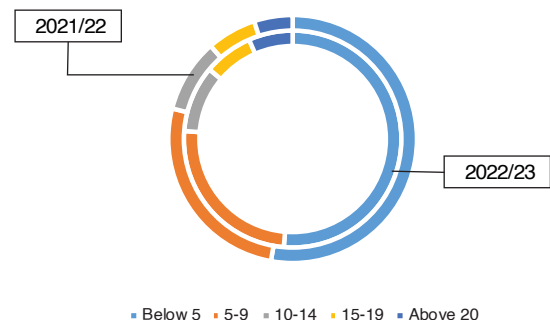
Gender Wise



Category Wise



Work Experience Wise



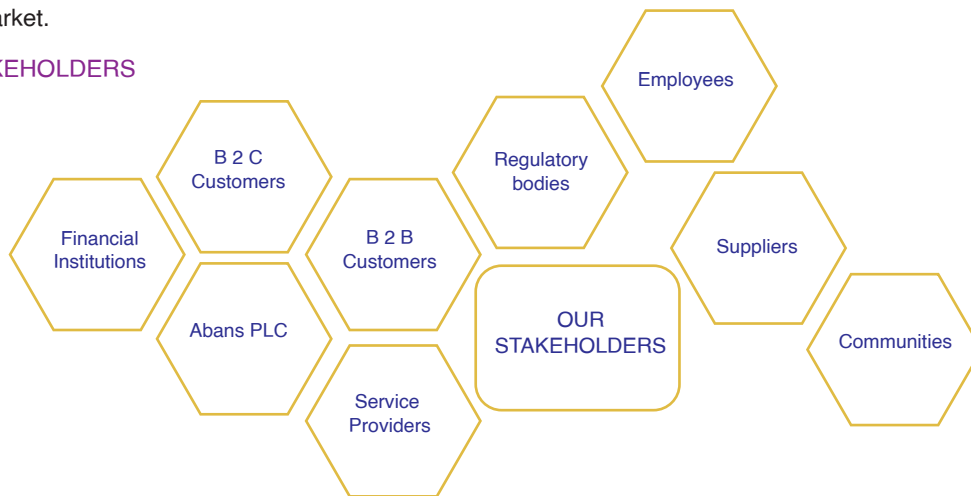


SOCIAL AND RELATIONSHIP CAPITAL

As a manufacturer and service provider, our social credibility with regards to the quality and reliability of our products and services is paramount for our existence. This trust in our brand held by our customers and also our suppliers, and other stakeholders represents our social capital. We also benefit from the brand reputation of the Abans Group, which is one of the most respected brands in the country.

We are highly conscious of retaining and augmenting our social capital into the future, and we therefore, invest in strong good governance systems, while upholding the values and standards associated with the Abans brand in our engagements and interactions with our external stakeholders. The longstanding business partnerships we enjoy are the best indicators of how well we have built our social capital in the market.

OUR KEY STAKEHOLDERS



Our key stakeholder groups are; our significant shareholder Abans PLC, customers, our employees, suppliers and service providers, providers of financial capital, and regulatory bodies. We also engage with different communities through community services and welfare activities.

STAKEHOLDER ENGAGEMENT

Formal systems and protocols are in place to facilitate transparent and professional interactions with all our stakeholders. Our employees, particularly those engaged in delivering services, are trained in customer service and procedures to maintain the integrity and quality associated with the Abans brand. We aim to provide efficient and effective after sales service to our customers at all times, to maintain a high level of customer satisfaction. As we do not engage in retail activities, we maintain Customer Service Centres to quickly respond to repair and maintenance needs of our customers and we utilise social media platforms to communicate with our customers. All health and safety standards for the safety of our customers, are observed by our employees to ensure the safety of our customers.

Our suppliers are key partners in our business as the supply of high-quality products at the correct time is essential for uninterrupted operations and quality of our products. We maintain international procurement best practices with our local and foreign suppliers to ensure transparency and integrity of the supply chain, and we also maintain a growing data base of suppliers. During the year under review, we continued to maintain cordial relations with our long-term suppliers and negotiated preferential treatment in prices and revision of credit periods, by maintaining effective relationships.

REGULATORY COMPLIANCE

During the current financial year, Abans Electricals PLC did not face any significant fines or penalties for non compliance with any applicable laws. We ensured timely compliance with all taxes and statutory payments and submitted all regulatory records and returns with no delays.

It is noteworthy that even following government restrictions on foreign supplier payments, for the purchases under Open Account payment terms, our suppliers continued to supply materials and parts even with an outstanding balance. This high level of cooperation and understanding from our suppliers played a key role in maintaining uninterrupted business activities during the year.

As the retail, distribution and marketing services of our products are performed by Abans PLC, we are not directly engaging with end consumers. However, we do engage with end consumers to provide after sales services for products we manufacture, and also for a wide range of other home appliances retailed by Abans PLC. We ensure a high standard of responsiveness in our after sales services by operating 15 regional service centres and also have a network of over 40 authorised service agents, island wide. During the year, we retained all our B2B customers and expanded our retail customer base for solar panels, inverters and installations.

CSR ACTIVITIES

Abans Electricals PLC also conducts many community welfare projects annually, to support worthy causes and to extend a helping hand to those in need.

Despite facing financial constraints, we continued to support community welfare activities through financial donations and sponsorships for religious institutions, schools, the Sri Lanka Customs Welfare Society and others. We also facilitated special discounts for our products for such organizations and for welfare related events.



NATURAL CAPITAL

Having committed towards a sustainable business model, we have made all efforts to become more environmentally sustainable in our business activities. Therefore, over the years, we have increasingly invested in resource and environmental conservation, above and beyond applicable environmental guidelines and regulations.

ENVIRONMENTAL COMPLIANCE

Abans Electricals PLC did not face any fines or penalties during the year under review for non-compliance with environmental regulations. During the year, we submitted to environmental inspections of our premises by the national authorities, and renewed our environmental certifications. Therefore, we can assure our stakeholders of our continuous application of statutory environmental safeguards. In addition, periodic audits are conducted by concerned business partners in order to verify our standard of environmental compliance.

ENVIRONMENTAL CONSERVATION STRATEGY

We have adopted the 3R model of reduce, recycle and reuse within our organisation to conserve resources and enhance efficiency of material use in manufacturing and services. As part of our productivity enhancement process we have hard-coded the learnings obtained from the implementation of total productivity maintenance and concerted lean initiatives deployed during the year resulted in cost savings, while also contributing towards nurturing a cost-conscious, and productivity driven culture in which waste is minimised.

To minimise potential negative impacts on the environment through our activities, energy saving mechanisms have been implemented coupled with policies and procedures for safe consumption and disposal of plastics, chemicals, rubber, steel and other input materials used in our operations.

RENEWABLE ENERGY GENERATION

As part of our energy conservation efforts, we have also invested in renewable energy by adopting solar power within our own business.

Our in-house solar PV system had a capacity of 354.05 kWp Mw in 2022/2023 and generated and supplied 411,064 units of electricity during the year to the national grid against 463,080 units added last year.

RECYCLING

During the year, we recycled and reused 15,624Kg of damaged and quality rejected plastic components against 24,170Kg last year which minimized the volume of non-degradable wastage released to the environment.

ENVIRONMENTAL CONSERVATION ACTIVITIES DURING THE YEAR

Despite the prevailing economic disruptions, Abans Electricals continued its environmental conservation focus during the year by conducting environmentally friendly activities within our business model.

- In order to reduce environmental impacts from our business operations we commenced the collection of Styrofoam packing materials used in our product packaging through our retailers and reused these materials for packaging, thereby reducing wastage and landfill.
- We segregated our disposable waste as per the guidelines of the local authorities and ensured strict monitoring of this process by assigning dedicated staff for daily monitoring activities.



INTELLECTUAL CAPITAL

Abans Electricals PLC's years of experience in building high quality, durable electrical items and our technical knowledge of solar power systems, and the technical skills and competencies of our service teams are the basis of our intellectual capital. The organizational knowledge base of the Company encompasses practical experiences and knowledge gained through years of reverse engineering, product modifications and product value additions. The Abans brand's strength, has also added value to our products to enhance customer acceptance. We leverage this intellectual capital, which is shared across our teams, to provide an unparalleled service package for our customers.

However, Abans Electricals PLC is currently facing the challenge of brain drain due to many highly skilled and trained employees opting to go abroad for employment in response to the rising cost of living. Consequently, the Company is losing not only technical skills but also a degree of tacit knowledge that is essential for successful new product development.

We are cognisant of the value of our intellectual capital and we are continually augmenting this aspect of our business through skills development of our teams. We also allocate funding and time to develop and improve product designs to best suit the requirements and budgets of Sri Lankan consumers.

In the current environment of economic hardship, we have focused our knowledge and expertise towards continually creating value for our customers by developing more cost-effective supply chains and creating new products that are affordable to consumers. An important aspect in our production process has been the initiatives to expand the local value addition component of our existing product portfolio via backward integration. We continued research and development activities to develop import substitution products, through local manufacturing and we are developing more product ranges that meet needs of consumers, within the current environment.

BOARD OF DIRECTORS



MRS. ABAN PESTONJEE
Chairperson



MR. BEHMAN PESTONJEE
Executive Director



MRS. SAROSHI DUBASH
Executive Director



MR. ATHULA SIRIWARDANE
Executive Director



MR. DINAL PHILLIPS
Independent Non-Executive Director



MR. KUMAR DE SILVA
Independent Non-Executive Director



MR. R SELVASKANDAN
Independent Non-Executive Director



MR. JAGATH JAYASUNDARA
CEO / Executive Director

BOARD OF DIRECTORS

MRS. ABAN PESTONJEE

Chairperson

Aban Pestonjee is a dynamic and accomplished business leader with over four decades of experience in the business world. Mrs. Pestonjee's vision, leadership and entrepreneurial spirit have been instrumental in driving the growth and success of the Abans Group. She is an embodiment of the Company's ethos of 'identifying a need and fulfilling it'. Mrs. Pestonjee's passion, drive and courage as a South Asian woman in a male-dominated business world have served as an inspiration to generations of Sri Lankan business women.

The repertoire of accolades received by Mrs. Pestonjee include the Global Strategy Leadership Award presented at the World Strategy Summit, the Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women's Association and the Bronze Award, under the large business category at the Women Entrepreneur of the Year Awards by the Women's Chamber of Industry and Commerce, both in the year 2000, the KOTRA Plaque of Appreciation presented in 2005, for forging strategic foreign economic ties between Korea and Sri Lanka, Leading Woman Entrepreneur of the World Award presented by the Princess of Thailand in 2006, Woman Entrepreneur of the Year Award by the Women's Chamber of Industry and Commerce at the Woman Entrepreneur of the Year 2017 Awards, as well as the Gold Award in the Extra Large Business Enterprise Category, and Sri Lanka's Entrepreneur of the Year Award at the Derana Sri Lankan of the Year Awards 2017.

In 2021 she was recognized as one of Sri Lanka's most admired leaders at the Most Admired Companies Awards, organised by the International Chamber of Commerce, Sri Lanka and the Chartered Institute of Management Accountants. Mrs Pestonjee has been interviewed by The Harvard Business School, and the transcript of the interview is held in the school's Baker Library, available to students for research and case studies.

Mrs. Pestonjee also holds directorships at Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tourist Hotel (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, and A B Manufacturing (Pvt) Ltd.

MR. BEHMAN PESTONJEE

Executive Director

From 25th November 1981 to 17th June 2023

Mr. Behman Pestonjee, who passed away in June 2023, was a Marine Engineer, Class 1 (D.O.T. London), and was with the Company since its inception. He played a pivotal role in building the business from the ground up. He overlooked most of the critical functions of the organisation, including sourcing, marketing and sales. His dynamic leadership of the operations division was a key driver of the Company's success. Mr. Behman Pestonjee was also responsible for managing crucial business partnerships that have helped to expand the Abans retail network from a single store to over 400.

As an inspiring leader, Mr. Behman Pestonjee had a unique management style based on pragmatism and execution. He was known for his strong work ethic, strategic vision, people-oriented leadership style and was widely respected for his business acumen, leadership skills, and commitment to driving positive change in the industry. He was passionate about building a strong and dynamic team, empowering his employees to achieve their full potential, through fostering a culture of innovation and excellence.

Mr. Behman Pestonjee held several directorships at key Abans Group Companies, including Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd and Abans Engineering (Pvt) Ltd, and A B Manufacturing (Pvt) Ltd.

MRS. SAROSHI DUBASH

Executive Director

Appointed w.e.f. 11th July 2023

Dr. Saroshi Dubash is responsible for overseeing various aspects of the supply chain functions, such as import purchasing, wharf clearance, warehousing, inventory control, distribution and information systems. In addition, she also manages the finance, human resources, training and internal audit departments.

Currently, Dr. Dubash serves as the Managing Director of Abans Logistics (Pvt) Ltd, a fully-fledged logistics Company that specialises in freight, transport, warehousing, distribution, container yards and other logistics operations. She is also a Director of several other Abans Group Companies, including Abans PLC, Colombo City Centre Partners (Pvt) Ltd, Abans Retail Holdings (Pvt) Ltd, Abans International (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd and Crown City Developers (Pvt) Ltd.

Dr. Dubash is highly involved in the business community and has held several leadership positions. Previously, she served as the Chairperson of the Women's Chamber of Industry and Commerce and was also a representative on the Ceylon Chamber of Commerce Board. Additionally, she is a member of Women in Logistics and Transport (WILAT) and serves as a committee member of the Australian New Zealand Business Committee and the Canadian Business Committee. Dr. Dubash is also a member of Sri Lanka Institute of Directors (SLID) and the Women Corporate Directors (WCD), which is a global organisation for women directors.

She is an accomplished professional with a PhD in Philosophy, an MBA (US), and an BSc honours degree in Chemistry (London).

BOARD OF DIRECTORS

MR. ATHULA SIRIWARDANE

Executive Director

With 40 years of experience in supply chain management, Mr. Athula Siriwardane played a key role in supporting the Abans Group to succeed as a diversified business entity. He was appointed as the Executive Director of Abans Electricals PLC in September 2016. He is also an expert on import clearances and has many years of experience in engaging with state institutions. As a key Company liaison with the Ministry of Finance and other relevant authorities, he has supported the growth of the Abans Group and built strong relationships.

Mr. Siriwardane's careful management has enabled the Company to implement cost saving measures, while ensuring timely delivery of final products. He is a visionary leader who encourages modernisation and investment in technology and has established a pipeline of new leaders who will shape next generation supply chain solutions.

MR. DINAL MARIO REX PHILLIPS

Independent Non-Executive Director

Mr. Dinal Phillips, who was appointed to the Board in February 2018, is a specialist in the field of intellectual property, commercial arbitration, Company law litigation and sports law, with over 30 years of experience in the field of law. His legal expertise has provided invaluable legal counsel to facilitate business expansion and he also serves as the Chairman of the Related Party Transactions Review Committee and is a member of both the Audit Committee and Remuneration Committee.

Mr. Phillips continues to practice in the Commercial High Court, which deals in commercial law disputes and engages in litigation related to injunctions, bank recovery issues, insurance claims, family and labour disputes. He is a Member of The Court of Arbitration of the International Chamber of Commerce and Founder Member of the Austrian Business Circle of Sri Lanka. He is a former Director of the National Development Bank PLC and was a member of the National Intellectual Property Advisory Commission for 12 years and was elected Chairman twice.

MR. KUMAR DE SILVA

Independent Non-Executive Director

Mr. Kumar De Silva, was appointed to the Board in February 2018, and is also the Chairman of the Audit Committee and the Remuneration Committee, and is a member of the Related Party Transactions Review Committee. With over 30 years of experience in business management, backed by strong professional expertise, Mr. De Silva's marketing knowledge has proved to be highly valuable for the Company's growth.

He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing, and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK.

MR. RAJARATNAM SELVASKANDAN

Independent Non-Executive Director

Appointed w.e.f. 28th February 2023

Mr. Rajaratnam Selvaskandan is an Independent Non-Executive Director at Abans, a position he has held for several years. With more than three decades of experience in legal practice and management, Mr. Selvaskandan is a highly accomplished Attorney-at-Law (SL) and Solicitor (England & Wales and Hong Kong). He is an expert in corporate and commercial transactions, mergers and acquisitions, banking and financing matters, investment structuring and project development.

Mr. Selvaskandan is a Senior Partner at Varners, a leading law firm in Sri Lanka, where he has served since 2005. He was admitted to the Supreme Court of Sri Lanka as an Attorney-at-Law in 1982 and has since built an impressive career in private practice and public service. He was a State Counsel at the Attorney General's Department in Sri Lanka before serving as a Partner in a renowned law firm in Hong Kong for more than two decades.

In addition to his role at Abans, Mr. Selvaskandan is also Director of CT Land Development PLC and serves on the board of several other prominent Companies, including the LAUGFS group.

Throughout his career, Mr. Selvaskandan has earned a reputation as a leading practitioner in the field of M&As and project development in Sri Lanka. He has acted for a range of international clients and is highly respected for his expertise in legal matters related to business and investment.

As an Independent Non-Executive Director at Abans, Mr. Selvaskandan brings a wealth of legal knowledge and business acumen to the board. He is committed to ensuring that the Company operates with integrity, transparency and meets the highest standards of corporate governance.

MR. JAGATH JAYASUNDARA

Executive Director / CEO

*Appointed w.e.f. 08th March 2023**Resigned w.e.f. 06th June 2023*

Mr. Jagath Jayasundara, who counts over 21 years of hands-on experience in the fields of manufacturing, quality management, maintenance, research and development, and construction, is a multidisciplinary and experienced professional with qualifications in engineering, accounting and management. He has over 8 years of experience at senior management level, and over 5 years of work experience in the capacity as a Chief Executive Officer, guiding and directing operational aspects.

Mr. Jayasundara holds a BSc. Engineering (Hons) degree specialized in product engineering from the University of Peradeniya, Faculty of Engineering in 2001 and a Master of Business Administration degree from the Postgraduate Institute of Management, University of Sri Jayewardenepura in 2014. Mr. Jayasundara is also an Associate member of the Chartered Institute of Management Accountants, UK.

Mr. Jayasundara was appointed as the Chief Executive Officer of Abans Electricals PLC on 01st October 2017 and he was appointed to the Board of Abans Electricals PLC with effect from 08th March 2023. Mr. Jayasundara is also a Director of A B Manufacturing (Pvt) Limited.

CORPORATE GOVERNANCE

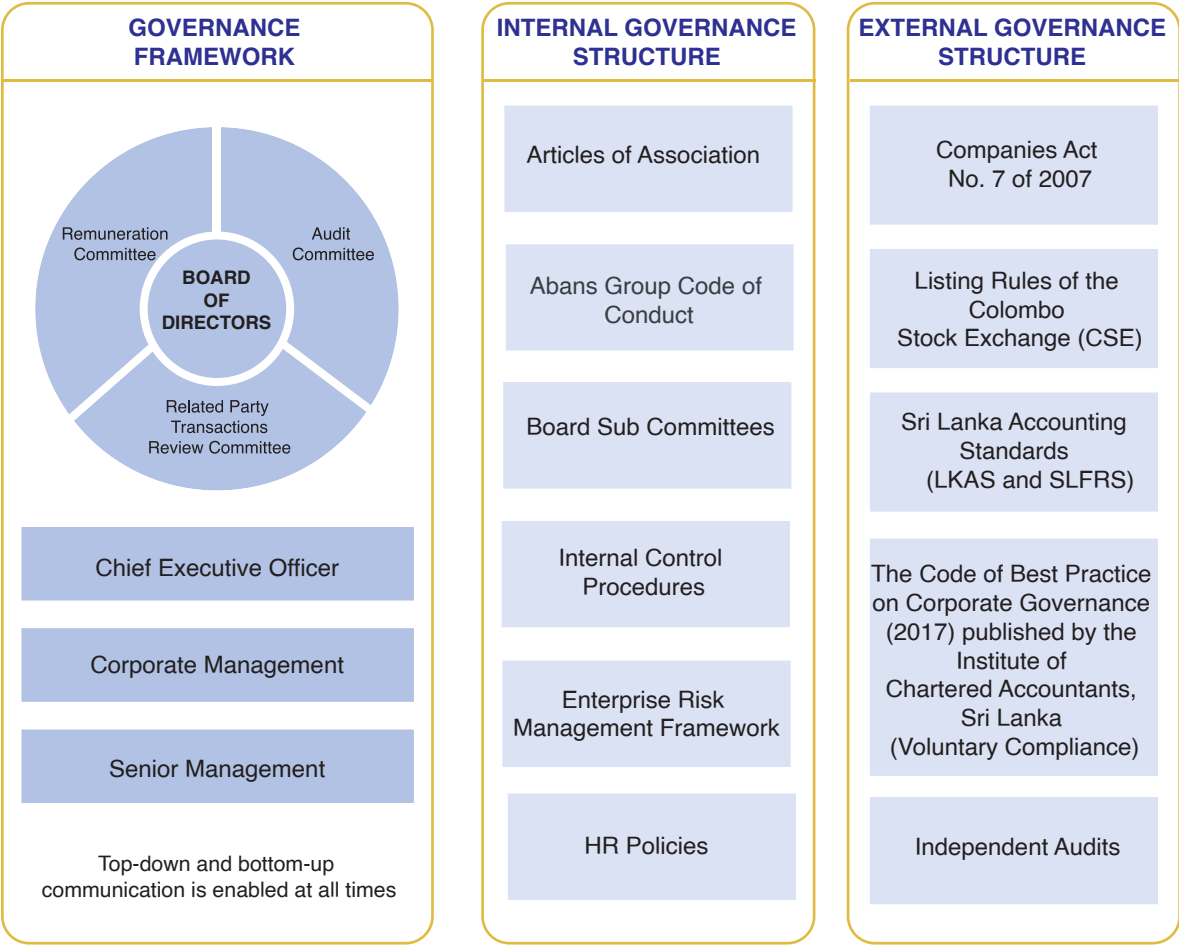
INTRODUCTION

With the macro environment worsening from the start of the current financial year, the Board of Abans Electricals PLC placed greater emphasis on good governance related aspects, including greater oversight, closer internal controls, and stronger risk management processes, in order to safeguard the Company and shareholder assets from the increasing level of external threats. While the Company has always invested in industry best practices with regards to governance and ensured total compliance with all applicable laws and regulations, while submitting to governance oversight by Abans PLC, the major shareholder, the urgency of the economic conditions of the current financial year, warranted closer oversight of financial assets and prudent and flexible management decision making to sustain financial and operational stability. Oversight mechanisms were further strengthened during the year to facilitate proper management of Company assets, while continuous supervision of all transactions contributed towards optimum utilisation of financial, and other assets, while preventing misuse and abuse of Company assets.

Reporting and communication systems were further enhanced for faster internal and external information flows for more informed decision making and market monitoring. This process ensured continuous monitoring of existing and emerging market threats, while also enabling the Company to take advantage of any emerging market opportunities.

STATUS OF COMPLIANCE

Abans Electricals PLC was fully compliant with all applicable laws and regulations and we did not face any fines, or penalties, for non-compliance during the year under review. This includes compliance with the mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange. Wherever possible, we have also voluntarily complied with the provisions of the Code of Best Practice on Corporate Governance jointly advocated by the Securities and Exchange Commission and the Institute of Chartered Accountants of Sri Lanka.



CORPORATE GOVERNANCE

INTERNAL GOVERNANCE STRUCTURE

The Board of Directors is the highest and final authority with regards to Company decision making. The Board is supported in its deliberations by the Board Sub Committees, to which the Board has formally delegated some responsibilities, and Senior Management Committees. Internal governance administration is conducted through a range of formal policies, systems and procedures that facilitates oversight over internal controls and risk management.

BOARD OF DIRECTORS

The Board of Directors of Abans Electricals PLC comprised seven (07) Directors during the year under review, with three (03) of them being Non-Executive Independent Directors.

PROFILES OF THE DIRECTORS

Please refer pages 21 to 23 of this annual report for concise profiles of the Board members.

BOARD RESPONSIBILITIES

The Board is collectively and individually responsible to formulate, implement and monitor business strategy, develop effective systems to secure the integrity of information, internal controls, business continuity and risk management, ensure compliance with laws, regulations and ethical standards, consider the interests of all stakeholders in corporate decisions and establish processes for corporate reporting.

Directors make individual and collective judgments and obtain internal and external professional consultancy for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

The dramatic changes within the external environment during the year under review, entailed close and continuous monitoring of the Company's risk profile by the Board of Directors in order to develop new strategic responses and to realign operational strategies to mitigate emerging risks and capitalise on opportunities. In view of the unpredictable environment that prevailed, the Board maintained regular interactions with the management team for period market updates. In addition, the Board placed emphasis on assessing implications of the changing macroeconomic landscape, including factors that significantly affected business operations, such as social unrest, foreign currency shortages, import restrictions, tax revisions, fuel and power shortages and price increases, while continually monitoring performance against agreed targets.

BOARD BALANCE AND COMPOSITION

The members of the Board represent a range of skills and experiences from diversified fields of expertise, to provide holistic oversight and guidance for the Company, to navigate challenging and unpredictable macroeconomic developments.

FINANCIAL ACUMEN

The Board ensures financial acumen through the inclusion of financially knowledgeable members and includes a Board member holding membership in professional accountancy bodies. The Board also has the authority to retain external consultants for specialised information, whenever necessary.

SEPARATION OF POWERS OF CHAIRPERSON AND CEO

As stipulated by best practices in corporate governance, the roles of Chairman and CEO have been segregated, ensuring division of responsibility and limiting the powers and authority of the each official.

CHAIRPERSON'S RESPONSIBILITIES

The Chairperson is the head of the Board of Directors and as such is primarily responsible for leading the Board in its deliberations and ensures the Board is in complete control of the Company's affairs and alert to its obligations towards all shareholders and other stakeholders. During Board meetings the Chairperson is responsible for facilitating discussions among all Directors towards collective and informed decision making. As the Company figurehead, the Chairperson represents the view of the Board to the public.

CHIEF EXECUTIVE OFFICER'S RESPONSIBILITIES

The Chief Executive Officer (CEO) continuously monitors and reports to the Board on performance of the Company and is responsible to implement the Company's strategic plan and policies of the Board. The CEO guides and supervises senior management to ensure that the operating model of the Company is aligned to achieve short-term, medium-term and long-term objectives.

BOARD MEETINGS

The Board of Directors of Abans Electricals PLC meet on a quarterly basis at minimum, and as-and-when required.

Despite the turbulent macro environment that prevailed during the year, the Board ensured that it convened four (04) times. When it was not possible to arrange physical meetings, the Board meetings were held through digital/hybrid platforms, ensuring continuity of Board activities.

ATTENDANCE AT THE BOARD MEETINGS

During the year under review, four (04) Board meetings were held, one every quarter. The meeting agendas and Board papers were circulated to all Board members prior to Board and Sub-committee meetings. Attendance at the Board meetings held during the financial year 2022/2023 is as follows.

CORPORATE GOVERNANCE

Name	Attendance
Mrs. Aban Pestonjee, Chairperson	1/4
Mr. Behman Pestonjee, Executive Director	4/4
Mr. Athula Siriwardane, Executive Director	2/4
Mr. Kumar De Silva, Independent Non-Executive Director	4/4
Mr. D M R Phillips, Independent Non-Executive Director	4/4
Mr. Rajaratnam Selvaskandan*, Independent Non-Executive Director	-
Mr. Jagath Jayasundara**, Executive Director/ Chief Executive Officer (CEO)	-

APPOINTMENTS / RE-ELECTION TO BOARD

The Nomination Committee is entrusted with the task of nominations and appointments to the Board. The Company has in place an evaluation criterion for the selection of members to the Board, based on the objectives of the Company.

With regards to the retirement and re-election of Directors, the Company follows the regulatory framework, as well as the provisions of the Company's Articles of Association.

APPRAISAL OF THE BOARD

The performance of the Board members is reviewed and evaluated by the Board and Chairperson by giving due consideration to the external and internal environment and measuring the degree of success, or the failure, in achieving goals and objectives assigned individually and collectively.

BOARD SUB-COMMITTEE COMPOSITION

	Audit Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors			
Mrs. Aban Pestonjee, Chairperson			
Mr. Behman Pestonjee			M
Mr. Athula Siriwardane			
Mr. Jagath Jayasundara, CEO**			
Independent Non-Executive Directors			
Mr. Kumar De Silva	C/M	C/M	M
Mr. D M R Phillips	M	M	C/M
Mr. Rajaratnam Selvaskandan*			

C - Chairman | M - Member

* Appointed w.e.f. 28th February 2023

** Appointed w.e.f. 08th March 2023 and Resigned w.e.f. 06th June 2023

DIRECTORS' REMUNERATION

A formal procedure is in place for setting remuneration of Directors of the Company with the Remuneration Committee entrusted to make recommendations on suitable remuneration packages. The primary objective of this exercise is to attract and retain the highest skilled experts onto the Board to guide the Company. Remuneration for Non-Executive Directors is determined based on the time commitment, role and responsibilities of each individual Director, as well as industry experience. The remuneration and other benefits of the Board of Directors are set out in Note No. 8 & 31 to the financial statements.

BOARD SUB-COMMITTEES

Three Board Sub-Committees have been established in conformity with regulatory requirements, to which the Board has delegated some of its functions, while retaining final decision-making rights. The Board Sub-Committees comprise predominantly of Independent Non-Executive Directors. The three Board Sub-Committees are as follows:

- Audit Committee
- Remuneration Committee
- Related Party Transactions Review Committee

A brief description about these committees is set out in pages 31 to 33.

CORPORATE GOVERNANCE

SECRETARIES

As stipulated by the Companies Act, the Company has appointed a Company Secretary, which is Varners International (Private) Limited. The task of the Company Secretary is to ensure compliance with the Companies Act and the regulations of the Colombo Stock Exchange. In addition, they are entrusted with administration of Board proceedings, maintenance of minutes, agendas and papers, required for Board meetings.

COMMUNICATION WITH SHAREHOLDERS

The Board is fully aware of the importance of shareholders in the context of good corporate governance, transparency and accountability. Therefore, the Board assures that shareholders have equal access to information and ensures adequate and timely disclosure of all material information pertaining to the Company.

EXTERNAL GOVERNANCE STRUCTURE

Abans Electricals PLC complies with a complex network of external governance requirements in its daily operations. This structure of external governance consists of laws, regulations and best practices that enable the Company to operate within a sound corporate governance framework.

During the financial year under review, the Company has fully complied with all mandatory provisions applicable to the Company, as stipulated by the Companies Act No. 07 of 2007 and the Listing Rules published by the Colombo Stock Exchange. A detailed compliance report is set out below.

STATEMENT OF COMPLIANCE UNDER SECTION 7.6 OF THE LISTING RULES OF THE COLOMBO STOCK EXCHANGE (CSE) ON ANNUAL REPORT DISCLOSURE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
I	Names of persons who were Directors of the Entity	Yes	Refer page no. 21 - 23
II	Principal activities of the entity and its subsidiaries during the year, and any changes therein	Yes	Refer page no. 39
III	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Yes	Refer page no. 86
IV	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Yes	Refer page no. 85 - 86
V	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	Yes	Refer page no. 41
VI	Information pertaining to material foreseeable risk factors of the Entity	Yes	Refer page no. 34 - 38
VII	Details of material issues pertaining to employees and industrial relations of the Entity	Yes	There are no material issues pertaining to employees and industrial relations.
VIII	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Yes	Refer page no. 40
IX	Number of shares representing the Entity's stated capital	Yes	Refer page no. 85
X	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Yes	Refer page no. 85 - 86
XI	Financial ratios and market price information	Yes	Refer page no. 3 & 85
XII	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Yes	Refer page no. 65 - 68
XIII	Details of funds raised through a public issue, rights issue and a private placement during the year	Yes	There were no fund raising activities carried out to increase the stated capital
XIV	Information in respect of Employee Share Ownership or Stock Option Schemes	Yes	There is no Employee Share Option Scheme or Purchase Scheme

CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
XV	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	Yes	Refer page no. 28 - 29
XVI	Related Party transactions exceeding 10 per cent of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	Yes	Refer page no. 77 - 78

STATEMENT OF COMPLIANCE UNDER SECTION 7.10 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1 Non-Executive Directors (NED)			
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	Yes	Three out of Seven Board members are NEDs
7.10.2 Independent Directors			
A	2 or 1/3 of NEDs, whichever is higher shall be "independent"	Yes	All NED are independent
B	Each NED to submit a signed and dated declaration of his/her independence or non-independence	Yes	NEDs have submitted signed confirmation of their independence.
7.10.3 Disclosures Relating to Directors			
a/b	Board shall annually determine the independence or otherwise of NEDs	Yes	The Board has determined that the criteria for independence has been met for NEDs
C	A brief resume of each Director should be included in the annual report including the Directors' experience	Yes	Refer page no. 21 - 23
D	Provide a resume of new Directors appointed to the Board along with details	Yes	Refer page no. 21 - 23
7.10.4 Criteria for Defining Independence			
a to h	Requirements for meeting the criteria to be an Independent Director	Yes	The Board as a whole decides on selection criteria
7.10.5 Remuneration Committee (RC)			
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	Yes	Refer page no. 32
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	Yes	Refer page no. 32
B	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	Yes	Refer page no. 32
c.1	Names of Remuneration Committee members	Yes	Refer page no. 32
c.2	Statement of Remuneration policy	Yes	Refer page no. 32
c.3	Aggregate remuneration paid to EDs and NEDs	Yes	Refer note 8 on page no. 63
7.10.6 Audit Committee (AC)			
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	Yes	Refer page no. 31
a.2	A NED shall be the Chairman of the committee	Yes	Refer page no. 31
a.3	CEO and CFO should attend AC meetings	Yes	Refer page no. 31
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	Yes	Refer page no. 31

CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
B	Functions of the AC	Yes	Refer page no. 31
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with Sri Lanka Accounting Standards.	Yes	Refer page no. 31
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	Yes	Refer page no. 31
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the Sri Lanka Auditing Standards.	Yes	Refer page no. 31
b.4	Assessment of the independence and performance of the Entity's External Auditors	Yes	Refer page no. 31
b.5	Make recommendations to the Board pertaining to External Auditors	Yes	Refer page no. 31
c.1	Names of the Audit Committee members shall be disclosed	Yes	Refer page no. 31
c.2	Audit Committee shall make a determination of the independence of the External Auditors	Yes	Refer page no. 31
c.3	Report on the manner in which Audit Committee carried out its functions.	Yes	Refer page no. 31

STATEMENT OF COMPLIANCE UNDER SECTION 9.3.2 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
A	Details pertaining to Non-Recurrent Related Party Transactions	Yes	Refer page no. 78
B	Details pertaining to Recurrent Related Party Transactions	Yes	Refer page no. 78
C	Report of the Related Party Transactions Review Committee	Yes	Refer page no. 33
D	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to RPT, or a negative statement otherwise	Yes	Refer page no. 41

STATEMENT OF COMPLIANCE PERTAINING TO THE COMPANIES ACT NO. 7 OF 2007

Rule	Governance Requirement	Compliance Status	Reference/ Comment
168 (1) (a)	The nature of the business together with any change thereof	Yes	Refer 1.2 item on page no.53
168 (1) (b)	Signed financial statements of the Group and the Company	Yes	Refer page no. 49 - 84
168 (1) (c)	Auditors' Report on financial statements	Yes	Refer page no. 44 - 48
168 (1) (d)	Accounting policies and any changes therein	Yes	Refer page no. 53 - 62
168 (1) (e)	Particulars of the entries made in the Interests Register	Yes	Refer page no. 40
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Yes	Refer note 8 on page no. 63
168 (1) (g)	Corporate donations made by the Company	Yes	Refer note 8 on page no. 63
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during, and at the end of the accounting period	Yes	Refer page no. 41
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Yes	Refer note 8 on page no. 63
168 (1) (j)	Auditors' relationship or any interest with the Company and its Subsidiaries	Yes	Refer page no. 31
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Yes	Refer page no. 50

CORPORATE GOVERNANCE

ASSURANCE

Assurance is provided through both internal and external audits, which are conducted on a regular basis, which provides assurance with regards to internal controls and financial reporting, and also provides assurance on compliance with corporate governance requirements.

INTERNAL AUDIT

A comprehensive annual audit plan is prepared to cover both operational and financial aspects of the Company. Any deviations from the existing internal controls and procedures are highlighted and remedial actions are recommended whenever necessary. In addition, the Group's Internal Audit Department directly report to the Audit Committee and conducts periodic reviews to ensure that the internal controls and procedures are consistently followed and complies with laws and regulations.

EXTERNAL AUDIT

External Auditors are engaged by the Company and conducts annual independent audits. The External Auditors' report assists the Board to determine the adequacy and effectiveness of the Company's internal controls and provides reasonable assurance on the credibility, reliability and integrity of the information presented in financial statements. Messrs. Ernst & Young Chartered Accountants were the External Auditors of Abans Electricals PLC and are responsible for the audit of the financial statements of the Company.

REPORT OF THE AUDIT COMMITTEE

The Board Audit Committee (here-in-after referred to as the ‘Committee’) assists the Board of Directors (here-in-after referred to as the ‘Board’) in the discharge of its responsibilities by providing necessary oversight to Abans Electricals PLC’s (here-in-after referred to as the ‘Company’) financial reporting, internal controls and ‘internal and external’ audit practices.

ROLES AND RESPONSIBILITIES

The role of the Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the Financial Statements, the Internal Control and Risk Management, Compliance with Legal and Regulatory Requirements, the External Auditor’s Performance, Qualifications, Independence, and the adequacy in performance of the Internal Audit function undertaken by the Group Internal Audit Department. The Audit Committee has been established through a charter which defines its scope of authority, functions and responsibilities.

The key responsibilities of the Committee include:

- Reviewing quarterly and annual financial statements including disclosures and related policies to ensure quality, transparency, integrity, accuracy and compliance with Sri Lanka Accounting Standards and laws and regulations.
- Reviewing the adequacy of the Company’s internal controls framework and effectiveness of established internal control procedures.
- Evaluating the Company’s risk management mechanism and adequacy of steps taken to identify, assess and mitigate possible risks.
- Reviewing the adequacy and effectiveness of internal audit arrangements.
- Overseeing the appointment/re-appointment, compensation, resignation, and dismissal of the external auditor, including review of the external audit function, its cost-effectiveness and monitoring of the external auditor’s independence.
- Monitoring the financial reporting process and providing assurance on the financial statements through an independent and objective assessment.
- Assisting the board to discharge its responsibilities on ensuring the quality of financial reporting and information.

COMPOSITION

The Committee comprised two (02) Independent Non-Executive Directors. During the year under review, the Committee consisted the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D.M.R. Phillips

Brief profiles of the members of the Committee are given on pages 21 to 23 of the Annual Report.

M/S Varners International (Pvt) Ltd served as the Secretary to the Committee

All Non-Executive Directors satisfy the criteria of Independence as specified within the Listing Rules of the Colombo Stock Exchange (CSE) and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

MEETINGS

The Committee met on Four (04) occasions (via video conferencing) during the year to discuss, among other matters, the Reports of the Internal and External Auditors and Interim Financial Statements. The attendance of the members at these meetings were as follows.

Director	Attendance
Mr. Kumar De Silva, Committee Chairman	4/4
Mr. D M R Phillips	4/4

Other Directors, including the Group Chief Financial Officer, Chief Executive Officer, and the Heads of Finance of the two divisions (Manufacturing and Service), the Group Chief Internal Auditor and the External Auditors, were invited to attend these meetings, when required.

REPORTING OF FINANCIAL STATEMENTS

One of the primary activities of the Committee during the year was to review the Company’s quarterly and annual financial statements with other Directors, Management and the Internal auditors, prior to publication. The reviews established that the financial statements and disclosures complied with the Sri Lanka Accounting Standards and other mandatory, statutory and regulatory requirements laid down by the authorities, and the appropriateness and changes in accounting policies and material judgmental matters.

The activities and views of the Committee were communicated to the Board on a quarterly basis through verbal briefings, and by tabling the minutes of the Committee meetings.

REPORTING ON INTERNAL AUDITS, RISK AND CONTROLS

The Company followed a risk-based audit methodology for assessing the effectiveness of internal control procedures, for the management of significant risks. The Committee reviewed the significant findings and recommendations which were prioritized based on the level of risk. The Committee followed up on internal audit recommendations with the Senior Management. Internal audit reports were made available to external auditors as well.

REPORTING ON EXTERNAL AUDITS

The Committee reviewed the independence of the external auditor and the effectiveness of the audit process, as well as non-audit services provided by the auditors, to ensure such services will not impair the external auditor’s independence and objectivity. Discussions were held with the external auditor on their audit approach and procedure, including matters relating to the scope of the audit and the auditor’s independence. The audited financial statements were reviewed with the external auditor for conformity with the Sri Lanka Accounting Standards. The external auditors were consulted without management being present, prior to the finalization of the financial statements to obtain an independent opinion.

The Committee has recommended to the Board that Messrs. Ernst and Young, Chartered Accountants, be reappointed for the financial year ending 31st March 2024, subject to the approval of the shareholders at the next Annual General Meeting.

CONCLUSION

Having reviewed the financial statements, internal controls and risk management procedures of the Company, the Committee is satisfied with the operation of business activities, internal controls and procedures, compliance with laws and regulations, safeguards pertaining to assets, and the financial reporting system of the Company.

I extend my appreciation to the members of the Committee and all others who supported the Committee in discharging its duties.

Kumar De Silva
Chairman - Audit Committee

REPORT OF THE REMUNERATION COMMITTEE

The Board of Abans Electricals PLC has appointed a Remuneration Committee to assist the Board in its deliberations. The scope and objectives of the Committee, are defined by the Charter of the Remuneration Committee.

The primary objective of the Committee is to attract, retain and motivate suitably qualified Executive Directors and Key Management Personnel to execute Company strategies. The scope of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organization, which incorporates performance-based incentives.

The recommendations for remuneration are based on the guidelines of the Board of Directors, market comparators for similar positions and Group Compensation and Benefits Policy. In this system, every member of staff is informed of key result areas that will be judged, along with an objective performance evaluation system.

No remuneration is paid to the Non-Executive Directors other than the Directors fees paid for participation at Board meetings.

Remuneration of staff is based on the profile of the job holder and encompasses the base salary, benefits and fixed allowances (which is considered as guaranteed remuneration), alongside a variable pay scheme. Such variable pay schemes are designed to drive business goals and have been aligned with the goals of corporate governance.

Based on market surveys carried out, the Company, has adopted measures while ensuring internal and external parity, which will support the organization to attract the right talent from external talent pools and retain high performers within the organization.

POLICY

The Remuneration Policy of Abans Electricals PLC focuses on attracting, motivating, and retaining staff with appropriate professional, managerial and operational expertise in order to achieve the goals and objectives of the Company.

COMPOSITION

The Remuneration Committee consisted of two (02) Independent Non-Executive Directors appointed by the Board of Directors. During the year under review, the Committee consisted the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D.M.R. Phillips

MEETINGS

No Remuneration Committee meetings held during the financial year 2022/23.

M/S Varners International (Pvt) Ltd served as the Secretary to the Committee.

CONCLUSION

Following its deliberations, the Committee is satisfied with the Company's recruitment, appraisal and remuneration policies and procedures, to facilitate the retention and development of the Company's Human Capital. The Committee concludes that the Company will have to continually evolve in its human resource policies to overcome the rising competition and recommends further adoption of technologies for human resource management.

Kumar De Silva

Chairman – Remuneration Committee

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Abans Electricals PLC has established a fully functional Related Party Transactions Review Committee, tasked with exercising oversight, on behalf of the Board, to ensure compliance with the directions of the Securities and Exchange Commission (SEC) of Sri Lanka and the Colombo Stock Exchange (CSE), on related party transactions. The Committee complies with the stipulations of the Code of best practices on Related Party Transactions, of the SEC, and the Listing Rules of CSE and has also adopted best practices as recommended by the Institute of Chartered Accountants of Sri Lanka.

POLICIES AND PROCEDURES

The Company has in place a Related Party Transactions Policy, whereby the categories of persons/entities who shall be considered as “Related Parties” have been identified.

SCOPE OF THE COMMITTEE

- Ensure compliance by managing relationships with related parties
- Approve and review related party transactions, except those expressly exempted by the Rules
- Make determinations on whether specific related party transactions require Board approval, or shareholder approval
- In the case of recurrent related party transactions, establish guidelines for senior management to follow
- Ensure objectivity of assessments by ensuring that a Director who is a related party of a transaction, does not participate in discussions regarding the said transaction. Such participation of a ‘related party’ Director is permitted only under the express invitation of the Committee and only to provide information concerning the transaction.
- Ensure market disclosure and disclosure in the annual report, in a timely and detailed manner.
- Obtain knowledge, or expertise to assess all aspects of proposed related party transactions where necessary, including obtaining appropriate professional and expert advice from suitably qualified persons.
- Seek any information the Committee requires from Management, employees or external parties with regard to any transaction entered into, with a related party.

COMPOSITION

The Committee comprised of three (03) members with two (02) Independent Non-Executive Directors and one (01) Executive Director for the duration of the financial year 2022/2023. However, the Executive Director Mr. Behman Pestonjee passed away on 17th June 2023, and a new Executive Director had not been appointed as at the time of printing this annual report.

The recommendations of the Committee were communicated to the Board of Directors, every quarter throughout the financial year 2022/2023 via verbal briefings, in addition to tabling the minutes of the Committee meetings.

MEETINGS

During the year under review, four (04) Related Party Transactions Review Committee meetings were held.

M/S Varners International (Pvt) Ltd, the Company Secretaries, served as the Secretary to the Committee.

Director	Attendance
Mr. D. M. R. Phillips Committee Chairman	4/4
Mr. Kumar De Silva	4/4
Mr. Behman Pestonjee*	4/4

* From 25th November 1981 to 17th June 2023

REVIEW OF RELATED PARTY TRANSACTIONS

In its deliberations the Committee concluded that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company. The terms of these transactions were not more favourable to the related party, than those generally available to the public.

The recurrent related party transactions mainly related to the sale of manufactured and assembled items to Abans PLC. It was noted that the total sale price offered was adjusted based on negotiations between the two parties, and the arrangement between the parties were taken into consideration, whereby Abans PLC has purchased a majority of the products manufactured and assembled by the Company.

DECLARATION

The Board has made a declaration regarding compliance with the Rules pertaining to related party transactions, which is published on page no. 41 of this Annual Report.

I extend my thanks to all members who served in the Committee, for their hard work and dedication.

Mr. D M R Phillips

Chairman - Related Party Transactions Review Committee

ENTERPRISE RISK MANAGEMENT

The financial year 2022/2023 presented one of the most unpredictable and uncertain operating environments in the recent past, with the emergence of new risks and the escalation of existing risks. Therefore, anticipating and managing emerging and potential risks was crucial for business continuity and financial sustainability. Abans Electricals PLC's sustained financial growth during this period of severe economic downturn is indicative of the Company's ability to not only efficiently respond to the risks but also anticipate new risks and risk directions.

STRATEGIC OBJECTIVES

Our strategic risk management objectives remained unchanged during the year, although our business strategies had to be reviewed continually and realigned in response to the changing risk landscape.

STRATEGIC OBJECTIVES OF RISK FUNCTION

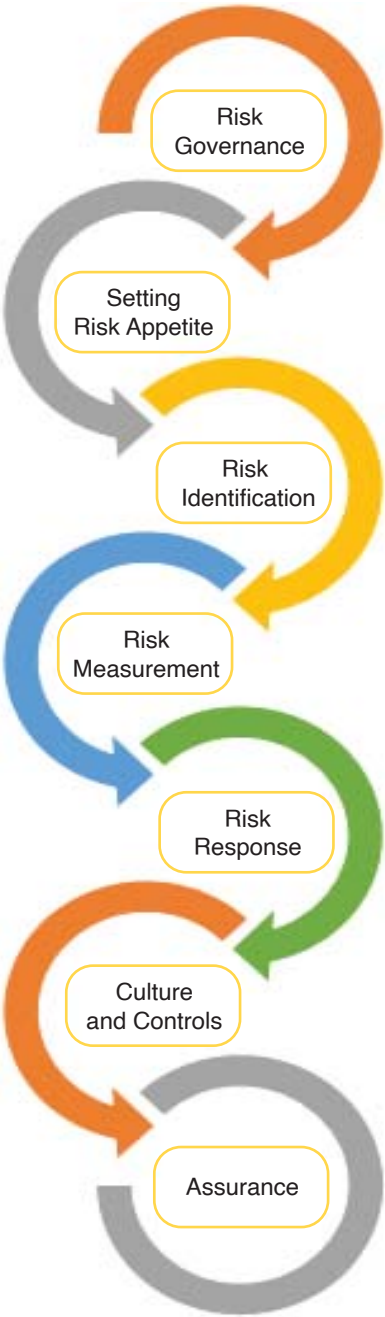


RISK GOVERNANCE

The Board of Directors maintained final responsibility for managing the risks and were supported by the Audit committee in ensuring that all significant risks were identified, assessed and managed efficiently and effectively apart from their responsibilities of monitoring internal controls and engaging with internal and external auditors. The Board is also responsible for regularly reviewing defined risk functions and enhancing risk management related policies and procedures and is also responsible of defining the risk appetite, setting the risk objectives, approving risk management framework and approving policies for effective risk management.

ENTERPRISE RISK MANAGEMENT FRAMEWORK

Risk management was a key, ongoing activity at Abans Electricals PLC, during the year to protect our shareholder assets.



ENTERPRISE RISK MANAGEMENT

RISK MANAGEMENT PROCESS

The risk management process encompasses:

- **Risk Identification**

We identify risks by engaging with stakeholders, including our significant shareholders, suppliers, employees, government, and others, and by continually monitoring economic variables which directly impact demand and supply dynamics.

- **Risk Measurement and Prioritisation**

Risks are assessed and prioritised, based on impact and likelihood

- **Risk Response**

Based on risk-return dynamics, we respond to risks by either accepting, avoiding, or by adopting necessary actions for mitigation

- **Risk Reporting**

Ongoing reports are communicated to the Board and Audit Committee

CULTURE AND CONTROLS

To build a risk ownership culture and establish risk controls at individual level, we conduct regular staff training and awareness programmes. We encourage risk identification and communication by all grades of staff and do not limit these activities to the Board and management cadre.

ASSURANCE

The risk management process is continually evaluated and monitored to ensure effectiveness.

RISK PROFILE 2022/2023

Anticipating the risks was key to staying ahead of market disruptions during the year, and this was possible due to the clear and comprehensive risk reporting and risk analysis system. The Company's integrated risk management culture had to be harnessed to its maximum to facilitate efficient bottom-up communication of market risk dynamics, and for rapid deployment of top-down risk management responses. Company strategies had to be reviewed and realigned, with particular emphasis on financial risk management, while also aligning our other capitals to mitigate existing and future risks. The significant risk exposures of the Company, potential impacts and the risk mitigation actions that are in place, are detailed below.

ECONOMIC AND BUSINESS RISKS

Macro-economic risk		
Risk	• Political instability and civil unrest • Economic deterioration • Decline in industry activities	
Significant Developments in 2022/23	• Protests and disruptions to normal life • Shortages on essential goods such as fuel, food and medication • Declining consumer demand due to erosion of disposable incomes as a result of escalating cost of living and rupee depreciation	
Risk Mitigation	• Macro-economic changes were closely monitored and business strategies were adapted to respond to external developments. • The Board and the Senior Management Team regularly reviewed the impact of economic conditions on the Company's strategic plans.	
Risk Rating	2021/22 - High	2022/23 - High

Government policy and regulation		
Risk	• Import restrictions : As the Company is engaged in local manufacturing, import restrictions had limited impact. However, due to the foreign exchange shortage, licensed commercial banks prioritised imports of essential items, which resulted in delays in importing raw material and other parts for manufacturing. • Revision of existing tax structure	
Significant Developments in 2022/23	• Increase in corporate tax rates resulted in decreasing corporate earnings. In addition, increase in personal tax rates affected the disposable income levels of our customers, which caused demand to decline. • Imposition of a 100% cash margin on certain imports • Import restrictions on certain non-essential items • CBSL directive to commercial banks to prioritise essential imports • CBSL restrictions on utilizing exporter proceeds and mandatory conversion rule	
Risk Mitigation	• Continuous dialogues and negotiations were maintained with key government institutions, various industry associations and trade chambers. • Long term plans and development approaches of the Government were regularly evaluated to seize opportunities.	
Risk Rating	2021/22 - High	2022/23 - High

ENTERPRISE RISK MANAGEMENT

FINANCIAL RISKS

Managing financial risks is a key element of overall risk management. This risk category involves interest rate risk, currency risk, credit risk and liquidity risk. The Finance Division, together with the Group Treasury and the Group Chief Financial Officer, are responsible to manage financial risks effectively and efficiently.

Interest rate risk

Risk	Tighten monetary policy
Significant Developments in 2022/23	The repeated increase in interest rates eroded profitability due to increased cost of borrowing.
Risk Mitigation	- Focused on recoveries and improved debt collection process - Closely monitored treasury management function to optimise and reduce borrowing cost - Maintained a strong relationship with lenders and leveraged the strength of the Abans Group to negotiate favourable terms of credit
Risk Rating	2021/22 - High 2022/23 - High

Currency risk

Risk	Foreign exchange shortage: The foreign exchange shortage made it difficult to open LCs to import raw materials, which inhibited manufacturing activities. In addition, the rupee depreciation resulted in significant cost increases, which diluted operating margins.
Significant Developments in 2022/23	- Crippling shortage of foreign currency - The Sri Lankan rupee depreciated rapidly and by a large amount against the US dollar - Banks required extended foreign supplier credit periods to manage the foreign currency pressure
Risk Mitigation	- Encouraged foreign currency payments for all possible transactions by providing competitive prices - Increased local sourcing, or found local agents - Built inventory by placing orders in advance - Leveraged on relationships within the Abans Group to obtain the foreign currency - Revised selling prices in a timely manner - Maintained strict cost management and improved efficiencies and productivity
Risk Rating	2021/22 - High 2022/23 - High

Liquidity risk

Risk	Liquidity risk was enhanced due to rising costs, which made cashflow planning more complicated.
Significant Developments in 2022/23	- Unpredictability of prices - Suppliers either limited, or shortened, credit periods due to uncertainty in foreign exchange rates and the high rate of inflation - Rising interest rates
Risk Mitigation	- The liquidity position was regularly reviewed and working capital risk was managed effectively - Negotiated with financial institutions to obtain extensions for existing import loans and to restructure borrowings under favourable terms. - Undrawn, committed credit facilities were maintained to meet short, medium and long-term funding requirements and any unforeseen commitments
Risk Rating	2021/22 - High 2022/23 - High

ENTERPRISE RISK MANAGEMENT

Credit risk

Risk	Repayment delays : Abans PLC is the main client of the Company, while the balance are corporate clients, government and individual customers.	
Significant Developments in 2022/23	- Repeated disruptions of economic activities - Various corporates introduced supplier payment deferral policies - Rupee devaluation, fuel cost increases and interest rate increases caused business activities to decline	
Risk Mitigation	- Regularly monitored debt follow-up and collection process, and necessary actions were initiated against long outstanding debtors - Regular reviews and monitoring of creditworthiness and debtor age - Implemented contractual agreements with customers whenever necessary and significant payments were secured by bank guarantees and letters of credit facilities - Company credit policy was shortened and tightened and credit terms were allowed only for selected customers	
Risk Rating	2021/22 - Moderate	2022/23 - Moderate

OPERATIONAL RISKS

Supply chain risk

Risk	Supply chain disruptions and delays. The Company is dependent on international and local suppliers for manufacturing inputs and spare parts.	
Significant Developments in 2022/23	- Local supplies were disrupted due to import restrictions and fuel shortages - Sudden price increases due to rupee depreciation and rising costs - Foreign suppliers demanded international bank certifications and advance payments	
Risk Mitigation	- Advanced purchase orders were placed to secure adequate stocks - Procurement and distribution plans were continually reviewed - Alternative sourcing avenues were sought - Strong, long-lasting relationships are maintained with both foreign and local suppliers for preferential treatment	
Risk Rating	2021/22 - High	2022/23 - High

Information technology risk

Risk	As the Company increasingly relies on IT systems any significant system failure will disrupt operations and impede the decision-making process.	
Significant Developments in 2022/23	- Work disruptions increased dependency on digital solutions - Work-from-home models were continued - Cybersecurity threats and the threat to data security increased due to expansion of digital systems	
Risk Mitigation	- IT related policies and procedures for network and information security are available - Data bases and critical information were regularly backed-up - Investments were made in advanced cybersecurity software and infrastructure	
Risk Rating	2021/22 - Moderate	2022/23 - Moderate

People related risk

Risk	High brain-drain and labour losses	
Significant Developments in 2022/23	- Many employees left the country to avoid uncertainty and rising costs - Employee stress increased due to rising cost of living and shortage of essential items, which indirectly impacted productivity	
Risk Mitigation	- All attempts were made to recruit the best people with the right skills - A performance-based reward system, succession planning and career development programmes have been implemented - Remuneration packages are periodically evaluated to correspond with industry pay rates - Procedures are in place to handle grievances and staff complaints - Employee welfare activities were expanded and financial support was provided, when required	
Risk Rating	2021/22 - Moderate	2022/23 - Moderate

ENTERPRISE RISK MANAGEMENT

Health and safety risk		
Risk	- Health risks due to infectious diseases reduced - However physical safety risks due to civil and political unrest increased	
Significant Developments in 2022/23	- Civil and political unrest - Shortages of medicines - Health sector strikes	
Risk Mitigation	- Security facilities for premises were enhanced - Adequate, preliminary level medical facilities are provided, and insurance policies are available for all employees - Stringent health and safety measures have been implemented across all operations and personal protective equipment is provided	
Risk Rating	2021/22 - High	2022/23 - Moderate

Environment related risk		
Risk	- Natural disasters - Non-compliance with environmental regulations.	
Significant Developments in 2022/23	Consumption of plastics, chemicals, rubber, steel, and energy, increased during the year, due to growth in local manufacturing.	
Risk Mitigation	- Industry best practices and ISO standards have been adopted - All premises and processes comply with environmental regulations - Collaborated regularly with relevant environmental regulatory bodies - Continued to recycle and reuse damaged and quality rejected plastic components to minimize non-degradable waste - All waste is disposed through approved organisations - Have adopted Solar power for renewable energy	
Risk Rating	2021/22 - Moderate	2022/23 - Moderate

MARKET PLACE RISKS

Reputational risk		
Risk	Uncontrollable events, or negative public perception, can damage the Company's reputation, including unavailability and quality concerns regarding products, and delays in service delivery.	
Significant Developments in 2022/23	- Fuel shortages and work disruptions affected the prompt delivery of after sale services - Shortages of spare parts caused delays in responding to customer repair and servicing needs.	
Risk Mitigation	- We obtained regular customer feedback to monitor customer satisfaction levels - Operational teams responded promptly and acted on complaints and suggestions - Complied with statutory and environmental regulations and quality standards (ISO 9001: 2008) - Continuous training, quality management and assurance programmes were conducted to improve product quality	
Risk Rating	2021/22 - High	2022/23 - High

ANNUAL REPORT OF THE BOARD OF DIRECTORS

At the, 41st Annual General Meeting of Abans Electricals PLC, the Directors have great pleasure in presenting the annual report of the Board of Directors, and the audited financial statements and other relevant information for the year ended 31st March 2023. With the objective of greater transparency this Report provides additional information regarding the status of the Company's non-financial capitals, as well as financial capitals, and should be read together with the financial statements, as well as the Chairperson's Statement and the Management Discussion and Analysis for more in-depth understanding of the operating environment and the activities of the Company during the year. This report was approved by the Board of Directors on 31st August 2023.

PRINCIPAL ACTIVITIES

The principal activities of Abans Electricals PLC have remained unchanged during the year and are categorized as manufacturing, assembling and installation of selected consumer durable products, provision of repair and maintenance services for a wider range of household electric and electronic appliances and installation of roof top Solar PV Systems. The Company engages in its manufacturing activities and services delivery, via two separate divisions.

(A) Manufacturing Division

The Manufacturing Division's activities includes the production of a number of consumer durables under the "Abans" brand name, as well as in collaboration with internationally recognised brand names. It is also involved in the installation of roof top Solar PV Systems. During the current financial year, the Division commenced the production of some plastic components for refrigerators.

(B) Service Division

The Service Division is a dedicated installation and after sales unit to provide technical support for Abans customers. The Division's activities include installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group.

REVIEW OF BUSINESS OPERATIONS

An overview of the Company's operating environment and business activities during the year, are provided in the Chairperson's Statement. In addition, the financial performance of the Company, and the status of its non-financial capitals are discussed under the five capitals listed under the Management Discussion and Analysis section of this report.

FINANCIAL STATEMENTS AND THE REPORT OF THE AUDITORS

The Company has complied with all applicable laws and regulations and best practices in the preparation and presentation of the financial statements for the year ended 31st March 2023. The Financial Statements have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and have been duly certified by the two divisional Heads of Finance and approved by two Directors in compliance with the Companies Act, and must be considered as an integral part of this annual report. Please refer the financial statements of the Company, which are given from pages 49 to 84 of this annual report. The Financial Statements. The Independent Auditors' Report on the Financial Statements of the Company is given on pages 44 to 48.

With regards to further more detailed explanations on the financial performance and financial status of the Company, please refer the Chairperson's Statement and the Financial Capital chapter.

		2022/2023	2021/2022
Revenue	LKR '000	5,246,866	4,329,171
Profit/(Loss) before Tax	LKR '000	184,857	134,488
Tax Saving/(Expense)	LKR '000	(51,338)	(30,273)
Profit/(Loss) after Tax	LKR '000	133,520	104,215
Total Comprehensive Income - Net of Tax	LKR '000	124,367	117,144
Profit Available For Appropriation	LKR '000	1,180,319	1,088,537
Ordinary Dividend Per Share (Paid)	LKR	5.00	3.00

ACCOUNTING POLICIES

During the current financial year, the Accounting Policies adopted by the Company did not undergo any significant material changes. All significant accounting policies are mentioned in the Notes to the financial statements.

DIVIDENDS

Having carefully reviewed the financial position of the Company, as stipulated under Section 56(2) of the Companies Act No 7 of 2007, the Board of Directors have come to

the conclusion that the Company satisfies the solvency test in accordance with Section 57 of the Companies Act No 7 of 2007. As required, the Directors have obtained certificates from the auditors confirming this status. Having ascertained the status of solvency through internal and external assessments, the Directors have recommend a final dividend of LKR 5.00 per ordinary share for the financial year ended 31st March 2023.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

CAPITAL EXPENDITURE

The Company's total investment on property, plant and equipment, including intangible assets, for the financial year 2022/2023 was LKR 59,918,092 (FY 2021/2022, LKR 180,751,741). Please refer Note 12 to the financial statements for all related information and movements pertaining to this expenditure.

However, there were no further additions to intangible assets during the financial year 2022/2023 and remained the same compared to the previous financial year (2021/2022 LKR 500,000/-). All the related information and movements in this regard have been disclosed in Note 15 to the financial statements.

VALUATION ON LAND, BUILDINGS AND INVESTMENT PROPERTIES

All investment properties at Panadura were revalued as at 31st March 2023, and the carrying value amounted to LKR 47.00 Mn (2021/2022 LKR 42.55 Mn).

Gross carrying value of land and buildings as at the balance sheet date of the FY 2022/2023, was LKR 1,033.94Mn (As at 31st March 2022, LKR 985.25Mn). Please refer the table below for the valuation of the Company's land, buildings and other properties.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalue Date
Colombo 06	1	39.58	484,000,000	31.03.2023
Ratmalana	3	95.21	244,936,100	31.03.2023
Kandy	1	18.70	92,000,000	31.03.2023
Boralesgamuwa	-	83.10	75,800,000	31.03.2023
Negombo	1	31.10	46,100,000	31.03.2023
Galle	1	13.24	91,100,000	31.03.2023
Panadura	-	44.90	47,000,000	31.03.2023

INVESTMENTS

A description of the long-term investments held by the Company as at 31st March 2023, is disclosed in Notes 16 to the financial statements.

STATED CAPITAL

The state capital of the Company as at 31st March 2023 remained the same at LKR 186.7 Mn (As at 31st March 2022 LKR 186.7 Mn). The movement and composition of the stated capital are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements.

REVENUE RESERVES

The Company had in its position as at 31st March 2023, total revenue reserves of LKR 1,180.32 Mn (As at 31st March 2022, LKR 1,088.54 Mn). The movement and composition of the revenue reserves are disclosed in the Statement of Changes in Equity.

SHARE INFORMATION

Information regarding shares and the shareholders of the Company as at 31st March 2023 are given in page no. 85 & 86 of the annual report. This includes the composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading, market capitalisation, public holding percentage and number of public shareholders are given on the same.

MAJOR SHAREHOLDERS

The names and percentage of shareholdings, of the 20 largest shareholders of the Company, are listed in page no. 86 of the annual report.

EQUITABLE TREATMENT OF SHAREHOLDERS

The Company believes in the equitable treatment of all shareholders and has at all times ensured this principle in application during the year.

INFORMATION PERTAINING TO THE BOARD OF DIRECTORS

The profiles of the Directors are given in the Board of Directors section of this annual report. The Corporate Governance chapter provides the relevant disclosures pertaining to good governance practices including retirement and re-election to the Board and review of the performance of the Board and Board Committees.

DIRECTORS' INTERESTS

Directors' interests in contracts of the Company are included in Note No. 31 to the financial statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct, or indirect, interest in any other contract, or proposed contract, of the Company.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Name		Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	Director	293,438	293,438
Mr. Behman Pestonjee*	Director	176,505	171,505
Mr. Athula Siriwardane	Director	Nil	Nil
Mr. Kumar De Silva	Director	Nil	Nil
Mr. D M R Phillips	Director	Nil	Nil
Mr. Rajaratnam Selvaskandan**	Director	Nil	Nil
Mr. Jagath Jayasundara***	Director/CEO	Nil	Nil
Mrs. Saroshi Dubash****	Director	334,628	334,628

* From 25th November 1981 to 17th June 2023

** Appointed w.e.f. 28th February 2023

*** Appointed w.e.f. 08th March 2023 and Resigned w.e.f. 06th June 2023

**** Appointed w.e.f. 11th July 2023

DIRECTORS' REMUNERATION

Details of the remuneration and other benefits received by the Directors are disclosed in Note 08 and 31 of the financial statements.

RELATED PARTY TRANSACTIONS

The Company is in compliance with Rule 09 of the Listing Rules of the Colombo Stock Exchange pertaining to related party transactions, during the financial year. The Company's transactions with Related Parties, given in Note 30 to the Financial Statements, have complied with Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practice on Related Party Transactions, under the Securities and Exchange Commission Directive, issued under Section 13(c) of the Securities and Exchange Commission Act.

EMPLOYMENT

All material developments during the year under review pertaining to the Company's employees is provided in the Human Capital chapter of this annual report.

CORPORATE GOVERNANCE

Abans Electricals PLC has remained fully committed towards good corporate governance practices and ensured immediate and full compliance at all times. The Company's governance framework and the compliance status of the Company are given in the Corporate Governance chapter of this report.

BOARD SUB-COMMITTEES

The Board Sub-Committees have met regularly and have been actively supporting the Board in its decision-making activities during the year. Information relating to Board Sub-committees are given under Corporate Governance report on page no. 26 and in separate reports on pages from 31 to 33 of this Annual Report. Reports include information on composition, meetings and attendance of the Audit Committee, Remuneration Committee, Related Party Transactions Review Committee.

DONATIONS

Total donations to the value of LKR 300,180 were made during the year (2021/2022 - Nil)

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

COMPLIANCE WITH LAWS AND REGULATIONS

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

RISK MANAGEMENT AND INTERNAL CONTROL

As an integral component of good governance, the Company has continued to maintain and improve its risk management systems. These aspects pertaining to managing the risks faced by the Company during the year are discussed in page no. 34 to 38 of this annual report.

EVENTS SUBSEQUENT TO THE BALANCE SHEET DATE

There are no circumstances since the Balance Sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note No. 33 to the financial statements.

MAJOR TRANSACTIONS

There were no major transactions of material effect, other than those which are disclosed in the annual report.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

GOING CONCERN

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements.

INDEPENDENT AUDITORS

The Board of Directors have resolved to appoint Messrs Ernst & Young, Chartered Accountants as the Auditors of the Company and a resolution proposing their appointment, authorising the Directors to determine the remuneration of the Auditors, will be tabled at the Annual General Meeting, as stipulated under Section 158 of the Companies Act No. 07 of 2007. The Audit Committee is involved in reviewing the appointment of the Auditors, their effectiveness, independence and relationship with the Company, including fees paid to the Auditors.

REPORTS TO THE PUBLIC

The Company has continued to make all applicable public disclosures in a timely and transparent manner to provide all relevant stakeholders with information pertaining to the Company. These include the quarterly financial statements and annual report, that were published on time, enabling stakeholders and the public to make a fair and informed appraisal of the Company's performance.

ANNUAL GENERAL MEETING

We hereby notify that the 41st Annual General Meeting of Abans Electricals PLC will be held as a virtual meeting on 22nd September 2023 at 10:00 a.m.

This Annual Report is signed for, and on behalf, of the Board of Directors.

By Order of the Board,

Sgd

Varners International (Private) Limited

Secretaries

Colombo

THE STATEMENT OF DIRECTORS' RESPONSIBILITY

In compliance with the Companies Act No 7 of 2007 and Listing Rules of the Colombo Stock Exchange, the Directors of Abans Electricals PLC, have compiled the statement below stipulating the responsibilities of Directors that have been duly upheld during the year under review:

- As part of their duties under sections 150 (1), 151, 152 (1) & 153 of the Companies Act No. 7 of 2007, the Directors are held responsible for the preparation of the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS / LKAS). The Directors are also held responsible for the selection and application of appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis. In complying with the above responsibilities, any material departures, have been duly disclosed and explained.
- As the apex governing body, the Directors are required to justify the use of the going concern basis in the preparation of financial statements, by making sure that adequate resources are available to continue operations into the foreseeable future.
- In compliance with the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange, the Directors are held responsible to ensure that the financial statements present the relevant disclosures and required information.
- The establishment of a proper internal control system is another activity the Directors are tasked with, for the prevention and detection of fraud and other financial irregularities, to safeguard assets. In addition, the Directors are also held responsible to execute and record all transactions with proper authorisation.
- The Directors are required to provide the external auditors with every opportunity to carry out reviews and tests, which are appropriate to perform their responsibilities and express their opinion regarding the financial statements of the Company.

The Statement of Directors' Compliance with the above responsibilities in relation to the financial statements of the Company, has been stated below. Furthermore, the Directors are of the view that they have discharged their responsibilities in compliance with the above requirements. In addition, the responsibility of Independent Auditors is set out in the Independent Auditors' report, with regards to the financial statements prepared in accordance with the provision of Companies Act No. 07 of 2007 ("the Act") and SLFRS/LKAS.

The financial statements have been presented according to the Sri Lanka Accounting Standards (SLFRS/LKAS). The Statement of Profit and Loss and Other Comprehensive Income presents a true and fair view of the profit and loss of the Company for the financial year, and the Statement of Financial Position, presents a true and fair view of the state of affairs of the Company as at the end of the financial year and complies with the requirements of the Companies' Act and SLFRS/LKAS.

In addition, The Audit Committee of the Company met periodically with the internal auditors and the independent external auditors, to review the progress of the annual audit plan and to discuss key matters pertaining to auditing, internal controls, and financial reporting. Following a review and recommendation by the Audit Committee, the Board of Directors approved the Interim Financial Statements prior to release. The internal auditors have also conducted periodic audits to ensure the established policies and procedures were consistently followed.

COMPLIANCE REPORT

In this statement of compliance, as stipulated by the Companies Act No 7 of 2007 and Listing Rules of the Colombo Stock Exchange, the Directors of Abans Electricals PLC hereby confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

By Order of the Board,
Sgd

Varners International (Private) Limited
Secretaries
Colombo



Ernst & Young
Chartered Accountants
201, De Saram Place
P.O. Box 101
Colombo 10, Sri Lanka

Tel: +94 11 246 3500
Fax (Gen): +94 11 269 7369
Fax (Tax): +94 11 557 8180
Email: eysl@lk.ey.com
ey.com

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company") which comprise the Statement of Financial Position as at 31 March 2023, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 March 2023 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The Financial Statements of Abans Electricals PLC for the year ended 31 March 2022 were audited by another auditor, who expressed an unqualified opinion on those Financial Statements on 31 August 2022.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACA, Ms. P S Paranavitane ACA LLB (Colombo), T P M Ruberu FCA FCMA

A member firm of Ernst & Young Global Limited



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Key audit matter	How our audit addressed the key audit matter
Revenue from sale of goods The Company derived its revenue of Rs. 5,246 Mn from sale and provision of repair & Maintenance services of consumer durable goods as disclosed in note 5 to the financial statement. Recognition of revenue was a key audit matter due to: Materiality of the reported amount coupled with significant increase (66%) in revenue by the company during the year.	Our audit procedures included the following: - Evaluated the design and tested the operating effectiveness of key controls relevant to revenue from sale of goods. - Performed appropriate analytical procedures to understand and assess the reasonableness of reported revenue. - Tested the revenue transactions by reviewing the sales invoices, delivery notes & service contracts. - Our procedures included testing revenue cut-off at the period-end date to determine whether transactions are recorded in the proper period and to the proper accounts. - Based on the respective terms and conditions of service contracts, we assessed whether income recognised over the period is in line with the company's accounting policy for revenue recognition. We also assessed the adequacy of related disclosures in Note 4.1 and 5 to the financial statements.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Key audit matter	How our audit addressed the key audit matter
Assessment of fair value of land and buildings Property, Plant and Equipment and Investment properties include land and buildings carried at fair value. The fair values of land and buildings were determined by external valuers engaged by the Company. This was a key audit matter due to: - Materiality of the reported Land & Buildings balances which amounted to Rs. 1,080 Mn and represented 22% of the total assets as of reporting date. - The degree of assumptions, judgements and estimation uncertainties associated with assessing the fair valuation of Land and Buildings such as reliance on comparable market transactions, and current market conditions. Key areas of significant judgments, estimates and assumptions used in the valuation of the land and buildings included the following: - Estimate of per perch value of the land - Estimate of the per square foot value of the buildings	Our audit procedures were based on the best available information as at date of this report and focused on the valuations performed by the external valuer engaged by the Company. Our procedures included the following; - Assessed the competency, capability and objectivity of the external valuer engaged by the Company. - Read the external valuer's report and understood the key estimates made and the approach taken by the valuer in determining the valuation of each land and building. - Assessed the reasonableness of the significant judgements made by the valuer and valuation techniques, per perch price and value per square foot used by the valuer in the valuation of each land and building We have also assessed the adequacy of the disclosures made in Notes 4.4, 12 & 14 relating to the significant judgements, valuation techniques and estimates used by the external valuer.

Other information included in the 2023 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Responsibilities of the management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2471.

Ernst & Young
Chartered Accountants
Colombo

31st August 2023

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
Revenue	5	5,246,865,597	4,329,171,211
Cost of sales		(4,370,530,257)	(3,780,505,796)
Gross profit		876,335,340	548,665,415
Other income	6	41,898,305	39,016,251
Change in fair value of investment property	14	4,450,000	5,550,000
Marketing and distribution expenses		(119,539,761)	(70,970,622)
Administrative expenses		(380,768,592)	(326,433,104)
Operating profit		422,375,292	195,827,940
Finance cost	7.1	(297,154,152)	(81,569,485)
Finance income	7.2	59,635,908	20,229,963
Profit before taxation	8	184,857,048	134,488,418
Tax expenses	9	(51,337,533)	(30,273,352)
Profit for the year		133,519,515	104,215,066
Other comprehensive income net of tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or (loss) on defined benefit obligations net of tax		(16,184,876)	12,929,129
Gain on revaluation of property, plant and equipment net of tax		7,032,054	-
Other comprehensive income for the year-net of tax		(9,152,822)	12,929,129
Total comprehensive income for the year		124,366,693	117,144,195
Earnings per share - basic/ diluted	10	26.13	20.39
Dividends per share (Paid)	11	5.00	3.00

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

AS AT 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
Non Current Assets			
Property, plant and equipment	12	1,428,745,744	1,393,953,962
Right of use assets	13	20,097,855	48,930,812
Investment property	14	47,000,000	42,550,000
Financial investments	16.1	52,404,002	50,293,359
Total Non Current Assets		1,548,247,601	1,535,728,133
Current Assets			
Inventories	17	1,543,615,642	2,162,729,011
Trade and other receivables	18	251,134,224	297,295,263
Advances, deposits and prepayments	19	292,323,790	294,707,987
Amounts due from related parties	20	838,560,900	529,811,645
Investment in short term deposits	16.2	368,471,657	316,625,338
Cash in hand and at bank	21	54,884,113	200,802,753
Total Current Assets		3,348,990,326	3,801,971,997
Total Assets		4,897,237,927	5,337,700,130
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Revaluation reserve	22.1	490,365,165	483,333,111
Retained earnings		1,180,318,604	1,088,536,765
Total Equity		1,857,415,769	1,758,601,876
Non Current Liabilities			
Interest bearing loans and borrowings	23.1	46,809,888	107,308,251
Contract liabilities	28	50,976,855	44,665,254
Retirement benefit obligation	24	94,638,446	81,964,076
Deferred tax liability	25	198,718,062	112,342,000
Total Non Current Liabilities		391,143,251	346,279,581
Current Liabilities			
Trade and other payables	26	789,646,204	1,838,713,698
Income tax payable	27	34,812,225	38,803,615
Contract liabilities	28	127,017,320	181,569,117
Amounts due to related parties	29	30,839,270	56,251,108
Interest bearing loans and borrowings	23.2	1,666,363,888	1,117,481,135
Total Current Liabilities		2,648,678,907	3,232,818,673
Total Liabilities		3,039,822,158	3,579,098,254
Total Equity and Liabilities		4,897,237,927	5,337,700,130

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.

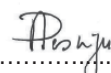


 Head of Finance
 (Manufacturing Department)

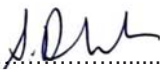


 Head of Finance
 (Service Department)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board of Directors by;



 Director



 Director

Colombo
31 August 2023

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 MARCH 2023

	Stated capital Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total equity Rs.
Balance as at 1 April 2021	186,732,000	483,333,111	986,724,250	1,656,789,361
Net profit for the year	-	-	104,215,066	104,215,066
Other comprehensive income for the year	-	-	12,929,129	12,929,129
Final dividend 2020/2021	-	-	(15,331,680)	(15,331,680)
Balance as at 31 March 2022	186,732,000	483,333,111	1,088,536,765	1,758,601,876
Net profit for the year	-	-	133,519,515	133,519,515
Other comprehensive income for the year	-	7,032,054	(16,184,876)	(9,152,822)
Final dividend 2021/2022	-	-	(25,552,800)	(25,552,800)
Balance as at 31 March 2023	186,732,000	490,365,165	1,180,318,604	1,857,415,769

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
Net profit before taxation	8	184,857,048	134,488,418
Adjusted for:			
(Profit)/ Loss from sale of property, plant and equipment	6	(344,035)	3,974,151
Depreciation and amortization	8	89,868,186	87,629,660
Amortization of right of use assets	8	23,970,180	27,978,323
Defined benefit plan costs	24	19,255,144	11,788,520
Finance expenses	7.1	297,154,152	81,569,485
Interest income	7.2	(59,635,908)	(20,229,963)
Bad debts (reversal) / provisions	18.1	(21,276,068)	13,234,844
Provision for obsolete stocks	17.1	12,002,239	29,267,357
Change in fair value of investment property	14	(4,450,000)	(5,550,000)
Interest cost on lease liability	23.4	3,558,572	6,805,849
Lease - Gain on modification	6	(1,840,335)	-
Deferred income	28.1	(199,548,993)	(140,768,429)
Cash flow from operating activities before working capital changes		343,570,183	230,188,215
(Increase) / decrease in trade and other receivables		67,437,108	(17,213,272)
(Increase) / decrease in deposits, advances and prepayments		2,384,197	(245,842,033)
(Increase) / decrease in inventories		607,111,079	(928,801,027)
(Increase) / decrease in amounts due from/to related companies		(334,161,093)	(115,888,723)
Increase / (decrease) in trade and other payables		(897,755,948)	1,160,996,953
		(211,414,474)	83,440,114
Tax paid	27	(23,340,161)	(43,374,918)
Interest paid		(283,451,828)	(77,661,981)
Gratuity paid	24	(32,351,250)	(9,396,892)
Net cash flows (used in) / from operating activities		(550,557,713)	(46,993,677)
Investing activities			
Interest income	7.2	59,635,908	20,229,963
Purchase of property, plant and equipment and intangible asset	12 & 15	(59,918,092)	(180,751,741)
Proceeds from disposal of property, plant and equipment		6,607,112	152,905
Net investment in fixed deposits		(53,956,961)	(19,255,446)
Net cash flows (used in) / from investing activities		(47,632,033)	(179,624,320)
Financing activities			
Dividend paid		(25,552,800)	(15,331,680)
Receipt of long term loans	23.3	-	75,000,000
Repayments of long term loans	23.3	(46,800,000)	(43,050,000)
Repayments of long term lease liabilities	23.4	(35,361,485)	(42,101,118)
Net movement in short term loans		502,520,898	224,548,547
Net cash flows (used in) / from financing activities		394,806,613	199,065,750
Net increase / (decrease) in cash and cash equivalents		(203,383,133)	(27,552,246)
Cash and cash equivalents at the beginning of the year		38,988,365	66,540,611
Cash and cash equivalents at the end of the year		(164,394,768)	38,988,365
Cash and cash equivalents at the beginning of the year			
Cash at bank and in hand		200,802,753	66,540,611
Bank overdrafts		(161,814,388)	-
		38,988,365	66,540,611
Cash and cash equivalents at the end of the year			
Cash at bank and in hand	21	54,884,113	200,802,753
Bank overdrafts	23.5	(219,278,881)	(161,814,388)
		(164,394,768)	38,988,365

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

1. Corporate information

1.1 General

Abans Electricals PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the Company is located at 498, Galle Road, Colombo 3 and the principal place of business is situated at 126, Airport Road, Ratmalana, and 506B Galle Road, Colombo 06.

1.2 Principal activities and nature of operations

The principal activities of the Company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances and installation of roof top Solar PV systems.

1.3 Parent entity

The Company does not have an identified Parent. However, Abans PLC has a significant influence over the Company through the holding of 48% equity stake.

1.4 Date of authorization for issue

The financial statements of the Company for the year ended 31 March 2023 was authorized for issue by a resolution of the Board of Directors on 31 August 2023.

1.5 Directors' Responsibility Statement

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors".

2. Basis of preparation

2.1 Statement of compliance

The financial statements of the Company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) is prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis, except for the defined benefit obligation, Land and buildings and financial assets which are measured as explained in the respective notes in the financial statements.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the Company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.3.1 Foreign Currency

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rate at the date the

transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated or Loss, in which case the increase is recognised in the statement of profit or loss.

2.4 Comparative information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year. Details of comparative information where presentation and classification have been amended are more fully described in Note 37.

2.5 Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern by considering the factors of the recent economic crises and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

2.6 Changes in Accounting Policies

The accounting policies adopted by the Company are consistent with those used in the previous financial year. The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

2.7 Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of profit or loss and other comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the Company to make

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the Company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) **Taxation**

The Company is subject to income taxes and other taxes including value added taxation, Excise duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The Company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) **Useful life-time of the property, plant and equipment, intangible assets**

The Company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) **Fair value measurement of property, plant and equipment (Land and buildings) and investment property**

Property, plant and equipment and investment property of the Company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the Company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment property are disclosed in note 14

d) **Impairment losses on financial assets – Trade receivables**

The Company determines the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

e) **Defined benefit plans**

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future salary increase rate of the Company.

4. **Summary of significant accounting policies**

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

4.1 **Revenue recognition**

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables. Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the stand alone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin.

Sale of goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

Rendering of services

Revenue from rendering of services is recognised when the service is performed.

Revenue recognised over the period

The Company recognises revenue from free services/maintenance over time, using an input method to measure progress towards satisfaction of the free services/maintenance over time. Company recognize the deferred revenue arisen from future free services/maintenance and charge it to the revenue subsequently as above mentioned.

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4.1.1 Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

Deferred income

The service income of the Company is recognized over the warranty period, since the Company is obliged to provide service for the agreed warranty period.

4.1.2 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.3 Dividend income

Dividend income is recognised in the statement of profit or loss and other comprehensive income on an accrual basis when the Company's right to receive the dividend is established.

4.1.4 Other income

Other income is recognized on an accrual basis.

4.1.5 Gains and losses

Gains and losses on disposal of an item of property, plant & equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant & equipment and are recognised net within "other income" in profit or loss.

4.2 Expenditure recognition

Expenses are recognized in the statement of statement of profit or loss and other comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of statement of profit or loss and other comprehensive income.

4.2.1 Finance Costs

Finance costs comprise interest expense on borrowings and financial leases that are recognised in the statement of profit or loss. The interest expense component of finance lease payments is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized

as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Company incurs in connection with the borrowing of funds.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements,

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deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised, or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.3.3 Sales Tax

Expenses and assets are recognised net of the amount of sales tax, except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- When receivables and payables are stated with the amount of sales tax included

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

4.3.3.1 VAT on Financial Services

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto.

4.4 Non-financial asset

4.4.1 Property, plant and equipment

Recognition and measurement

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The Company applies the cost model to property plant and equipment except for freehold land and building.

Revaluation model

The entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in statement of profit or loss and other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the statement of profit or loss and other comprehensive income to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the profit or loss and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the profit or loss. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rate of depreciation is based on the estimated useful life.

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Category of Asset	Useful Life	
	2023	2022
Buildings and installations	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

The asset's residual values, useful life and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of profit or loss and other comprehensive income in the year the asset is de-recognised.

4.4.2 Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) – Investment Property. The cost of the investment property comprises of its purchase price and any directly attributable expenditure and changes to fair value recognized in Profit or loss

4.4.3 Intangible assets – Computer Software

Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the Company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditures

Subsequent expenditures on software assets are capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.4 Leases

Lease liability

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The Company as a lessee

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable

The lease liability is presented in note 23 to the financial statements.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

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A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

Right of use assets

The Company recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment. The Company did not have any short-term or low-value lease assets.

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (first-in first-out) basis
Work-in-progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.6 Financial instruments –

Recognition and Measurement

4.6.1 Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. However, when a financial asset measured at fair value through Profit or Loss is recognised, the transaction costs are expensed immediately. Subsequent remeasurement of financial assets is determined by their categorisation, which is revisited at each reporting date. The settlement date is used for both initial recognition and subsequent derecognition of financial assets, as these transactions are generally under contracts that terms which require delivery within the time frame established by regulation or convention in the market place (regular-way purchase or sale)

The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. On initial recognition, a financial asset is classified and as measured either:

- At Amortised cost;
- At Fair Value through Other Comprehensive Income (FVOCI); or
- At Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, as at FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (Debt instruments)
- Financial assets at fair value through Other Comprehensive Income (FVTOCI)
- Financial assets at fair value through profit or loss

However, the financial assets of the Company are limited to the categories of financial assets at amortised cost (debt instrument) and financial assets fair value through other comprehensive Income (FVOCI)

a) Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss

Companies Financial Assets Classified Fair Through OCI which is in other investments Note 16.

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b) Financial assets at amortised cost (Debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost includes cash and short-term deposit, trade and other receivables and other financial assets

4.6.2 Impairment of Financial Assets

The Company recognizes expected credit losses for trade receivables. The ECL allowance is based on the credit losses expected to arise over the life of the asset. For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 365 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

4.6.3 Financial liabilities at amortised cost

Financial liabilities are initially recognised at the fair value of consideration received, less directly attributable transaction costs.

Subsequent to the initial measurement, financial liabilities are recognised at amortised cost. The difference between the initial carrying amount of the financial liabilities and their redemption value is recognised in the statement of profit or loss and other comprehensive income over the contractual terms using the effective interest rate method. This category includes trade and other payables, as well as other financial liabilities.

Financial liabilities at amortised cost are further classified as current and non-current depending on whether these will fall due within 12 months after the reporting date or beyond.

Financial liabilities are derecognised (in full or partly) when the obligation specified in the contract is either discharged, cancelled, expired or replaced by a new liability with substantially modified terms.

a) Loans and Borrowings (Financial Liabilities at Amortised cost)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss. This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 23

4.6.4 Derecognition of Financial Assets and Financial Liabilities

(a) Derecognition of Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
Or
- It retains the rights to cash flows but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

(b) Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.7 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

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4.8 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Employee Benefits

4.9.1 Defined benefit plan – gratuity

The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The Company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating units (CGU) fair value less costs to sell and its value in use.

It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are

corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the Statement of Profit or Loss in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income.

In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation. For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

4.10 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

4.11 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.12 Segmental information

For management purposes, the Company has organized two operating segments based on Operating Divisions, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a Company basis and are not allocated to operating segments.

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Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.13 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- | | |
|-----------|--|
| Level 1 - | Quoted (unadjusted) market prices in active markets for identical assets or liabilities |
| Level 2 - | Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable |
| Level 3 - | Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable. |

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

4.14 Effect of Accounting Standards Issued but Not Yet Effective

The following SLFRS have been issued by the Institute of Chartered Accountants of Sri Lanka that have an effective date in the future and have not been applied in preparing these financial statements.

SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace IFRS 4 Insurance Contracts (SLFRS 4). SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2025, with comparative figures required. However, SLFRS 17 will be neither affected nor applied to the Company since Company has not been engaged in Insurance contracts.

Definition of Accounting Estimates - Amendments to LKAS 8

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted.

Deferred Tax related to Assets and Liabilities arising from a Single Transaction Amendments to LKAS 12

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

Disclosure of Accounting Policies **Amendments to LKAS 1 and IFRS Practice** **Statement 2**

Amendments to LKAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies
- Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

Classification of Liabilities as Current or Non-current **Amendments to LKAS 1**

Amendments to LKAS 1 Presentation of Financial Statements specify the requirements for classifying liabilities as current or non-current. The amendments clarify;

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification
- Disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
5. Revenue			
Manufacturing department	5.1	4,360,487,059	3,603,482,023
Service department	5.2	886,378,538	725,689,188
		5,246,865,597	4,329,171,211
5.1 Manufacturing department			
Over the period		100,233,742	42,234,775
Point in time		4,260,253,317	3,561,247,248
		4,360,487,059	3,603,482,023
5.2 Service department			
Over the period		98,310,652	105,450,538
Point in time		788,067,886	620,238,650
		886,378,538	725,689,188
6. Other income			
Scrap and sundry parts sales		18,527,996	9,352,068
Transport and warehouse income		17,819,166	15,970,393
Insurance claim		89,754	85,862
Interest on employee loans		120,140	496,887
Profit from sale of property, plant and equipment		344,035	-
Rent income		1,921,500	2,116,800
Mobile phone reimbursement income		370,370	370,370
Registration fees income		80,000	-
Income from mobile bus		-	721,647
Gain on lease modifications		1,840,335	-
Income from shared services		-	9,323,294
Covid 19 rent concession		785,009	578,930
		41,898,305	39,016,251
7 Net finance cost			
7.1 Finance cost			
Term loan interest		12,802,911	13,802,551
Overdraft interest		36,071,092	3,727,617
Interest on import and short term loans		244,291,857	56,308,102
Interest on employee loans		429,720	925,366
Lease Interest		3,558,572	6,805,849
		297,154,152	81,569,485
7.2 Finance income			
Interest Income		59,635,908	20,229,963
		59,635,908	20,229,963
Net finance cost		237,518,244	61,339,522
8. Profit before taxation			
Profit from operations is stated after charging all expenses including the followings :			
Directors remuneration		3,292,337	3,292,337
Depreciation and amortisation	12.1 & 15	89,868,186	87,629,660
Depreciation of right of use assets	13	23,970,180	27,978,323
Staff costs (excluding defined contribution plan and defined benefit plan)		401,359,314	422,930,735
Defined contribution plan cost		55,399,857	60,286,830
Defined benefit plan cost		19,255,144	11,788,520
Donations		300,180	-
Auditor's remuneration		1,248,847	1,547,438
Legal fees		303,880	69,663

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
9. Tax expenses			
Income tax expense			
Current year	9.1	36,682,152	44,231,148
(Over) / under provision for prior years		(17,333,381)	(291,143)
		19,348,771	43,940,005
Deferred tax expense			
Origination / (reversal) of deferred tax assets		(11,990,660)	(17,562,746)
Origination / (reversal) of deferred tax liabilities		43,979,422	3,896,093
		31,988,762	(13,666,653)
Tax expense		51,337,533	30,273,352

9.1 Reconciliation of accounting profit and taxable income

Profit for the year		133,519,515	104,215,066
Current tax expense	27	19,348,771	43,940,005
Origination / (reversal) of deferred tax assets		(11,990,660)	(17,562,746)
Origination / (reversal) of deferred tax liabilities		43,979,422	3,896,093
Profit before tax		184,857,048	134,488,418
Tax rates applicable	14%, 24%, 18% & 30%		24% & 18%
Income tax at 14% - Rental		700,618	-
Income tax at 24% - Services		10,111,065	89,146
Income tax at 18% - Manufacturing		5,610,280	23,061,136
Income tax at 30%		33,656,348	-
Total income tax for the year		50,078,311	23,150,282
Less: Exempted interest income		-	5,193,118
Tax effect on disallowable expenses		28,758,447	39,356,346
Tax effect on allowable expenses		(28,504,220)	(31,357,587)
Tax effect on income from other sources and exempt income		(32,155,432)	(35,612,738)
Tax effect on tax profit on disposal of capital assets		-	(1,472,340)
Tax effect on deferred service income received during the year		18,505,047	44,974,067
Assessable income		36,682,152	44,231,148
Less: Deductions		-	-
Total current tax		36,682,152	44,231,148

The Company has used the new tax rate introduced by the Inland Revenue (Amendment) Act No. 45 of 2022 certified on 19 December 2022, (with retrospective effect from 01 October 2022) for income and deferred taxation. Accordingly, income tax rate of 24% was used for service, solar, trading and other income and 18% was used for manufacturing income for the first six months and a standard rate of 30% has been used for profits from all segments for the last six months.

As a result, the rate of 30% has been used for deferred tax as of 31 March 2023 and previously recognised deferred tax assets and liabilities were also remeasured to the same rate.

10. Earnings per share - basic/ diluted

Basic earning per share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	2022/2023 Rs.	2021/2022 Rs.
Amount used as the numerator		
Profit attributable to ordinary shareholders	133,519,515	104,215,066
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - Basic / diluted	26.13	20.39

11. Dividends per share

Dividends per share (paid)	5.00	3.00
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NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	2022/2023 Rs.	2021/2022 Rs.
12. Property, plant and equipment			
Net book value of freehold assets	12.1	1,406,383,289	1,393,953,962
Capital work in progress	12.1	22,362,455	-
		1,428,745,744	1,393,953,962

12.1 Freehold assets

	As at 01.04.2021 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfers Rs.	Revaluation Rs.	As at 31.03.2022 Rs.
Cost / revaluation						
Land and land development	700,177,500	-	-	-	-	700,177,500
Buildings	269,845,396	15,225,561	-	-	-	285,070,957
Plant and machinery	528,145,672	78,319,745	(8,400)	-	-	606,457,017
Furniture and fittings	20,291,014	696,284	-	-	-	20,987,298
Fixtures and fittings	73,263,138	75,977,064	-	-	-	149,240,202
Office equipment	27,170,280	1,774,289	(11,900)	-	-	28,932,669
Tools	61,432,082	3,851,910	(69,598)	-	-	65,214,394
Computer equipment	83,858,888	4,406,888	-	-	-	88,265,776
Motor vehicles	104,425,953	-	-	-	-	104,425,953
On loan assets	1,927,677	-	-	-	-	1,927,677
Total	1,870,537,600	180,251,741	(89,898)	-	-	2,050,699,443

	As at 01.04.2022 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfers Rs.	Revaluation Rs.	As at 31.03.2023 Rs.
Cost / revaluation						
Land and land development	700,177,500	-	-	-	37,702,003	737,879,503
Buildings	285,070,957	116,933	-	(22,434,244)	33,302,951	296,056,597
Plant and machinery	606,457,017	31,714,131	(8,400)	-	-	638,162,749
Furniture and fittings	20,987,298	258,318	(1,381,770)	-	-	19,863,846
Fixtures and fittings	149,240,202	150,000	-	-	-	149,390,202
Office equipment	28,932,669	198,684	(5,365,878)	-	-	23,765,474
Tools	65,214,394	2,360,787	(727,449)	-	-	66,847,732
Computer equipment	88,265,776	2,756,784	(7,698,064)	-	-	83,324,496
Motor vehicles	104,425,953	-	-	-	-	104,425,953
On loan assets	1,927,677	-	-	-	-	1,927,677
Total	2,050,699,443	37,555,637	(15,181,562)	(22,434,244)	71,004,954	2,121,644,229
Capital Work in Progress	-	22,362,455	-	-	-	22,362,455
Total gross carrying amount	2,050,699,443	59,918,092	(15,181,562)	(22,434,244)	71,004,954	2,144,006,684

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

12.1 Freehold assets (Contd...)

	As at 01.04.2021	Depreciation during the year	Disposals during the year	Transfer of accumulated depreciation	On Revaluation	As at 31.03.2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation						
Buildings	-	8,320,052	-	-	-	8,320,052
Plant and machinery	305,890,067	43,477,811	(1,291)	-	-	349,366,586
Furniture and fittings	14,844,026	1,262,127	-	-	-	16,106,152
Fixtures and fittings	21,905,502	15,564,323	-	-	-	37,469,825
Office equipment	19,292,379	1,564,467	(3,978)	-	-	20,852,868
Tools	40,211,210	4,881,333	-	-	-	45,092,543
Computer equipment	73,587,134	6,068,857	-	-	-	79,655,991
Motor vehicles	93,656,524	4,297,262	-	-	-	97,953,786
On loan assets	1,927,678	-	-	-	-	1,927,678
	571,314,518	85,436,232	(5,269)	-	-	656,745,481

	As at 01.04.2022	Depreciation during the year	Disposals during the year	Transfer of accumulated depreciation	On Revaluation	As at 31.03.2023
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation						
Buildings	8,320,052	8,406,810	-	(16,726,863)	-	-
Plant and machinery	349,366,586	47,179,009	(1,537)	-	-	396,544,058
Furniture and fittings	16,106,152	1,238,203	(1,364,408)	-	-	15,979,947
Fixtures and fittings	37,469,825	19,378,908	-	-	-	56,848,733
Office equipment	20,852,868	1,475,831	(5,069,103)	-	-	17,259,597
Tools	45,092,543	4,371,738	(494,421)	-	-	48,969,860
Computer equipment	79,655,991	4,814,028	(7,696,394)	-	-	76,773,624
Motor vehicles	97,953,786	3,003,657	-	-	-	100,957,443
On loan assets	1,927,678	-	-	-	-	1,927,678
	656,745,481	89,868,186	(14,625,865)	(16,726,863)	-	715,260,940

Net book value as at 31.03.2022	1,393,953,962
Net book value as at 31.03.2023	1,406,383,289

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

12.2 Property, plant and equipment (Contd.)

Revaluation on land and buildings

All freehold land and buildings of the entity was valued by Mr. Lochana I.Silva, an independant professional valuer on 31 March 2023 and the excess of Rs.71,004,954/- over the net book value as at 31 March 2023 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property, plant and equipment					
Property at Kandy	Perches 18.7	Sq.ft 5,081	1	31.03.2023	92,000,000
Land at Boralesgamuwa	Perches 83.1	-	-	31.03.2023	75,800,000
Property at Galle	Perches 13.24	Sq.ft 12,365	1	31.03.2023	91,100,000
Property at Negombo	Perches 31.1	Sq.ft 1,500	1	31.03.2023	46,100,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2023	484,000,000
Property at Rathmalana 1	Perches 83.41	Sq. ft 29,198	2	31.03.2023	223,974,300
Property at Rathmalana 2	Perches 11.80	Sq. ft 3,654	1	31.03.2023	20,961,800
					1,033,936,100

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and Buildings	Level 1 (Rs.)	Level 2 (Rs.)	Level 3 (Rs.)	Total (Rs.)
31 March 2023	-	-	1,033,936,100	1,033,936,100

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of land and buildings, as well as the significant unobservable inputs used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and Sq.ft	3,750,000/- per perch and 4,305 per Sq.ft
Land at Boralesgamuwa	Open market	Price per perch	912,154/- per perch
Property at Galle	Open market	Price per perch and Sq.ft	3,400,000/- per perch and 3,727 per Sq.ft
Property at Negombo	Open market	Price per perch and Sq.ft	1,448,553/- per perch and 700 per Sq.ft
Property at Colombo 06	Open market	Price per perch and Sq.ft	9,700,000/- per perch and 3,156 per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and Sq.ft	1,250,000/- per perch and 4,100 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and Sq.ft	1,250,000/- per perch and 1,700 per Sq.ft

Increase/decrease in price per perch/Sq.ft have a positive correlation with the fair value of the land and buildings.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

The carrying amount of revalued land and buildings at cost less depreciation and impairment would be as follows:

	31.03.2023 Rs.	31.03.2022 Rs.
Land and Land Development		
Cost	177,269,665	177,269,665
Accumulated depreciation and impairment	-	-
Carrying value	177,269,665	177,269,665
Buildings		
Cost	259,319,180	259,202,247
Accumulated depreciation and impairment	(83,121,420)	(76,638,440)
Carrying value	176,197,760	182,563,807

13. Right of use assets - Buildings

Cost		
Balance at the beginning of the year	120,921,132	104,352,201
Additions during the year	5,250,704	16,568,931
Disposals / Modifications	(10,113,481)	-
Balance at the end of the year	116,058,355	120,921,132
Accumulated amortisation		
Balance at the beginning of the year	71,990,320	44,011,997
Amortisation for the year	23,970,180	27,978,323
Balance at the end of the year	95,960,500	71,990,320
Net book value of the right of use assets	20,097,855	48,930,812

14. Investment property - Market Value

Balance at the beginning of the year	42,550,000	37,000,000
Net gain / (loss) from fair value adjustment	4,450,000	5,550,000
Balance at the end of the year	47,000,000	42,550,000

Amounts recognised in profit or loss for investment properties

Direct operating expenses from property that did not generate rental income	1,010,153	965,000
Fair value gain recognized in other income	4,450,000	5,550,000

Fair value investment property

Investment property at Panadura was valued by Mr. Lochana I. Silva, an independent professional valuer on 31 March 2023 and the excess of Rs.4,450,000 over the net book value as at 31 March 2023 has been credited to statement of profit or loss.

As at 31 March	Land extent	Date of valuation	Fair value (Rs.)
Investment property			
Land at Panadura	Perches 44.9	31.03.2023	47,000,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Land at Panadura	Open market	Price per perch	1,046,771/- per perch

Increase/decrease in price per perch have a positive correlation with the fair value of the land.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	31.03.2023 Rs.	31.03.2022 Rs.
15. Intangible assets - Computer software			
Cost			
Balance at the beginning of the year		14,457,433	22,757,433
Additions during the year		-	500,000
Disposals during the year		-	(8,800,000)
Balance at the end of the year		14,457,433	14,457,433
Amortisation			
Balance at the beginning of the year		14,457,433	17,021,578
Additions during the year		-	2,193,428
Disposals during the year		-	(4,757,573)
Balance at the end of the year		14,457,433	14,457,433
Net book value		-	-
16. Financial investments			
16.1 Non-current financial investments			
Other investments		11,454,000	11,454,000
Bank deposits at amortised cost		40,950,002	38,839,359
		52,404,002	50,293,359
16.2 Current financial investments			
Bank deposits at amortised cost		368,471,657	316,625,338
		368,471,657	316,625,338
		420,875,659	366,918,697
17. Inventories			
Raw materials		1,429,191,183	1,856,452,698
Work-in-progress		16,972,978	344,578,646
Finished goods - Manufactured		164,809,482	13,035,304
Goods in transit		23,203,379	27,221,504
		1,634,177,022	2,241,288,152
Less: Provision for damaged and obsolete stock	17.1	(90,561,380)	(78,559,141)
		1,543,615,642	2,162,729,011
17.1 Movement for the provision for damaged and obsolete stocks ;			
Balance at the beginning of the year		78,559,141	49,291,784
Provisions made		12,002,239	29,267,357
Balance at the end of the year		90,561,380	78,559,141

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	31.03.2023 Rs.	31.03.2022 Rs.
18. Trade and other receivables			
Financial assets			
Trade debtors		249,791,813	283,897,554
Less: Allowance for impairment of debtors	18.1	(18,772,662)	(40,048,730)
		231,019,151	243,848,824
Retention and instalment receivables		1,062,435	7,652,840
Loans to employees		299,498	1,744,442
		232,381,084	253,246,106
Non financial assets			
Other receivables		18,753,140	44,049,157
		251,134,224	297,295,263

18.1 Movement of the allowance for impairment of debtors ;

Balance at the beginning of the year	40,048,730	26,813,886
(Reversal of impairment) / impairment loss recognised during the year	(21,276,068)	13,234,844
Balance at the end of the year	18,772,662	40,048,730

As at 31 March, the ageing analysis of trade receivables are as follows ;

	Total Rs.	0 - 30 days Rs.	31 - 60 days Rs.	61 - 90 days Rs.	91 -120 days Rs.	Over 120 days Rs.
2023	249,791,813	180,380,923	32,119,692	9,828,838	1,148,484	26,313,876
2022	283,897,554	118,574,042	86,114,466	18,495,241	1,910,343	58,803,462

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables.

	31.03.2023 Rs.	31.03.2022 Rs.
19. Advances, deposits and prepayments		
Advances	264,573,274	266,757,211
Deposits	12,104,582	14,359,515
Prepayments	15,645,934	13,591,261
	292,323,790	294,707,987

20. Amounts due from related parties	Relationship		
Abans PLC	Significant Shareholder	325,991,466	527,816,391
Abans Restaurant (Pvt) Ltd	Affiliate	25,270	21,442
Abans Jung poong (Pvt) Ltd	Affiliate	591,501	591,501
Abans Auto (Pvt) Ltd	Affiliate	36,100	-
Abans Engineering (Pvt) Ltd	Affiliate	1,226,839	1,142,109
Abans Finance PLC	Affiliate	127,213	109,721
A B Manufacturing (Pvt) Ltd	Affiliate	510,562,511	-
ABS Courier (Pvt) Ltd	Affiliate	-	130,481
		838,560,900	529,811,645

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	31.03.2023 Rs.	31.03.2022 Rs.
21. Cash at bank and in hand			
Cash in hand		2,947,097	1,097,233
Cash at bank		51,937,016	199,705,520
		54,884,113	200,802,753
		No. of shares	Value of shares Rs.
22. Stated capital			
As at 31 March 2023		5,110,560	186,732,000
As at 31 March 2022		5,110,560	186,732,000
		31.03.2023 Rs.	31.03.2022 Rs.
22.1 Revaluation reserve			
Balance at the beginning of the year		483,333,111	483,333,111
Revaluation gains		71,004,954	-
Deferred tax on revaluation surplus		(63,972,900)	-
Balance at the end of the year		490,365,165	483,333,111
23. Interest bearing loans and borrowings			
23.1 Long term borrowings			
Term loan	23.3	33,750,000	76,850,000
SLFRS 16 lease liability	23.4	13,059,888	30,458,251
		46,809,888	107,308,251
23.2 Short term borrowings			
SLFRS 16 lease liability	23.4	22,201,394	43,309,055
Term loans	23.3	43,100,000	46,800,000
Import loans		1,140,744,654	859,228,172
Short term loans		221,004,416	-
Accrued for interest		20,034,543	6,329,520
Bank overdrafts	23.5	219,278,881	161,814,388
		1,666,363,888	1,117,481,135
23.3 Term loans from banks			
Balance at the beginning of the year		123,650,000	91,700,000
Loans granted during the year		-	75,000,000
Payments made during the year		(46,800,000)	(43,050,000)
Balance at the end of the year		76,850,000	123,650,000
Amounts re-payable within 1 year		43,100,000	46,800,000
Amounts re-payable after 1 year		33,750,000	76,850,000

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	31.03.2023 Rs.	31.03.2022 Rs.
23.4 Lease liability		
Balance at the beginning of the year	73,767,306	92,493,644
Additions during the year	5,250,705	16,568,931
Interest cost	3,558,572	6,805,849
Disposals / Modifications	(10,113,481)	-
Gain on modification	(1,840,335)	-
Payments made during the year	(35,361,485)	(42,101,118)
Balance at the end of the year	35,261,282	73,767,306
Amounts re-payable within 1 year	22,201,394	43,309,055
Amounts re-payable after 1 year	13,059,888	30,458,251
23.5 Bank overdrafts		
Sampath Bank PLC	54,344,678	69,699,602
Union Bank PLC	29,253,153	28,505,190
People's Bank	6,183,745	26,985,298
Bank of Ceylon	162,572	319,460
DFCC Bank PLC	4,756,797	19,381,887
Hatton National Bank PLC	59,000,352	-
Nations Trust Bank PLC	9,088,632	-
Commercial Bank of Ceylon PLC	56,488,952	16,922,951
	219,278,881	161,814,388

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

23.6 Terms and conditions of borrowing facilities

Facility	Security
Import and hypothecation loans	
People's Bank	- LKR 250.0Mn mortgage over trade receivables and undertaking of Abans PLC to settle invoices within 60days
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 400.0Mn over stocks and book debts
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0Mn over stocks and book debts
Commercial Bank of Ceylon PLC	- Floating Primary Mortgage for LKR 550.0Mn over stocks and book debts
DFCC Bank PLC	LKR 350.0Mn mortgage over stocks and book debts
Nations Trust Bank PLC	LKR 150.0Mn mortgage over stock and book debts
Term loan facilities	
Commercial Bank of Ceylon PLC	- Floating Primary Mortgage for LKR 550.0 Mn over stocks and book debts
Short term loan facilities	
DFCC Bank PLC	- LKR 350.0Mn mortgage over stocks and book debts
Overdraft Facilities	
Hatton National Bank PLC	- Primary floating mortgage bond for LKR 60.0Mn over land and buildings situated at No. 126, Airport Road, Ratmalana
Sampath Bank PLC	- Floating hypothecation bond for LKR 362.0Mn over stocks and book debts, LKR 20.0 Mn over the Company trading Stock
Bank of Ceylon	- LKR 10.0 Mn over the Company trading Stock
People's Bank	- LKR 30.0Mn mortgage over stocks
Union Bank of Colombo PLC	- LKR 30.0 Mn over the Company trading Stock
Commercial Bank of Ceylon PLC	- Floating primary mortgage for LKR 550.0Mn over stocks and book debts
DFCC Bank PLC	LKR 350.0Mn mortgage over stocks and book debts
Nations Trust Bank PLC	LKR 10.0Mn mortgage over stocks and book debts
Lease Facility	
Commercial Bank of Ceylon PLC	- Mortgage over leased assets
Letter of Guarantee Facility	
Sampath Bank PLC	- Master counter indemnity of the Company for LKR 5.0Mn
DFCC Bank PLC	LKR 350.0Mn mortgage over stocks and book debts
Nations Trust Bank PLC	LKR 150.0 Mn mortgage over stocks and book debts.
Forward Exchange Contract	
Hatton National Bank PLC	Forward exchange contracts

Unutilised banking facilities are amounting to Rs. 94.85Mn overdraft facilities and Rs.631.71Mn import short term loan facilities as at 31 March 2023.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	31.03.2023 Rs.	31.03.2022 Rs.
24. Retirement benefit obligation		
Balance at the beginning of the year	81,964,076	96,038,153
Interest cost	11,966,755	5,573,782
Current service cost	7,288,389	6,214,738
Actuarial (gain) / loss	25,770,476	(16,465,705)
	126,989,696	91,360,968
Less : Payments made during the year	(20,485,796)	(9,396,892)
Less : Transfers during the year	(11,865,454)	-
Balance at the end of the year	94,638,446	81,964,076

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

	31.03.2023	31.03.2022
Discount rate	17.0%	14.6%
Expected rate of salary increase	15%	8%
Retirement age	55 & 60	55 & 60

	2022/2023 Rs.	2021/2022 Rs.
The amounts recognised in the comprehensive income are as follows:		
Current service cost	7,288,389	6,214,738
Interest cost	11,966,755	5,573,782

The amount recognised in the other comprehensive income is as follows:

Actuarial (gain) / loss	25,770,476	(16,465,705)
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Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

	31.03.2023 Rs.	31.03.2022 Rs.
+1% point increase on discount rate	89,220,349	79,139,342
-1% point decrease on discount rate	100,768,265	85,038,787
+1% point increase on salary increment rate	101,255,629	85,589,641
-1% point decrease on salary increment rate	88,704,238	78,588,204

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

Within the next 12 months	13,858,705	19,060,804
Between 1 and 2 years	19,448,672	25,113,922
Between 2 and 5 years	20,073,803	19,352,906
Between 5 and 10 years	18,127,626	12,234,973
Beyond 10 years	23,129,640	6,201,471
Total expected payments	94,638,446	81,964,076

Weighted average duration (years) of defined benefit obligation

Manufacturing department	3.1	7.15
Service department	9.5	2.99

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

25. Deferred tax liability

	31.03.2023 Rs.	31.03.2022 Rs.
Balance at the beginning of the year	112,342,000	122,472,129
Amount originated / (reversed) during the year		
- Statement of profit or loss	31,988,762	(13,666,653)
- Statement of other comprehensive income	54,387,300	3,536,524
Balance at the end of the year	198,718,062	112,342,000

	Deferred tax liability			Deferred tax asset			Total
	Property, plant and equipment	Intangible assets	Investment properties	Right of use assets	Provisions	Retirement benefit obligation	Rs.
Temporary differences							
Balance as at 1st April 2021	199,048,887	95,855	4,041,600	(1,557,817)	(57,248,223)	(21,908,172)	122,472,129
Recognised in profit or loss	2,564,093	-	1,332,000	330,848	(16,618,386)	(1,275,208)	(13,666,653)
Recognised in other comprehensive income	-	-	-	-	-	3,536,524	3,536,524
Balance as at 1st April 2022	201,612,980	95,855	5,373,600	(1,226,969)	(73,866,609)	(19,646,856)	112,342,000
Recognised in profit or loss	41,301,021	-	2,678,400	533,493	(12,400,831)	(123,322)	31,988,762
Recognised in other comprehensive income	63,972,900	-	-	-	-	(9,585,600)	54,387,300
Balance as at 31st March 2023	306,886,901	95,855	8,052,000	(693,476)	(86,267,440)	(29,355,778)	198,718,062

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	Note	31.03.2023 Rs.	31.03.2022 Rs.
26. Trade and other payables			
Financial liability			
Trade creditors		146,240,845	139,021,717
Foreign supplier payables		299,533,415	1,107,684,254
Accrued charges		64,560,056	51,621,949
Prepaid employee benefit		7,877	117,075
Other payables		94,920,408	103,523,263
Provisions		36,015,347	43,212,674
Import related payables		10,443,678	38,454,581
Advances		89,946,702	354,911,733
		741,668,328	1,838,547,246
Non financial liability			
SSCL Payable		12,791,218	-
Value Added Tax Payable		35,186,658	166,452
		47,977,876	166,452
		789,646,204	1,838,713,698
27. Income Tax payable			
Balance at the beginning of the year		38,803,615	38,238,528
Income Tax for the year	9.1	19,348,771	43,940,005
		58,152,386	82,178,533
Income Tax paid		(23,340,161)	(43,374,918)
Balance at the end of the year		34,812,225	38,803,615
28. Contract Liabilities			
28.1 Deferred service income			
Balance as at the beginning of the year		226,234,371	179,600,853
Deferred service income received		151,308,797	187,401,947
Deferred service income amortised		(199,548,993)	(140,768,429)
Balance at the end of the year		177,994,175	226,234,371
Amount to be amortized within 1 year		127,017,320	181,569,117
Amount to be amortized after 1 year		50,976,855	44,665,254
Deferred service income consists of the income received for under - warranty charges for selected products and customer advances received for future maintenance services to be performed.			
29. Amounts due to related parties			
Abans Environmental Services (Pvt) Ltd		548,302	923,114
Abans Marketing (Pvt) Ltd		10,136,794	8,518,116
Abans Auto (Pvt) Ltd		-	63,176
AB Securitas (Pvt) Ltd		4,661,521	5,035,657
Crown City Developers (Pvt) Ltd		297,080	258,272
Sirius Technologies Services (Pvt) Ltd		11,363,202	794,991
Abans Logistics (Pvt) Ltd		1,866,041	3,281,374
ABS Gardner Dixon Hall International (Pvt) Ltd		1,099,849	852,303
A B Manufacturing (Pvt) Ltd		-	36,524,105
ABS Couriers (Pvt) Ltd		866,481	-
		30,839,270	56,251,108

Dues to related parties are payable on demand bears no interest, further there was no collateral issued.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

30. Related party disclosures

30.1 Details of transactions carried out with related Companies

Company	Relationship	Nature of Transaction	2022/2023 Received / (paid) Rs.	2021/2022 Received / (paid) Rs.
Abans PLC	Significant Shareholder	Sales of goods/ services Rent income Wharf expenses Purchases/Services	2,431,711,407 1,890,000 (20,631,123) (28,894,688)	2,876,806,516 1,500,000 (14,232,043) (36,602,270)
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(3,000,000)	(3,000,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic expense	(52,464)	(233,276)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases/Services Sales of goods/ services	(309,033) 6,094,759	(1,691,096) 6,355,930
ABS Couriers (Pvt) Ltd	Affiliate	Courier charges	(5,224,646)	(4,362,856)
Abans Finance PLC	Affiliate	Interest income Invest in fixed deposits Sales of goods/ services	11,409,446 102,802,082 324,457	9,086,387 - 109,760
AB Securitas (Pvt) Ltd	Affiliate	Security charges	(22,623,992)	(17,202,232)
Abans Environmental Services (Pvt) Ltd	Affiliate	Cleaning charges Sales of goods/ services	(4,176,499) -	(4,642,459) 75,000
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Sales of goods/ services	(1,099,726) -	(95,379) 52,904
Abans Logistic (Pvt) Ltd	Affiliate	Purchases/ services Sales of goods/ services	(28,398,857) -	(35,374,602) 70,503
Sirius Technologies Services (Pvt) Ltd	Affiliate	Network maintenance expenses	(39,954,687)	(7,377,530)
ABS Gardiner Dixon Hall International (Pvt) Ltd	Affiliate	Printing and advertisement, building maintenance expenses Sales of goods/ services	(2,539,396) -	(2,214,646) 1,557
A B Manufacturing (Pvt) Ltd	Affiliate	Sales of goods / services Purchases/Services	974,286,238 (58,790,791)	97,691,423 -
Abans Tourist Hotels Ltd	Affiliate	Other Services	(400,000)	-

The balance outstanding as at the reporting date disclosed under note 20 and 29. The above transactions have been carried out in normal commercial terms.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2023

30.2 Recurrent transactions with related parties

Name of the related party	Relationship	Nature of transaction	Aggregate value of the related party transactions entered into during the financial year	Aggregate value of the related party transaction as a % of net revenue/income	Terms and conditions of the related party transactions
Abans PLC	Significant shareholder	Sales of goods and services	2,431,711,407	46%	Normal commercial terms
A B Manufacturing (Pvt) Ltd.	Affiliate	Sales of goods and services	974,286,238	19%	Normal commercial terms

Other than above transaction, there were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of gross revenue/income.

30.3 Non-Recurrent Transaction with Related Parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

31. Transactions with Key Management Personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the board of directors and chief executive officer of the Company.

	2022/2023 Rs.	2021/2022 Rs.
Post employee benefits	2,475,000	1,800,000
Short term employee benefits	14,738,400	12,922,200
	17,213,400	14,722,200

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the Financial Statements except for below.

33.1 First and Final Dividends Declared

On 31st August 2023, the board of directors of the Company via a board resolution decided to declare first and final dividend for the financial year ended 31 March 2023 amounting to Rs. 25,552,800/- (Rs. 5/- per share).

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than Letter of Credit opened with banks favoring suppliers amounting to LKR 122.87 Mn and the pending litigation as mentioned below.

Nature of the liability	Case No
Case by Deelima Usuf against Abans Electricals (PLC) against unlawful termination	LT/44/796/2021

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

35. Business segmental information

The company comprises the following three business segments.

Segment	Products and Services					
Manufacturing and assembling	Manufacturing, assembling and sale of selected range of consumer durable products and design, installation,maintenance & servicing of rooftop Solar PV systems.					
Service	Installation, repairs and maintenance, including all after sales services, of electrical and household appliances sold by Abans PLC.					
Segmentation analysis is as below ;						
	2022/2023			2021/2022		
	Manufacturing	Services	Total	Manufacturing	Services	Total
Turnover and results						
Revenue - Manufacturing and assembling	2,291,708,190	-	2,291,708,190	2,687,134,456	-	2,687,134,456
- Services	304,663,535	886,378,538	1,191,042,074	331,693,361	725,689,188	1,057,382,549
- Trading	868,888,800	-	868,888,800	-	-	-
- Solar installation	895,226,534	-	895,226,533	584,654,206	-	584,654,206
Total	4,360,487,059	886,378,538	5,246,865,597	3,603,482,023	725,689,188	4,329,171,211
Profit for the year-before taxation	190,489,898	(5,632,850)	184,857,048	183,036,744	(48,548,326)	134,488,418
Operating Assets and Liabilities						
Segment assets	3,174,087,522	1,723,150,405	4,897,237,927	3,822,607,763	1,514,490,267	5,337,098,030
Segment liabilities	2,249,105,084	790,717,074	3,039,822,158	3,025,445,129	553,051,025	3,578,496,154
Other information						
Capital expenditure	34,264,707	25,653,385	59,918,092	163,236,254	17,515,487	180,751,741
Recognition of right of use assets	195,915	5,054,790	5,250,705	8,282,086	8,286,845	16,568,931
Depreciation and amortization	75,847,840	14,020,346	89,868,186	69,303,067	18,326,593	87,629,660
Amortization of right of use asset	15,318,863	8,651,317	23,970,180	20,267,179	7,711,144	27,978,323
Provision for retirement benefit obligation	6,383,349	12,871,795	19,255,144	2,719,377	9,069,143	11,788,520

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

36. Financial risk management

Financial risk comprises the potential loss to earnings and / or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and thereby interest rate risk can be reduced. Short term borrowings are exposed to fluctuations of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The foreign supplier payables shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity	
	2022/2023 Rs.	2021/2022 Rs.
+50	(6,342,454)	(4,069,604)
-50	6,342,454	4,069,604

b) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have quoted equity investments.

c) Foreign currency risk

The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The Company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

NOTES TO THE ACCOUNTS

FOR THE YEAR ENDED 31 MARCH 2023

36. Financial risk management

c) Foreign currency risk (Contd....)

As explained above, the Company exposed to foreign currency risk mainly from foreign supplier payables.

Sensitivity analysis of the exchange rate risk on foreign supplier payables.

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 March	Exchange rate increase in Rs.1/-	Exchange rate increase in Rs.2/-	Exchange rate increase in Rs.3/-	Exchange rate increase in Rs.4/-
31 March 2023	767,897	Dollars	330.00	253,405,997	254,173,894	254,941,791	255,709,688	256,477,585
31 March 2022	2,680,896	Dollars	298.99	801,560,970	804,241,866	806,922,762	809,603,657	812,284,553
Potential loss compared to 31 March 2023 % of loss					767,897 0.30%	1,535,794 0.61%	2,303,691 0.91%	3,071,588 1.21%
Potential loss compared to 31 March 2022 % of loss					2,680,896 0.33%	5,361,791 0.67%	8,042,687 1.00%	10,723,582 1.34%
31 March 2023	65,400	Euros	358.30	23,432,820	23,498,220	23,563,620	23,629,020	23,694,420
31 March 2022	81,074	Euros	337.08	27,328,522	27,409,596	27,490,670	27,571,745	27,652,819
Potential loss compared to 31 March 2023 % of loss					65,400 0.28%	130,800 0.56%	196,200 0.84%	261,600 1.12%
Potential loss compared to 31 March 2022 % of loss					81,074 0.30%	162,149 0.59%	243,223 0.89%	324,297 1.19%
31 March 2023	16,117	CNY	48.15	776,038	792,155	808,273	824,390	840,507
31 March 2022	6,255,669	CNY	47.46	296,894,065	303,149,735	309,405,404	315,661,073	321,916,743
Potential loss compared to 31 March 2023 % of loss					16,117 2.08%	32,234 4.15%	48,351 6.23%	64,468 8.31%
Potential loss compared to 31 March 2022 % of loss					6,255,669 2.11%	12,511,339 4.21%	18,767,008 6.32%	25,022,677 8.43%

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

2) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's Cash at bank, trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the Finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was;

	Gross Exposure		Net exposure	
	As at 31.03.2023	As at 31.03.2022	As at 31.03.2023	As at 31.03.2022
Cash at bank	51,937,016	199,705,520	51,937,016	199,705,520
Amounts due from related parties	838,560,900	529,811,645	838,560,900	529,811,645
Trade and other receivables	251,153,745	293,294,836	251,153,745	293,294,836
Financial instruments at amortized cost	409,421,659	355,464,697	409,421,659	355,464,697

Financial assets and financial liabilities carrying value approximate to its fair value.

3) Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, the Company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The Company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

Following table represents undiscounted contractual maturity analysis;

	Less than 3 months	3-6 months	6-12 months	Total
Current Liabilities				
31 March 2023				
Current liabilities, other than lease liability except deferred income	1,912,681,186	567,079,006	19,700,000	2,499,460,192
Lease liability	5,491,133	5,529,986	11,180,275	22,201,394
	1,918,172,319	572,608,992	30,880,275	2,521,661,586
31 March 2022				
Current liabilities, other than lease liability except deferred income	1,869,425,402	788,895,243	355,741,345	3,014,061,990
Lease liability	11,281,535	11,316,880	20,710,640	43,309,055
	1,880,706,937	800,212,123	376,451,985	3,057,371,045

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2023

	1-3 Years	More Than 3 Years	Total
Non current liabilities			
31 March 2023			
Borrowings	33,750,000	-	33,750,000
Lease liability - SLFRS 16	13,059,888	-	13,059,888
	46,809,888	-	46,809,888

	1-3 Years	More Than 3 Years	Total
31 March 2022			
Borrowings	73,100,000	3,750,000	76,850,000
Lease liability - SLFRS 16	21,046,376	9,411,875	30,458,251
	94,146,376	13,161,875	107,308,251

37. RECLASSIFICATION OF COMPARATIVES

The following comparative amounts have been reclassified in order to comply with the current year presentation.

Impact on the Statement of Financial Position for the Year Ended 31 March 2022.

	Previously Reported Rs.	Impact of Adjustment Rs.	Reclassified Amount Rs.
Statement of Financial Position			
Non-Current Assets - Financial Investments	366,918,697	316,625,338	50,293,359
Current Assets - Investment in short term deposits	-	(316,625,338)	316,625,338

Impact on the Statement of Profit or Loss and Other Comprehensive Income for the Year Ended 31 March 2022.

	Previously Reported Rs.	Impact of Adjustment Rs.	Reclassified Amount Rs.
Statement of Profit or Loss and Other Comprehensive Income			
Cost of sales	3,753,856,792	(26,649,004)	3,780,505,796
Other income	59,246,214	20,229,963	39,016,251
Administrative expenses	319,343,277	(7,089,827)	326,433,104
Finance cost	115,308,316	33,738,831	81,569,485
Finance income	-	(20,229,963)	20,229,963

The above reclassification did not have any impact on profit or loss and other comprehensive income, earnings per share, operating, investing and financing cash flows for the year ended 31 March 2022.

SHAREHOLDER & INVESTOR INFORMATION

01. STATED CAPITAL

As at 31 st March	2023		2022	
	No. of shares	Value in Rs.	No. of shares	Value in Rs.
Ordinary voting shares	5,110,560	186,732,000	5,110,560	186,732,000

* Voting Rights - One vote per ordinary share

02. STOCK EXCHANGE LISTING

The issued shares of the Company are listed with the Colombo Stock Exchange

03. MARKET VALUE PER SHARE

The transacted values of an ordinary share of Abans Electricals PLC are as follows;

As at 31 st March	2023 Rs.	2022 Rs.
Highest Price	190.00	275.00
Lowest Price	127.00	127.25
As at balance sheet date	158.00	161.75

04. MARKET CAPITALIZATION

As at 31 st March	2023 Rs.	2022 Rs.
Market capitalization value	807,468,480	826,633,080
Float adjusted market capitalization	342,285,889	319,850,435

* The Company has complied with the minimum public holding requirement under Option 05.

05. PUBLIC HOLDING

As at 31 st March	2023	2022
Total number of shares Issued	5,110,560	5,110,560
No of shares held by the public	2,166,366	1,977,437
Percentage of shares held by the public	42.39%	38.69%
No of public shareholders	1,346	1,312

06. DISTRIBUTION OF SHAREHOLDING

Shareholding	31 st March 2023			31 st March 2022		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
1-1,000	1,191	151,345	2.96	1,159	150,666	2.95
1,001-10,000	122	385,626	7.55	125	396,281	7.75
10,001-100,000	27	791,785	15.49	26	765,651	14.98
100,001-1,000,000	5	1,328,737	26.00	6	1,344,895	26.32
Over 1,000,000	1	2,453,067	48.00	1	2,453,067	48.00
Grand total	1,346	5,110,560	100.00	1,317	5,110,560	100.00

SHAREHOLDER & INVESTOR INFORMATION

07. COMPOSITION OF SHAREHOLDING

Category	31 st March 2023			31 st March 2022		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Individual	1,290	2,324,570	45.49	1,258	2,338,366	45.76
Institutional	56	2,785,990	54.51	59	2,772,194	54.24
Grand total	1,346	5,110,560	100.00	1,317	5,110,560	100.00

08. ANALYSIS OF SHAREHOLDERS

Category	31 st March 2023			31 st March 2022		
	No of shareholders	No of shares	%	No of shareholders	No of shares	%
Resident	1,332	5,026,488	98.35	1,303	5,025,266	98.33
Non-resident	14	84,072	1.65	14	85,294	1.67
Grand total	1,346	5,110,560	100.00	1,317	5,110,560	100.00

09. TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

Name	31 st March 2023		31 st March 2022	
	No. of Shares	% of Issued Capital	No. of Shares	% of Issued Capital
1 Abans PLC	2,453,067	48.00	2,453,067	48.00
2 Mr R. Pestonjee	398,166	7.79	214,372	4.19
3 Mrs S. Dubash	334,628	6.55	334,628	6.55
4 Mrs A. Pestonjee	293,438	5.74	293,438	5.74
5 Mr B. Pestonjee	171,505	3.36	171,505	3.36
6 Mr A.J.M. Jinadasa	131,000	2.56	131,000	2.56
7 Hatton National Bank PLC / Kandaiah Kanapathipillai Shujeevan	84,331	1.65	84,644	1.66
8 Dr K. Poologasundram	72,076	1.41	72,076	1.41
9 People's Leasing & Finance PLC / L.P.Hapangama	56,839	1.11	55,281	1.08
10 Seylan Bank PLC / Karagoda Loku Gamage Udayananda	54,019	1.06	41,400	0.81
11 Mr S. Abishek	51,436	1.01	51,436	1.01
12 Mr G.C. Goonetilleke	46,475	0.91	46,475	0.91
13 Mrs B.S. Rasanayagam	43,680	0.85	43,680	0.85
14 Mr A. Sithampalam	31,809	0.62	31,809	0.62
15 Tranz Dominion, L. L. C.	31,611	0.62	31,611	0.62
16 Mr S.S. Sithambaranathan	24,940	0.49	25,901	0.51
17 Mr T. Liyanage	23,868	0.47	23,868	0.47
18 People's Leasing & Finance PLC/ L.H.L.M.P.Haradasa	23,670	0.46	23,670	0.46
19 Mr J.D. Jorge Calderon	23,344	0.46	23,344	0.46
20 Mr G.C.W. De Silva	21,960	0.43	-	0.00
Others	738,698	14.45	957,355	18.73
Total	5,110,560	100.00	5,110,560	100.00

VALUE ADDED STATEMENT

For the Year Ended 31st March

	2023			2022		
	Manufacturing Rs.	Service Rs.	Total Rs.	Manufacturing Rs.	Service Rs.	Total Rs.
Economic Value Generated						
Revenue	4,360,487,059	886,378,539	5,246,865,597	3,603,482,023	725,689,188	4,329,171,211
Finance Income	586,711	59,049,197	59,635,908	964,108	19,265,855	20,229,963
Profit on Sale of Assets	344,035	-	344,035	-	-	-
Other Income	26,986,529	14,911,776	41,898,305	22,320,625	16,695,626	39,016,251
Valuation Gain from Investment Property	-	4,450,000	4,450,000	-	5,550,000	5,550,000
	4,388,404,334	964,789,511	5,353,193,845	3,626,766,756	767,200,669	4,393,967,425
Economic Value Distributed						
Operating Cost	3,638,780,359	564,232,595	4,203,012,954	2,945,335,707	443,406,520	3,388,742,227
Employee Wages and Benefits	242,232,058	340,523,657	582,755,715	316,145,342	344,672,682	660,818,024
Payments to Providers of Funds - Equity	25,552,800	-	25,552,800	13,002,323	2,329,357	15,331,680
Payments to Providers of Funds - Debt	267,962,787	28,761,645	296,724,432	77,821,938	2,822,182	80,644,120
Payments to Government	13,912,740	9,430,122	23,342,862	43,940,005	-	43,940,005
	4,188,440,744	942,948,019	5,131,388,763	3,396,245,315	793,230,741	4,189,476,056
Economic Value Retained						
Depreciation & Amortization	91,166,703	22,671,663	113,838,366	89,570,246	26,037,737	115,607,983
Profits after Dividends	108,796,886	(830,171)	107,966,715	140,951,195	(52,067,809)	88,883,386
	199,963,589	21,841,492	221,805,081	230,521,441	(26,030,072)	204,491,369

TEN YEAR SUMMARY

31 March	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
OPERATING RESULTS IN LKR '000										
Revenue	5,246,866	4,329,171	3,129,718	2,986,136	2,870,558	3,492,566	4,028,610	3,506,809	2,731,611	3,205,812
Gross Profit	876,335	548,665	473,355	441,348	397,554	392,845	434,017	479,398	387,355	449,139
EBIT	482,011	216,058	232,733	202,539	144,017	154,356	159,937	180,957	131,117	194,703
Finance Cost	297,154	81,569	69,118	77,278	67,470	62,417	79,298	40,609	31,116	87,785
Profit Before Tax	184,857	134,488	163,615	125,261	76,546	91,939	80,639	140,348	100,001	106,918
Tax Expense/(Reversal)	51,338	30,273	(1,673)	38,688	2,202	48,237	25,239	41,525	6,257	6,593
Profit After Tax	133,520	104,215	165,288	86,573	74,344	43,701	55,400	98,823	93,744	100,325
FINANCIAL POSITION IN LKR '000										
Property Plant & Equipment (PPE)	1,428,746	1,393,954	1,299,223	1,290,046	1,220,449	966,037	608,224	572,881	541,111	412,388
Non Current Assets other than PPE	119,502	141,774	450,739	429,759	339,385	202,279	147,586	131,375	84,512	142,984
Current Assets	3,348,990	3,801,972	2,043,286	1,476,782	1,234,689	1,424,676	1,724,440	1,313,034	995,235	1,005,221
Current Liabilities	2,648,679	3,232,819	1,782,387	1,326,524	1,062,520	1,161,260	1,507,926	1,066,761	756,965	772,256
Non Current Liabilities	391,143	346,280	354,072	438,588	382,352	252,467	132,065	172,556	171,453	151,527
Shareholders' Fund	1,857,416	1,758,602	1,656,789	1,431,475	1,349,651	1,179,265	840,259	777,973	692,440	636,810
Total Debt	1,713,174	1,224,789	821,295	623,412	632,088	413,040	723,228	559,996	408,119	494,140
CASH FLOWS IN LKR '000										
Net cash flows from / (used in) operating activities	(550,557)	(46,994)	(125,531)	226,503	55,249	100,903	(37,201)	179,723	142,108	301,426
Net cash flows from / (used in) investing activities	(47,632)	(179,624)	(9,331)	(127,667)	(273,419)	(16,327)	(109,015)	(134,255)	(123,543)	(157,702)
Net cash flows from / (used in) financing activities	394,807	199,066	188,685	(122,970)	195,772	(29,051)	118,875	(31,232)	(32,040)	72,279
Net increase / (decrease) in cash and cash equivalents	(203,383)	(27,552)	53,822	(24,135)	(22,398)	55,525	(27,341)	14,236	(13,475)	216,002
KEY INDICATORS										
Basic Earnings per Share	26.13	20.39	32.34	16.94	14.55	8.55	10.84	19.34	18.34	19.63
Dividend per Share (Paid)	5.00	3.00	1.50	3.00	2.00	3.00	3.00	3.00	2.50	2.5
Interest Coverage	1.62	2.65	3.37	2.62	2.13	2.47	2.02	4.46	4.21	2.22
Current Ratio	1.26	1.18	1.15	1.11	1.16	1.23	1.14	1.23	1.31	1.30
Gearing (D/D+E)	47.98	41.05	33.14	30.34	31.90	25.94	46.26	41.85	37.08	43.69
Net Assets per Share	363.45	344.11	324.19	280.10	264.09	230.75	164.42	152.23	135.49	124.61
Market Price per Share	158.00	161.75	159.50	60.30	52.00	84.30	88.20	111.10	105.70	99.20
Return on Equity	7.19	5.93	9.98	6.05	5.51	3.71	5.56	12.70	13.54	15.75

NOTICE OF MEETING

Dear Shareholders,

The Board of Directors of Abans Electricals PLC has decided to hold its 41st Annual General Meeting (AGM) by way of a Virtual Meeting on 22nd September 2023, at 10.00 a.m. following the issuance of guidelines by the Colombo Stock Exchange (CSE) and Legal advice received thereon for hosting of Virtual AGMs for the following purposes:

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2023 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs. 5/- per share for the year ended 31st March 2023 as recommended by the Directors.
3. To re-elect Mr. Dinal Mario Rex Phillips, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Dinal Mario Rex Phillips, as a Director of the Company.
4. To re-elect Mr. Rajaratnam Selvaskandan, a Director of the Company who retires in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Rajaratnam Selvaskandan as a Director of the Company.
5. To re-elect Mrs. Saroshi Dubash, a Director of the Company who retires in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mrs. Saroshi Dubash as a Director of the Company.
6. To Pass the following Ordinary Resolution pertaining to the re-appointment of Mrs. Aban Pestonjee, as a Director who is over 70 years of age, in compliance with Section 211 of the Companies Act No.7 of 2007; and whose re-appointment is recommended by the Board of Directors.

Ordinary Resolution

That the age limit of 70 years referred to in Section 210 of the Companies Act No.7 of 2007 shall not apply to Mrs. Aban Pestonjee, who is over 70 years of age and accordingly that Mrs. Aban Pestonjee be and is hereby re-appointed as a Director of the Company in terms of Section 211 of the Companies Act No.7 of 2007.

7. To re-appoint M/S Ernst & Young, Chartered Accountants, as auditors of the Company and to authorize the Directors to determine their remuneration.

By order of the Board

Sgd.

Varners International (Private) Limited
Company Secretaries

Level 14, West Tower, World Trade Center,
Echelon Square, Colombo 01.

31st August 2023

1. A shareholder entitled to attend, speak and vote at the above mentioned meeting, is entitled to appoint a proxy to attend, speak and vote instead of him/her. Such proxy need not be a Shareholder of the Company.
2. A shareholder is not entitled to appoint more than one proxy to attend on the same occasion.
3. A Form of Proxy is enclosed.

METHOD OF HOLDING THE AGM / ELECTRONIC PLATFORM

Only the key officials who are essential for the administration of the formalities of the meeting will be physically present in the venue and all others including shareholders will participate via an online meeting platform in line with the guidelines issued by the Colombo Stock Exchange (CSE) for conducting of virtual AGMs.

REGISTRATION PROCEDURE

Those Shareholders and Proxy holders, who wish to participate via the Online Meeting Platform, should notify the Company of such intention by completing the attached **Registration of Shareholder Details Form**.

Registration of Shareholder Details Form will also be made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/pages/company-profile/company-profile.component.html?symbol=ABAN.N0000>). Arrangements will be made for shareholders who wish to participate in the AGM via an online meeting platform, with login information being forwarded to shareholders in advance of the meeting.

In order to enable such facilities, shareholders who wish to participate in the AGM via the online meeting platform are requested to forward us their details, by duly completing the annexure 1, **(Registration of Shareholder Details Form)** by way of emailing it to the Company to the emailing address **aelagm2023@abansgroup.com** or send the duly completed form, by post to reach the Company secretaries, **48 hours prior to the time fixed for the meeting** to the below address;

Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.

APPOINTMENT OF PROXY HOLDERS

The Shareholders may vote by Proxy through the appointment of a Proxy to present, speak and vote at the meeting on his/her behalf in line with instructions contained herein.

The Form of Proxy will also be made available on the corporate website of the Company and the website of the CSE and those shareholders who wish to submit their Form of Proxy should duly complete the same as per the instructions given herein.

The duly completed **Form of Proxy** should be forwarded to the Company by way emailing it to the Company emailing address **aelagm2023@abansgroup.com** or send the duly completed form, by post to reach the Company Secretaries, **Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01, or No. 5, Bethesda Place, Colombo 04, 48 hours prior to the time fixed for the meeting.**

QUERIES OF SHAREHOLDERS

Shareholders who are unable to participate at the virtual meeting via the designated online meeting platform are invited to forward their suggestions, questions & concerns (if any) relating to items on the agenda, to the following email address **aelagm2023@abansgroup.com** to reach the Company **48 hours prior to the time fixed for the meeting**, the Board will ensure that they are discussed and addressed at the AGM, if relevant.

FORM OF PROXY

I/We *
of..... being a shareholder / shareholders of Abans Electricals PLC, hereby
appoint;of.....
bearing NIC No. / Passport No.or failing him/ her*
Mrs. Aban Pestonjee of Colombo or failing her
Mrs. Saroshi Dubash of Colombo or failing her
Athula Siriwardane of Colombo or failing him
Kumar De Silvaof Colombo or failing him
Dinal Mario Rex Phillipsof Colombo or failing him
Rajaratnam Selvaskandanof Colombo
as my/our proxy to represent me/us on my/our behalf at the Forty First Annual General Meeting of the Company to be held on 22nd
September 2023 at 10.00 a.m by means of audio or audio and visual technology, and at any adjournment thereof and at every poll
which may be taken in consequence thereof.

	FOR	AGAINST
1 To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31 st March 2023 and Report of the Auditors thereon.		
2 To declare first and final dividend of Rs. 5/- per share for the year ended 31 st March 2023 as recommended by the Directors.		
3 To re-elect Mr. Dinal Mario Rex Phillips, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Dinal Mario Rex Phillips, as a Director of the Company.		
4 To re-elect Mr. Rajaratnam Selvaskandan, a Director of the Company who retires in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Rajaratnam Selvaskandan as a Director of the Company.		
5 To re-elect Mrs. Saroshi Dubash, a Director of the Company who retires in terms of Article 96 of the Articles of Association of the Company. The Directors recommend the re-election of Mrs. Saroshi Dubash as a Director of the Company.		
6 To re-appoint Mrs. Aban Pestonjee, who is over 70 years of age as a Director of the Company by adopting the ordinary resolution set out in the notice of the meeting		
7 To re-appoint M/S Ernst & Young, Chartered Accountants, as auditors of the Company and to authorize the Directors to determine their remuneration.		

Signed this day of 2023

Signature/s

Note:

* Please delete the inappropriate words.

Please refer the instructions to complete the form on the next page.

INSTRUCTIONS ON PROXY

INSTRUCTIONS ON PROXY**INSTRUCTIONS FOR COMPLETION OF THE PROXY FORM**

1. To be valid, the completed Form of Proxy should be deposited at Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04. or electronic document with e-signature or scan of the signed document emailed to aelagm2023@abansgroup.com, with the subject title Abans Electricals PLC AGM not less than 48 hours before the time appointed for the holding of the Meeting.
2. In perfecting the form, please ensure that all details are legible. If you wish to appoint a person other than the Board members as your Proxy, please fill in your full name and address, the name, address and email address of the Proxy holder and sign in the space provided and fill in the date of signature.
3. The instrument appointing a Proxy shall, in the case of an individual, be signed by the appointer or by his Attorney and in the case of a Corporation must be executed under its Common Seal or in such other manner prescribed by its Articles of Association or other constitutional documents.
4. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy, if it has not already been registered with the Company.
5. In the case of joint holders, only one need to be signed. The votes of the senior holder who tenders a vote will alone be counted.
6. In the case of non-resident Shareholders, the stamping will be attended to upon return of the completed Form of Proxy to Sri Lanka.

GUIDELINES AND REGISTRATION PROCESS

ABANS ELECTRICALS PLC
GUIDELINES AND REGISTRATION PROCESS FOR THE ANNUAL GENERAL MEETING (AGM)
VIA ONLINE MEETING PLATFORM

Shareholders / Proxy holders who wish to participate in the Annual General Meeting of ABANS ELECTRICALS PLC to be held via an Online Meeting Platform (Virtual AGM), could do so by using a smart phone or a desktop computer.

If a Shareholder/Proxy holder intends to join the Virtual AGM via a smart device, it is necessary for him/her to download the “**Zoom Mobile App**” onto his/her smart device.

Similarly, if a Shareholder/Proxy holder wishes to attend the Virtual AGM via a Laptop / Desktop computer, the link can be opened by downloading the “**Zoom Desktop App**” to the respective Laptop / Desktop computer (compatible web browser: **Google Chrome**).

- Shareholders who wish to participate in the Virtual AGM of ABANS ELECTRICALS PLC either by themselves or through their Proxies are requested to forward their details to the Company Secretaries as per the attached **REGISTRATION FORM**.
- The duly completed and signed **REGISTRATION FORM** should be delivered to the Company Secretaries, Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04 / E-mail : asanka@varners.lk to be received by the Secretaries by 10.00 a.m. on or before 19th September 2023. If participation in the meeting through a Proxy, the duly completed and signed **FORM OF PROXY** should accompany the **REGISTRATION FORM**.

Note:

If a Proxy is appointed, the information set out in the **REGISTRATION FORM** pertaining to the Proxy holder should tally with the information indicated in the duly completed **FORM OF PROXY** submitted by the Shareholder.

- The Company will verify all registration requests and identification details received as aforesaid, against the details of Shareholders set out in the Shareholders' Register and accept the registrations for the Virtual AGM if it is satisfied with the request and supporting documents (if any).

Shareholders whose registration requests are accepted will receive an email confirmation from the Company acknowledging the acceptance of their request.

- The Shareholders whose registration requests have been accepted will receive a further email from the Company 24 hours prior to the commencement of the AGM. This email will provide a web link for online registration referred to as “**Virtual AGM Registration**”. If the Shareholder has appointed a valid Proxy this email will be forwarded to the relevant Proxy holder.
- The Shareholders / Proxy holders are requested to use the web link, which will be forwarded by the Company as referred to in 4 above and click on the “**Virtual AGM Registration**” in order to complete online registration for the Virtual AGM.
 - On clicking the link “**Virtual AGM Registration**”, Shareholders/Proxy holders will be redirected to an interface where they will be requested to enter their **first name, last name, email address, re- enter email address and NIC No. / Passport No. / Co. Reg. No** (In entering these details the participants are required to ensure that correct details as included in the **REGISTRATION FORM** referred to in 2 above are entered in the said online registration process, since any mismatch will be considered as an unsuccessful login)
 - After successful completion of entering of the details as referred to in 5 (ii) above, the participants are requested to click on “**REGISTER**” which will be prompted on their screens enabling them to receive the meeting link.
- The Shareholders who successfully complete their online registration as set out in 5 above, will receive the login link for participation in the meeting referred to as “**Click here to Join the Virtual Meeting**” and credentials.
- In order to join the Virtual AGM, participants are required to click on “**Click here to Join the Virtual Meeting**”. In some instances the system call for the credentials and if that is required, please enter the credentials to gain access to the Virtual AGM.
- On completion of this process, you will be directed to the Virtual AGM Zoom Platform, where you can participate in the Virtual AGM.

It is recommended that the Shareholders / Proxy holders complete the process outlined in 5, 6, 7 and 8 above and join the AGM at least ten (10) minutes before the start of the AGM. The Online Meeting Platform will be active thirty (30) minutes before the time appointed for the commencement of the meeting.

GUIDELINES AND REGISTRATION PROCESS

9. Shareholders /Proxy holders may use the Q & A tab or the **Hand Raise** (👏) icon appearing on the screen respectively, to submit their questions or concerns in typed format or verbally. The system will allow a pop-up message to **unmute the microphones and to allow video options**.
10. After completion of the process outlined in 7 above in respect of all eligible Shareholders and Proxy holders, the Company will forward a separate email to the Shareholders / Proxy holders or representatives (as applicable) who are entitled to vote, providing a separate link to vote on all resolutions included in the Notice of Annual General Meeting dated 22nd September 2023.
11. Shareholders / Proxy holders who intend participating in the meeting are requested to open the said link and be prepared to cast their vote when each resolution is taken up for voting by the Chairman. Participants are advised to **“REFRESH”** the voting page and cast the vote as per their discretion in the given space and click **“SUBMIT”** enabling the Company to receive the responses.
12. When declaring the voting on a resolution, Chairman will take into account the voting of the Shareholders/ Proxy holders participating virtually
13. **60 seconds** will be allocated for Shareholders/ Proxy holders to cast their vote in respect of each resolution.
14. The results will be processed and announced by the Chairman **30 seconds** after the end of the time slot allocated for voting.
15. In a situation where a Poll is demanded and Shareholders are required to vote on the Poll, a mechanism similar to that referred to for voting, will be applicable. This will be moderated by the Chairman of the meeting.

It is advised to check the online AGM access at least 3 hours prior and also ensure that your devices have an audible sound system so that you could participate in the AGM comfortably.

Note:

- 1) Shareholders are requested to provide their email address in the space provided in order to forward the Virtual AGM Zoom link & necessary instruction, if they wish to attend the AGM through the online platform.
- 2) In case of a Company / Corporation, the Shareholder Details Form must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.
- 3) In case of a Power of Attorney, the Shareholder Details Form signed by the Power of Attorney must be deposited at the Registered Office of the Company for registration.

All documents relating to the AGM must be forwarded to the Company Secretaries by post, **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04** or by way emailing it to the Company emailing address **aelagm2023@abansgroup.com** 48 hours prior to the time fixed for the meeting. The Notice of meeting, Form of Proxy, and other related documents will also made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>). The Company will endeavor to dispatch the aforementioned documents by ordinary post to the shareholders in due course.

DOCUMENTS ATTACHED

The following documents are attached to this circular to shareholders:

- Notice of Meeting
- Form of Proxy
- Circular to Shareholders giving Guidelines & Registration Process for the Annual General Meeting
- Online Meeting Registration Form

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
 Company Secretaries
 Level 14, West Tower, World Trade Center,
 Echelon Square, Colombo 01.

31st August 2023

GUIDELINES AND REGISTRATION PROCESS

Annexure 01

ONLINE MEETING REGISTRATION FORM

ABANS ELECTRICALS PLC
ANNUAL GENERAL MEETING 2023
REGISTRATION OF SHAREHOLDER DETAILS FOR ONLINE VIRTUAL MEETING

To: (Company Name & Address)

1. Full Name of the Shareholder:

.....

2. Shareholder's Address:

.....

3. Shareholder's NIC No. / Passport No. / Co. Reg No.:

4. Shareholder's Contact No.: (Residence) (Mobile).....

5. Name of the Proxy Holder:

6. Proxy holder's NIC No. / Passport No. / Co. Reg. No.:

7. Proxy holder's Contact No.: (Residence) (Mobile).....

8. Shareholder's/ Proxy holder's E-mail:

9. Participation at the AGM via an online platform: YES /NO

10. Name of Joint holder/s (If any): (i)

(ii).....

11. National Identity Card number/s of Joint holder/s: (i).....

(ii).....

.....
Shareholder's signature

Date :

.....
1st Joint holder's signature

Date :

.....
2nd Joint holder's signature

Date :

NOTES

CORPORATE INFORMATION

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. Aban Pestonjee Mr. Behman Pestonjee* Mr. Athula Siriwardane Mr. Kumar De Silva Mr. D M R Phillips Mr. Rajaratnam Selvaskandan** Mr. Jagath Jayasundara*** Dr. Saroshi Dubash**** * From 25 th November 1981 to 17 th June 2023 ** Appointed w.e.f. 28 th February 2023 *** Appointed w.e.f. 08 th March 2023 And Resigned w.e.f. 06 th June 2023 **** Appointed w.e.f. 11 th July 2023
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank of Colombo PLC Commercial Bank of Ceylon PLC DFCC Bank PLC Nations Trust Bank PLC National Development Bank PLC Pan Asia Banking Corporation PLC
LAWYERS	Varners International (Pvt) Ltd. Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
AUDITORS	Ernst & Young, Chartered Accountants, No.201, De Saram Place, Colombo 01
SECRETARIES	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
TELEPHONE NO	011-5776430
FAX NO	011-2635157

www.abansgroup.com